

Non Standard Real Estate Policy Wording



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WELCOME

Thank **you** for choosing to insure **your premises** with Camberford Underwriting.

Established in 1958, Camberford Underwriting is a highly respected insurance underwriting agency with a history of providing market leading insurance solutions. **Our** aim is to deliver excellence through **our** products and with a first-class service; build long term relationships with all of **our** policyholders.

We choose our insurers who cover the risks in the **policy** very carefully, based on their financial strength and service capabilities. The insurer(s) for **your policy** is as detailed on **your schedule**. **Our** claims service is designed to respond when **you** need it most – 24 hours a day, 7 days a week.

We are delighted to be given the opportunity to provide **you** with an insurance **policy** and can assure **you** that **we** will do all **we** can to keep **you** as a valued customer for many years ahead.



YOUR POLICY

Our Non-Standard Real Estate property insurance **policy** is designed to protect **you** against the risk of sudden events which **you** could not have expected such as fire, theft, **flood** and **storm**. It is not designed to protect **you** against losses that arise due to the gradual deterioration or poor maintenance of **your** property.

The **policy** is a contract of insurance between **you** and **us** and is reliant on **you** providing **us** with a fair presentation of risk. Failure to provide this may invalidate the contract or affect the settlement of any claim under the **policy**. For more information, please refer to the 'General Conditions' section.

In return for payment of the full premium shown on **your schedule**, **we** agree to insure **you**, subject to the terms and conditions contained in or endorsed on this **policy**, against loss or **damage you** sustain or legal liability **you** incur for accidents happening during the **period of insurance** shown on **your schedule**.

It is essential that **you** read all documents forming part of **your policy** to ensure that **you** fully understand the cover that **we** have provided.

The **policy** sections are:

Section A - Material Damage

Section B - Loss of Rent

Section C - Property Owners' Liability

Section D - Employers' Liability (Optional)

Section E - Terrorism Part A (Pool Re) (Optional)

Section E - Terrorism Part B (Non-Pool Re) (Optional)

Section F - Commercial Property Owners Legal Expenses (Optional)

Your schedule details which sections are operative and which insurer is providing the cover under each section.

Upon request **we** can provide Braille, audio or large print versions of the **policy**. If **you** require an alternative format, **you** should contact **your insurance broker or intermediary**.

The language of this insurance contract and all communications relating to it will be in English.

HOW TO USE THIS POLICY

Why some words are shown in bold type.

Your policy sets out clearly what is and what is not covered and to assist **you**, any words or phrases with special meanings are shown in bold text and are defined under the 'Definitions – Words with Special Meanings' section of the **policy**.

Please also be aware that some sections have their own specific definitions. Please refer to the respective **policy** section for details.

Cover Details

You will find the following headings on many pages:

✓ What is covered

These sections give detailed information on the insurance provided and must be read with '**What is not covered**' at all times.

✗ What is not covered

These sections draw **your** attention to what is not included in **your policy**.

HOW TO MAKE A CLAIM (SECTIONS A-E)

To make a claim, please refer to the section 'How to Make a Claim' on **your schedule** for the contact details.

When notifying a claim, please provide **your** name, **policy** number (shown on **your schedule**), the name of **your insurance broker or intermediary** (if applicable this will be shown on **your schedule**) and full details of the loss or **damage**.

There are several claims conditions that operate. Please refer to the 'Claims Conditions and Claims Procedure' section of this policy wording booklet which explains **your** duties in the event of a claim and how **your** claim will be dealt with.

HOW TO MAKE A CLAIM (SECTION F)

Please refer to the 'Claims Procedure' information under Section F – Commercial Property Owners' Legal Expenses for details on how to make a legal expenses claim.



DEFINITIONS – WORDS WITH SPECIAL MEANINGS

The following definitions apply to all sections of this **policy** unless otherwise stated. Section specific definitions are shown in the sections to which they specifically apply.



Asbestos

Asbestos in any form, asbestos fibres or particles or derivatives of asbestos or any material containing asbestos.



Block of Flats

A **building** occupied entirely for residential purposes;

- more than two storeys high
- with a single roof
- containing two or more **residential units**.



Buildings

The buildings at the **premises** shown on **your schedule**, including;

- landlords' fixtures and fittings.
- tenants' improvements for which **you** are responsible, or which have been relinquished to **you**.
- outbuildings, extensions, annexes, gangways, canopies, conveniences, foundations or footings, loading bays, service areas, yards, car parks, access roads, pedestrian ways and other common portions belonging to and used in connection with the buildings.
- video, audio, building management systems and security equipment.
- landscaping, lamp posts, walls, gates, fences, fixed signs, underground services, sewers, pipes, cables, drains, fuel and oil tanks, cess pits, septic tanks including utility services extending to the public mains at the **premises** declared to **us** which belong to **you** or for which **you** are legally responsible, including land sites under **your** control.
- swimming pools, tennis courts, squash courts and rooftop gardens.
- charge points for electric vehicles which belong to **you** or which **you** are responsible for and which are fixed to **your** buildings, to a total value of £10,000 any one **premises**.

The following property is not included within **buildings**:

- **landlords contents**
- structures in the course of construction or erection and materials or supplies in connection with such structures.
- piers, jetties, bridges, culverts or excavations.
- caravans or trailers, railway locomotives or rolling stock, watercraft or aircraft.
- livestock, growing crops or trees.



Business

The ownership by **you** of the **premises** including:

- owning, repairing, maintaining and decorating **your** property or **premises you** use, including land at the same address.
- providing and managing amenities for the benefit and welfare of **employees**.
- providing and managing facilities primarily used for fire prevention, safety, or security.
- providing and managing facilities for repairing vehicles and machinery owned or used by **you**.
- private work undertaken with the prior consent of **you** by **employees** for any director or senior official of the business.
- participation in exhibitions.
- the sale or disposal of the **buildings** or any part of these.



DEFINITIONS – WORDS WITH SPECIAL MEANINGS

Communicable Disease

Any disease which can be transmitted by means of any substance or agent from any organism to another organism where:

- the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
- the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
- the disease, substance or agent can cause or threaten damage to human health or human welfare or can cause or threaten damage to, deterioration of, loss of value of, marketability of or loss of use of property.

Contract Works

- the permanent or temporary works executed in performance of the contract and materials.
- constructional plant, tools, scaffolding and equipment belonging to **you**.
- site huts and temporary buildings, office furniture, fixtures and fittings belonging to **you**.
- property hired in by **you**.

Damage/Damaged

Direct physical loss or destruction of or damage to the property insured which is both sudden and accidental.

Defined Peril

Fire, lightning, explosion, collision or impact involving any aircraft or other aerial devices dropped from them, riot, civil commotion, labour disturbances, malicious persons and acts of vandalism, earthquake, **storm** or **flood**, escape of water from any tank, apparatus or pipes, escape of oil from any fixed heating installation, impact by any animal or by mechanically propelled vehicle, theft or attempted theft, subsidence or ground heave of the site on which the **buildings** stand or landslide.

Declared Value

Your assessment of the cost of reinstatement of the **buildings** (including Value Added Tax) at the level of costs applying at the start of the **period of insurance** (but not including any increase in cost which may apply during the **period of insurance**), including an allowance for:

- costs incurred for architects, surveyors, consulting engineers, design engineers and legal fees incurred with **our** prior agreement to assist in the repair or rebuilding of the **buildings**.
- debris removal
- costs incurred to comply with government or local authority requirements provided that the **buildings** were originally constructed according to any government and local authority regulations at the time, and **you** received notice of the requirement after the **damage** giving rise to the claim occurred.

Employee

(1) Anyone under a contract of service or apprenticeship with **you**

(2) Anyone who is

- employed by **you** or for **you** on a labour only basis
- self employed
- hired to **you** or borrowed by **you** from another employer
- a voluntary helper or taking part in a work experience or training scheme

and under **your** control or supervision.

Endorsement(s)

A change in the terms and conditions of this insurance that can extend or restrict cover. If applicable these will be shown on **your schedule**.



DEFINITIONS – WORDS WITH SPECIAL MEANINGS

Excess

The amount stated on **your schedule** or **endorsement(s)** which **you** will be responsible for paying in the event of each and every claim.

Flood

The escape of water from the normal confines of any natural or artificial water course, lake, reservoir, canal, drain or dam. Inundation from the sea. Rain induced run off, whether resulting from storm or not.

Fungal Pathogens

Any fungus or mycota or any by-product or type of infestation produced by such fungus or mycota including but not limited to mould, mildew, mycotoxins, spores or any biogenic aerosols.

Indemnity Period

The period during which the **business** is affected beginning when the **damage** occurred and ending not later than the maximum indemnity period shown in **your schedule**.

Insurance Broker or Intermediary

The company that placed this insurance with **us** on **your** behalf.

Landlords Contents

Property belonging to **you** or property **you** are responsible for, at the **premises** and not insured elsewhere, used in connection with the **business** and kept in common or shared areas or within any private living area including:

- furniture, furnishings, appliances, potted plants, trees and shrubs, plant and machinery
- contents of storage tanks
- valuables and artwork to a maximum of £5,000
- planters, ornamental features, statues, garden furniture and gardening equipment and other movable property kept in yards, car parks, gardens and other open areas belonging to **you** up to a maximum of £10,000 any one claim.

The most **we** will pay for **landlords contents** covered by this **policy** is £25,000 any one **premises** or a higher amount if shown on the **schedule**.

Landlords' contents will not include

- money, cheques, stamps, bonds, credit cards, securities of any description
- vehicles licenced for road use or their accessories
- fixed discs and computer records of any description
- contents in any tenants' portion of the **building** which is not occupied as a **residential unit**.

Maisonette

A **residential unit** occupying two or more floors of a larger building having its own entrance from outside.

Period of Insurance

The length of time for which this insurance is in force as shown on **your policy schedule**.

Policy

The documentation pack that explains the cover that **we** have provided to **you**. This consists of:

- the policy wording booklet.
- **your schedule**.
- any **endorsements** (which will be shown on **your schedule**)

Premises

The address which is named on **your schedule**.



DEFINITIONS – WORDS WITH SPECIAL MEANINGS

Rent/Rental Income

The actual and anticipated income for accommodation and services provided by **you** in the course of **your business** at the **buildings** including all service charges which are the legal obligations of the tenants.

Resident

The owner, lessee or tenant of any **block of flats, maisonette** or private dwelling house and any member of the owner, lessee or tenant's family permanently residing with the owner, lessee or tenant.

Residential Unit

An individual self-contained living area with a separately controlled entry and exit point within a larger **building**.

Schedule

A document which details the specific cover provided to **you** as part of this **policy**.

Storm

Storm excluding damage by **flood**.

Sub-Limit of Liability

The maximum liability of **us** under a specified section, clause or other part of this **policy** and is the amount stated in the **policy** wording booklet.

Sum(s) Insured/Limit of Indemnity

The maximum **we** will pay as shown on the **schedule** and/or in the **policy** wording booklet.

Unless stated otherwise, amounts apply to each occurrence or series of occurrences and will be available again in full to meet further claims provided that you carry out any recommendations **we** may make to prevent further **damage**.

Any **sub-limit of liability** under this **policy** applies as if it was the **sum insured** for claims for that **sub-limit of liability** and is deemed to be part of and not in addition to the **sum insured** unless expressly stated otherwise.

Where the **sum(s) insured**, or any **sub-limit of liability** is stated as applying in the aggregate that is the maximum, **we** will pay for all insured events during the **period of insurance**.

Territorial Limits

Great Britain, Northern Ireland, the Channel Islands and the Isle of Man.

Terrorism

For England, Scotland and Wales: Acts of persons acting on behalf of, or in connection with, any organisation which carries out activities directed towards the overthrowing or influencing, by force or violence, of His Majesty's Government in the United Kingdom or any other government de jure or de facto.

For Northern Ireland: An act including but not limited to the use of force or violence and/or threat thereof of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organisation(s) or government(s) committed for political, religious, ideological or similar purposes, including the intention to influence any government and/or put the public or any section of the public in fear.

For the Channel Islands and the Isle of Man:

An act of any person(s) acting on behalf of or in connection with any organisation which carries out activities directed towards the overthrowing or influencing by force or violence of any government de jure or de facto.



DEFINITIONS – WORDS WITH SPECIAL MEANINGS

Time Element Loss

Business interruption, contingent business interruption or any other consequential losses.

United Kingdom

England, Wales, Scotland and Northern Ireland unless as defined otherwise.

Unoccupied

Any **building** that is wholly unoccupied, more than 50% unoccupied, disused or not in active use by **you** or any of **your** tenants for more than 30 consecutive days.

Vermin

Rats, mice, grey squirrels, owls, pigeons, foxes, bees, wasps, or hornets.

We/Us/Our

Camberford Law Limited trading as Camberford Underwriting, acting on behalf of **your** insurers.

You/Your

The person(s), firm, company or organisation shown on your **schedule** as the policyholder; and in relation to residential property also the freeholder and the long leaseholder where required by the lease agreement to be insured.



IMPORTANT CUSTOMER INFORMATION

Please read this part of the **policy** carefully as it provides important information which affects how the **policy** responds should **you** suffer a loss.

THE IMPORTANCE OF YOUR DECLARED VALUE AND SUMS INSURED (UNDERINSURANCE AND AVERAGE)

It is important that **you** provide **us** with an accurate **declared value** for **your premises** as this may have an impact on how **we** pay **your** claim.

Please also see the 'Basis of Settlement' and 'Underinsurance' paragraphs below and under Section A – Material Damage and Section B – Loss of Rent for more detail .

Day One Uplift

If applicable day one uplift cover will be shown on **your schedule**.

Day One Uplift Explained

At the start of each **period of insurance** **you** must tell **us** the **declared value** for **your buildings**. If **you** do not provide **us** with a new **declared value**, the current **declared value** will be increased in line with the inflation protection cover for the next **period of insurance**.

From the **declared value** **we** may provide what is known as 'Day One Uplift' cover which is designed to protect **you** against underinsurance due to inflation. This will be shown on **your schedule** as the **buildings sum(s) insured**.

If at the time of **damage** to the **buildings**, the **declared value** was correct as of the start of the **period of insurance** **you** are protected up to the **building sum(s) insured**. If, however the **declared value** is incorrect and less than 85% of the correct value **we** will only be able to settle any claim at the percentage **you** are insured for. For example, if the value of **your buildings** only represents 50% of the full value, then **we** will only pay 50% of **your** claim. This is also known as 'average'.

Underinsurance – Section A – Material Damage

If at the time of **damage**, the **declared value** advised to **us** of the **damaged buildings** and/or **landlords' contents**, exclusive of Value Added Tax for property which is exempt of such tax, represents less than 85% of the actual **declared value**, then **we** will settle any claim at the percentage **you** are insured for. For example, if the value of **your buildings** only represents 50% of the full value, then **we** will only pay 50% of **your** claim. This is also known as 'average'.

Underinsurance – Section B – Loss of Rent

If at the time of loss or **damage** the **sum(s) insured** for annual **rent** prior to any **rent** reviews during the **period of insurance & rent/rental income** is less than the actual annual income, then **we** will only be able to settle any claim at the percentage **you** are insured for. For example, if the value of **sum(s) insured** for annual **rent & rent/rental income** only represents 50% of the full value, then **we** will only pay 50% of **your** claim. This is also known as 'average'.

INFLATION PROTECTION (INDEX LINKING)

We will increase the **sum(s) insured** for **buildings** at each renewal to protect **you** against inflation. Whilst this will help to ensure that **your sum(s) insured** are adequate in line with increasing costs, it is dependent on the **declared value** and **sum(s) insured** disclosed to **us** at the start of **your policy** being correct. It is **your** responsibility to ensure **your sum(s) insured** are adequate at the start and at each renewal of **your policy**.

For **your** protection, if inflation falls below zero, **we** will not reduce the **sum(s) insured**. At renewal **your** premium will be calculated on the adjusted **sum(s) insured**.

COOLING OFF AND CANCELLATION

Cooling-Off Period

If, for any reason, **you** feel that this **policy** is not right for **you**, **you** are entitled to cancel this **policy** by notifying **your insurance broker or intermediary** in writing (letter or email) within 14 days of either the date **you** receive **your policy** documentation or the inception or renewal of the **policy**, whichever is the later.

Should **you** choose to cancel **your policy** within the 'Cooling-Off Period', **we** will cancel **your** insurance from the start of the **period of insurance** treating this **policy** as if it had never existed. **We** will refund any premium **you** have paid, provided that **you** have not made a claim or have a pending claim. Any **policy** fees paid from the start of the **period of insurance** will be refunded to **you** and no **policy** fee will be charged for cancellation.

Cancellation

1. Cancellation of your policy by you

You may cancel this **policy** at any time by notifying **your insurance broker or intermediary** in writing, by email or by telephone. The name of **Your insurance broker or intermediary** is shown on **your schedule**.

2. Cancellation of your policy by us

We may cancel **your policy** or any part of it:

- (a) by giving **you** 30 days written notice either directly to **you** or via **your insurance broker or intermediary** (if applicable) detailing the reason for cancellation to **your** last known address. **We** will detail the reason for the cancellation in **our** written notice.
- (b) Immediately without giving **you** notice and from the inception of the **period of insurance** if the premium has not been paid in full. If this is the case, **we** will issue a subsequent written notice which will be sent to **your** last known address.

3. Cancellation by us following a fraudulent claim:

If **you** make a fraudulent claim under **your policy**, **we** will cancel **your policy** from the date of the fraudulent act and **we** will retain 100% of the premium.

4. Premium refund following cancellation of your policy:

We will return any premium **you** have paid for the remaining **period of insurance**, provided that there have been no;

- (i) claims made under this **policy** for which **you** have been paid.
- (ii) claims made under this **policy** which are still under consideration.
- (iii) incidents which **you** are aware of and are likely to give rise to a claim which have yet to be reported to **us** during the **period of insurance**.

5. Premium refund where the premises are declared as being unoccupied

Where the **premises** are declared as being **unoccupied**, the amount retained by **us** is amended as follows. Period of insurance % of premium retained by **us**:

Up to 4 months 50%

Up to 5 months 60%

Up to 6 months 70%

Up to 7 months 80%

Up to 8 months 90%

No return premium is applicable for periods in excess of 8 months.

RENEWAL OF YOUR POLICY

We will write to **you** via **your insurance broker or intermediary** before the end of the **period of insurance** to either:

- (a) offer **you** cover for the next period of insurance (a renewal).
- (b) confirm that cover will cease at the end of the current **period of insurance** (a lapse).

Please note that **your policy** will not renew unless **we** receive instructions from **you** via **your insurance broker or intermediary** on or before the expiry date of the **period of insurance** (renewal date). If **we** do not receive instructions to renew, then **your** cover will cease from the expiry date shown in **your schedule** and **you** will have no cover from that date. It is **your** responsibility to ensure that **you** have arranged replacement cover to ensure that there are no breaks in cover.

Should **you** have any queries with **your** renewal quotation, or **you** wish to renew cover please contact **your insurance broker or intermediary**.

POLICY FEES

We apply fees to administer all policies. Any fees applicable to **you** will be shown on **your schedule**.

Please note that should **you** choose to cancel **your policy** within the 'Cooling-Off Period', any **policy** fees paid from the start of the **period of insurance** will be refunded to **you** and no **policy** fee will be charged for cancellation. Please see the 'Cooling Off & Cancellation' section within the policy wording booklet for full details.

CUSTOMER SERVICE & COMPLAINTS PROCEDURE

We aim to promote the highest standard of service for **our** customers. **We** endeavour to ensure that all complaints are resolved satisfactorily and in a timely manner.

If **your** complaint relates to the services provided by **your insurance broker**, please contact them directly.

Customer Complaints Procedure (Sections A-D and Section E (Part A))

In the event that **you** wish to make a complaint regarding **your policy** or claim please refer to the 'How to Make a Complaint' information shown on **your schedule**.

Customer Complaints Procedure (Section E Part B)

For complaints referred to Convex Insurance UK Limited (the insurer), referred to as '**we**', '**our**' and '**us**' within this notice.

Step 1

You can contact **us** by email, telephone and letter.

Email: complaints@convexin.com

Tel: +44 (0)7919 603210

Convex Insurance UK Limited, 52 Lime Street, London EC3M 7AG, United Kingdom

We will acknowledge **your** complaint promptly and **we** will let **you** know who will be handling **your** complaint and provide **you** with their contact details.

Step 2

We aim to resolve **your** complaint as soon as possible. If it is complicated or **we** need to investigate the circumstances further, then **we** may not be able to resolve it straight away and it may take longer depending on its complexity. **We** aim to get **you** a final response within eight (8) weeks of receiving **your** complaint. If **we** cannot do so then **we** will tell **you** why it is taking more time and let **you** know what **we** are doing and how long **we** expect it will take to resolve.

Step 3

If **you** are not happy with **our** response or actions and feel that the matter has not been resolved to **your** satisfaction, then there are two options to take it further.

1. **You** may be eligible to refer **Your** complaint to the Financial Ombudsman Service, the “FOS”. Please note that there are time limits within which **You** must contact the FOS. Convex Insurance UK Limited needs to give **You** their final response within eight (8) weeks of **Your** complaint, at the most, depending on what **You** are complaining about. **You** need to get in touch with the FOS within six (6) months of receiving Convex Insurance UK Limited’s final response to **Your** complaint.

The Financial Ombudsman Service, Exchange Tower, London E14 9SR

Email: complaint.info@financial-ombudsman.org.uk

Website: www.financial-ombudsman.org.uk

2. Alternatively, **You** may contact Lorraine Mullins, the Chief Compliance Officer of Convex Insurance UK Limited by email or letter at
Email: lorraine@convexin.com or write to the following address:
Convex Insurance UK Limited, 52 Lime Street, London EC3M 7AG, United Kingdom

Customer Complaints Procedure (Section F)

Please refer to the ‘How to Complain’ information under Section F – Commercial Property Owners’ Legal Expenses for details of how to make a legal expenses complaint.

Financial Ombudsman Service

If we haven’t resolved **your** complaint within eight (8) weeks, or **you** are unhappy with **our** final response, **you** may be eligible to refer **your** case to the Financial Ombudsman Service.

You have six (6) months from the date of **our** final response to refer **your** complaint to the Financial Ombudsman Service.

The Financial Ombudsman Service is an independent service in the UK for settling disputes between consumers and businesses providing financial services. **You** may be eligible to make a complaint to the FOS if **You** are:

- A private individual
- A micro-enterprise employing fewer than 10 persons and with turnover or annual balance sheet that does not exceed €2 million
- A small business with a turnover of less than £6.5 million and less than 50 staff or has a balance sheet total or less than £5 million (small business)
- A charity which has an annual income of less than £6.5 million
- A trustee of a trust which has a net asset value of less than £5 million
- An individual who has given a guarantee or security in respect of an obligation or liability of a small business.

The FOS’s contact details are as follows:

Financial Ombudsman Service, Exchange Tower, Harbour Exchange Square, London, E14 9SR

Email: complaint.info@financialombudsman.org.uk

Fax: +44 207 964 1001

Text Number: 07860 027 586 (call back service)

From within the United Kingdom:

Tel: 0800 023 4567 (calls to this number are now free on mobile phones and landlines)

From outside the United Kingdom:

Tel: 44 (0)207 964 0500

Website: www.financial-ombudsman.org.uk

The complaints handling arrangements above are without prejudice to Your right to commence a legal action or an alternative dispute resolution proceeding in accordance with Your contractual rights.

AUTHORISATION, REGULATION & COMPENSATION

Camberford Underwriting

Camberford Underwriting is registered in England and Wales No: 608819, Registered Office 7th Floor, 55 Mark Lane, London, EC3R 7NE.

Camberford Underwriting is authorised and regulated by the Financial Conduct Authority, 121476.

Your Insurers

The insurers for **your policy** are detailed on **your schedule**.

All insurers providing cover under this **policy** are authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority unless stated otherwise on **your schedule**. Further details can be found on the Financial Services Register at www.fca.org.uk/register.

The Financial Conduct Authority

The Financial Conduct Authority (FCA) want consumers to use financial services with confidence and have products that meet their needs from firms and individuals they can trust.

To achieve this, the FCA regulates firms and financial advisers so that markets and financial systems remain sound, stable and resilient and their aim is to help firms put the interests of their customers and the integrity of the market at the core of what they do.

You can contact the FCA as follows:

The Financial Conduct Authority 12 Endeavour Square, London, E20 1JN

UK: 0800 111 6768 (freephone) or 0300 500 8082

From abroad: +44 (0)20 7066 1000

Email: consumer.queries@fca.org.uk

Prudential Regulation Authority

The Prudential Regulation Authority's (PRA) role is defined in terms of two statutory objectives to promote the safety and soundness of banks, building societies, credit unions, insurers and major investment firms and specifically for insurers, to contribute to the securing of an appropriate degree of protection for policyholders.

You can contact the PRA as follows:

The Prudential Regulation Authority Bank of England, Threadneedle Street, London EC2R 8AH

UK: +44 (0)20 3461 4878

From abroad: as above

Email: enquires@bankofengland.co.uk

Financial Services Compensation Scheme

All insurers providing cover under this **policy** and Camberford Underwriting are members of and are covered by the Financial Services Compensation Scheme. **You** may be entitled to compensation from the Scheme if an insurer or Camberford Underwriting is unable to meet its obligations to **you** under this contract.

If **you** were entitled to compensation under the Scheme, the level and extent of the compensation would depend on the nature of this contract. The Scheme contact details are as follows:

Financial Services Compensation Scheme PO Box 300, Mitcheldean, GL17 1DY

UK: 0800 678 1100

From abroad: +44 (0)20 7741 4100

Further information about the Scheme is available from the Financial Services Compensation Scheme:

www.fscs.org.uk.

Subscribing Insurers' Several Liability

Your policy or sections of **your policy** may be underwritten by more than one insurer. **Your schedule** confirms who the insurer(s) are for **your policy** or section of **your policy**.

Where there is more than one insurer noted, each insurer is solely responsible for their own percentage of **your policy** or section of **your policy**, they are not responsible for any other insurer(s) percentage of **your policy** or section of **your policy**. The responsibility does not pass to any other insurer noted in the event that for whatever reason, another insurer does not satisfy all or part of its obligations under **your policy** or section of **your policy**. This is standard procedure where more than one insurer is underwriting **your policy** or section of **your policy**.

LAWS APPLYING

Choice of Law and Jurisdiction

The parties are free to choose the law applicable to this insurance contract. Unless specifically agreed to the contrary prior to the inception of this **policy**, this insurance shall be governed by the laws of England and Wales and subject to the exclusive jurisdiction of the courts of England and Wales.

Contracts (Right of Third Parties) Act 1999

A person who is not a party to this insurance has no right under the Contracts (Right of Third Parties) Act 1999 to enforce any term of this contract, but this does not affect any right or remedy of any third party which exists, or which is available apart from the Act.

Data (Data Protection Notice) – Camberford Underwriting

Camberford Underwriting (part of Brown & Brown (Europe) Limited) and the insurer(s) are committed to protecting **your** personal data. Camberford Underwriting and the insurer(s) will use personal data about **you** fairly and lawfully, primarily in connection with the provision of insurance. Full details can be found in the Privacy Notice at www.camberford.com/privacy which specifies:

- the information that Camberford Underwriting and the insurer(s) may collect on **you** and from whom;
- how and why this information will be used;
- how Camberford Underwriting and the insurer(s) may share and disclose the information; and
- the retention of **your** personal data.

In some instances, Camberford Underwriting and the insurer(s) may need to seek **your** consent before processing such data. Camberford Underwriting and the insurer(s) will always make it clear to **you** when and why **your** consent is being sought. A hard copy of the Privacy Notice is available on request.

You have a number of rights (including the right of access to see personal information about **you** that is held in Camberford Underwriting and the insurer(s) records) and these are detailed in the Privacy Notice. If **you** have any questions or concerns relating to the Privacy Notice or Camberford Underwriting's data protection practices, or to make a subject access request, please contact:

Brown & Brown (Europe) Limited, Data Protection Officer, 7th Floor, 55 Mark Lane, London, EC3R 7NE.

Data (Data Protection Notice) – AXA Insurance UK plc (Sections A-D and Section E (Part A))

AXA Insurance UK plc is part of the AXA Group of companies which takes your privacy very seriously. For details of how we use the personal information we collect from you and your rights please view our privacy policy at www.axa.co.uk/privacy-policy. If you do not have access to the internet, please contact us and we will send you a printed copy.

Data (Data Protection Notice) – Convex Insurance UK Limited (Section E Part B)

Convex Insurance UK Limited is committed to protecting your privacy and ensuring that your personal information is collected and used appropriately, lawfully, and transparently.

For further information on how your information is used and your rights in relation to your information please see our privacy policy <https://convexin.com/privacy-policy>.



GENERAL CONDITIONS

These conditions apply to all sections of this insurance except Section F – Commercial Property Owners' Legal Expenses and/or where otherwise stated.

You must comply with the following conditions to have the full protection of **your policy**. If **you** do not comply then **we** may at **our** option take one or more of the following actions;

- Cancel **your policy**.
- Declare **your policy** void (treating **your policy** as if it had never existed).
- Change the terms of **your policy**.
- Refuse to deal with all or part of any claim or reduce the amount of any claim payments.

There are additional conditions under each section of cover.

(1) Arbitration

If **we** agree to pay **your** claim and **you** disagree with the amount to be paid it may be referred to an arbitrator who is jointly appointed. Alternatively, depending on the size of **your business**, **you** may be able to refer **your** case to the Financial Ombudsman Service (FOS). In either case this will not affect **your** right to take action against **us** over this disagreement.

This condition does not apply Section C – Property Owners' Liability, Section D – Employers' Liability and Section F – Commercial Property Owners' Legal Expenses.

(2) Change in Risk

You must tell **us** as soon as possible but in any event within 30 days, during the **period of insurance** of any change;

- (a) to the **business**/tenant or usage of the property insured.
- (b) in the person(s), firm, organisation or company shown in **your schedule** as the insured.
- (c) to the information **you** provided to **us** previously or any new information that increases the risk of loss as insured under any section of **your policy**.

Your policy will come to an end from the date of the change unless **we** agree in writing to accept an alteration.

We do not have to accept any request to vary **your policy**. If **you** wish to make any alteration to **your policy**, **you** must disclose any change to the information **you** previously provided or any new information that could affect this insurance.

If **we** accept any variation to **your policy**, an increase in the premium or different terms or conditions of cover may be required by **us**.

(3) Designation of Property

For the purpose of determining whether any item falls within the definition of **buildings** **we** will accept the designation under which such property has been entered in **your** books or which has been used by **you** in computing the **sum(s) insured**. All items for which **you** are responsible under the terms of the lease are also accepted as falling within the definition of **buildings**.

(4) Fair Presentation of Risk

You have a duty to make a fair presentation of the risk which **you** wish to insure. This applies prior to the start of **your policy**, if any variation is required during the **period of insurance** and prior to each renewal. If **you** do not comply with this condition, then

- (a) if the failure to make a fair presentation of the risk is deliberate or reckless, **we** can elect to make **your policy** void and keep the premium. This means treating the **policy** as if it had not existed and that **we** will not return **your** premiums, or
- (b) if the failure to make a fair presentation of the risk is not deliberate or reckless and **we** would not have provided cover had **you** made a fair presentation, then **we** can elect to make **your policy** void and return **your** premium, or

- (c) if the failure to make a fair presentation of the risk is not deliberate or reckless and **we** would have issued cover on different terms, had **you** made a fair presentation of the risk then **we** can;
 - (i) reduce proportionately any amount paid or payable in respect of a claim under **your policy** using the following formula. **We** will divide the premium actually charged by the premium which **we** would have charged had **you** made a fair presentation and calculate this as a percentage. The same percentage figure will be applied to the full amount of the claim to arrive at the proportion of the claim to be paid or payable, and/or
 - (ii) treat **your policy** as if it had included the different terms (other than payment of the premium) that **we** would have imposed had **you** made a fair presentation.
- (d) Where **we** elect to apply one of the above then
 - (i) if **we** elect to make **your policy** void, this will be from the start of the **policy**, or the date of variation or from the date of renewal
 - (ii) **we** will apply the formula calculated by reference to the premium that would have been charged to claims from the start of the **policy**, or the date of variation or from the date of renewal
 - (iii) **we** will treat the **policy** as having different terms imposed from the start of the **policy**, or the date of variation or from the date of renewal

depending on when the failure to make a fair presentation occurs.

(5) Fraud Condition

You and anyone acting for **you** must not act in a fraudulent way.

If **you** or anyone acting for **you**

- (a) knowingly makes a fraudulent or exaggerated claim under **your policy**
- (b) knowingly makes a false statement in support of a claim (whether or not the claim itself is genuine) or
- (c) knowingly submit a false or forged document in support of a claim (whether or not the claim itself is genuine),

We will

- (i) refuse to pay the claim
- (ii) declare the **policy** void from the date of the fraudulent act without any refund of
- (iii) premiums.

We may also inform the police and fraud prevention agencies of the circumstances.

(6) Maintenance Condition

You must maintain **your** property at the **premises** in a good state of repair.

If **you** do not comply with this condition, **you** will not be covered and **we** will not pay **your** claim.

(7) Our Rights

If following **damage** which may lead to a claim **we** may:

- (a) enter or take possession of the **buildings**.
- (b) take possession of, or require to be delivered to **us**, the property insured without incurring liability or reducing **our** rights.

We will continue to communicate directly with **you** regarding **your** claim, even in situations where **you** have appointed a professional customer representative, such as a loss assessor or claims management company, to act on **your** behalf.

We will assess **your** claim based on **our** approved supplier's or loss adjuster's view and interpretation, even in situations where **you** have appointed a professional customer representative, such as a loss assessor or claims management company, to act on **your** behalf.

We will not pay for any **damage** if **you** or anyone acting on **your** behalf;

- does not comply with **our** requirements
- hinders or obstructs **us** in anyway.

You are not entitled to abandon property to **us**.

(8) Reasonable Care

You must take reasonable steps to

- (a) prevent or protect against **bodily injury**, loss or damage
- (b) keep **your premises**, machinery, plant and equipment and all other property insured in good condition and in full working order
- (c) remedy any defect or any danger that becomes apparent, as soon as possible.

If required by **us**, **you** must allow access to **your premises** and/or activities of **your business** to carry out inspection or survey. **You** must complete any risk improvements that **we** ask for, within a reasonable period of time advised by **us** and ensure that all such improvements remain in place throughout the duration of this **policy**.

We will not pay **your** claim where **you** have not complied with this condition.

(9) Subrogation (Our Rights)

We will be entitled at **our** discretion to take over and conduct in **your** name the investigation, defence or settlement of any claim and to pursue any right of recovery in **your** name following any payment which **we** make under this **policy**. **You** must give **us** any information or assistance that **we** may reasonably require for these purposes.

(10) Sanctions Condition

This contract of insurance is subject to sanction, prohibition or restriction under United Nations resolutions. It is a condition of **your policy** that **your** insurer (as detailed on **your schedule**) will not provide cover, or pay any claim or provide any benefit under **your policy** to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose **your** insurer, or their parent, subsidiary or any of **your** insurer's group member companies, to any trade or economic sanctions, or violate any laws or regulations of the United Kingdom, the European Union, the United States of America and the sanctions laws of other territories to the extent they are applicable.



CLAIMS CONDITIONS AND CLAIMS PROCEDURE

Brown & Brown Claims (UK) Limited provide the claims handling service for Sections A-D and Section E (Part A). The following claims conditions and claims procedure are applicable for those sections of cover only and the terms **Us**, **We** and **Our** are referring to Brown & Brown Claims (UK) Limited.

If applicable, please refer to the 'Notification of Claims' condition for the specific claims conditions and claims procedure for Section E - Terrorism Part B (Non-Pool Re).

If applicable, please refer to the 'Claims Procedure' information for the specific claims conditions and claims procedure for Section F – Commercial Property Owners' Legal Expenses.

Your Duties in the event of a claim

Before **you** contact **us** to make a claim, please refer to **your schedule** and **policy** wording booklet to ensure that cover for the loss or **damage** is in force, taking particular note to the information shown under '**What is not covered.**' Please also be aware of any **excess** and/or **endorsement(s)** that may apply (will be shown on **your schedule**) as well as any general exclusions (see the 'General Exclusions' section).

To make a claim please refer to the 'How to Make a Claim' section on **your schedule**. **You** will need to provide **us** with the following:

your name, address and contact details.

the policy number.

the date of the incident.

the cause of the **damage**.

the address where the incident took place.

the names and addresses of the parties involved in any incidents of **bodily injury** including details of injuries and names and addresses of any witnesses.

You must comply with the following conditions to have the full protection of **your policy**. If **you** do not comply then **we** may at **our** option take one or more of the following actions;

- Cancel **your policy**.
- Declare **your policy** void (treating **your policy** as if it had never existed).
- Change the terms of **your policy**.
- Refuse to deal with all or part of any claim or reduce the amount of any claim payments.

There are also additional conditions under each section of cover.

It is a condition of this **policy** that **you**:

- (a) notify the Police or other appropriate local or civil authority immediately **you** become aware that a crime has been committed and notify **us** in writing no later than 7 days after the date of such incident.
- (b) make every reasonable effort to minimise any loss, **damage** or liability and take appropriate emergency measures immediately, as required to reduce any claim. **You** must keep the invoices because they may form part of the claim.
- (c) give **us** an opportunity, where practical, to inspect the **damage** before work begins, so that **we** may approve any estimate for repair work to **damaged** property.
- (d) notify **us** as soon as reasonably possible in writing, and on no account later than 30 days after the date of the incident, of any loss, **damage**, or any claim made against **you**, or any circumstance or occurrence which may subsequently give rise to a claim under this **policy**.
- (e) do not acknowledge receipt of and forward to **us** every writ, summons, legal process, letter or other communication in connection with any circumstance which may give rise to a claim immediately upon receipt.
- (f) do not admit liability or make an offer or promise of payment or agree to settle any claim without **our** written consent.
- (g) advise **us** in writing immediately **you** have any knowledge of any impending prosecution inquest, fatal accident or ministry enquiry.

How We Deal with Your Claim

Subject to **you** complying with 'Your Duties in the event of a claim' as shown above **we** will ensure that **we** will pay sums due to **you** for any valid claim allowing time for investigation and assessment of the claim.

Please however be aware of the following:

Excess

Your policy schedule will show any applicable **excess** which **you** are responsible to pay in the event of a claim.

Where **your premises** comprises of multiple separate **buildings**, any **flood** excess will apply to each and every **damaged** building.

Payment

We reserve the right to make a claim payment under this **policy** to either **you** as identified in the **schedule** or any other insured where it is legally permissible to do so.

Professional Accountants

Any particulars or details contained in **your** books of account or other business books or documents which may be required by **us** for the purpose of investigating or verifying any claim made under this **policy** may be produced by professional accountants if at the time they are regularly acting as such for **you**.



GENERAL EXCLUSIONS

UNLESS OTHERWISE SHOWN, EXCLUSIONS 1 TO 4 APPLY TO SECTION A – MATERIAL DAMAGE, SECTION B – LOSS OF RENT AND SECTION C – PROPERTY OWNERS' LIABILITY ONLY.

✗ This insurance does not cover;

- (1) any claims caused by or happening through war, invasion, act of foreign enemy, hostilities (whether war is declared or not), civil war, civil rebellion, warlike operations, revolution, insurrection or military or usurped power, confiscation, nationalisation, requisition, seizure or destruction or damage to property by or under the order of any government or public or local authority.
- (2) any loss or damage, or expense of whatsoever nature directly or indirectly caused by or contributed by or arising from;
 - (a) ionizing radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
 - (b) buildings, plant or equipment for the generation of nuclear power, or production, use or storage of nuclear fuel, nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
 - (c) transportation of nuclear fuel, nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
 - (d) the radioactive toxic explosive or other hazardous properties of any explosive nuclear assembly or nuclear component thereof.
 - (e) any weapon or device employing atomic or nuclear fission and/or fusion or other like reaction or radioactive force or matter.
- (3) fines, penalties, punitive or exemplary damages, or liquidated damages.
- (4) any claims caused by or arising from;
 - (a) inhalation or ingestion of **asbestos**
 - (b) exposure to or fear of the consequences of exposure to **asbestos**
 - (c) the presence of **asbestos** in any property or on land
 - (d) investigating, managing, removing, controlling or remediation of **asbestos**.

EXCLUSIONS 5 – 16 APPLY TO SECTION A – MATERIAL DAMAGE AND SECTION B – LOSS OF RENT ONLY.

✗ This insurance does not cover;

- (5) Loss, damage, cost or expense which originated before the start of this insurance.
- (6) Loss, damage, cost or expense caused by or occasioned by pressure waves caused by aircraft or other aerial devices travelling at sonic or supersonic speeds.
- (7) Loss, damage, cost or expense to glass (other than fixed glass) china, earthenware, marble, or other fragile or brittle objects except for subsequent **damage** which itself results from a **defined peril**.
- (8) Loss, damage, cost or expense to the **building** caused by its own collapse or cracking except for subsequent **damage** which itself results from a **defined peril**.

- (9) Loss, damage, cost or expense caused by:
- (a) wear and tear or gradual deterioration, except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (b) an existing or hidden defect.
 - (c) frost or a gradual rise in the ground water level.
 - (d) arising directly or indirectly from seepage, pollution or contamination.
 - (e) faulty or defective design and/or materials and/or faulty workmanship, except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (f) operating errors or omissions, except for subsequent **damage** which itself results from a defined peril covered by Section A – Material Damage and Section B – Loss of Rent.
 - (g) a deliberate or wilful act by **you** and/or **your employees**.
 - (h) any loss, damage, cost or expense by theft or attempted theft caused by or in conjunction with **you** or any of **your** partners, directors or **your employees** or any member of **your** family or any other person lawfully at the **premises**.
 - (i) mechanical or electrical breakdown or derangement for any given machine, apparatus or equipment where the breakdown or derangement originates except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (j) corrosion rust, wet or dry rot, shrinkage, evaporation, loss of weight, dampness, dryness, marring, scratching, vermin or insects except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (k) a domestic pet.
 - (l) change in temperature, colour, flavour, texture or finish except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (m) joint leakage, failure of welds, cracking, fracturing, collapse or overheating of boilers, economisers, superheaters, pressure vessels or any range of steam and feed piping connected to them, except for subsequent **damage** which itself results from a **defined peril** covered by Section A – Material Damage and Section B – Loss of Rent.
 - (n) bursting by steam pressure of a boiler (not being a boiler used for domestic purposes only) economiser or other vessel, machine or apparatus where internal pressure is due to steam only belonging to **you** or under **your** control.
- (10) Loss, damage, cost or expense to fences, gates and moveable property in the open caused by wind, rain, hail, sleet, snow, **flood**, dust or theft.
- (11) the **excess** shown on the **schedule**.
- (12) Loss, damage, cost or expense which results from acts of infidelity or dishonesty by **you** or any of **your employees** or other persons to whom property insured may be entrusted nor loss, destruction or damage resulting from **you** voluntarily parting with title or possession of any property or any unexplained loss or loss or shortage disclosed on taking inventory.
- (13)
- (a) Notwithstanding any provision to the contrary within these sections, these sections exclude any loss, damage, liability, claim, cost or expense of whatsoever nature, directly or indirectly caused by, contributed to by, resulting from, arising out of, or in connection with a **communicable disease** or the fear or threat (whether actual or perceived) of a **communicable disease** regardless of any other cause or event contributing concurrently or in any sequence thereto.
 - (b) notwithstanding any provision to the contrary within these sections however **we** will cover physical damage to property insured and any **time element loss** directly resulting therefrom where such physical damage or **time element loss** is covered by these sections and is directly caused by or arising from any of the following perils: fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, or impact by any road vehicle or animal, **storm**, earthquake, **flood**, subsidence, landslip, landslide, riot, riot attending a strike, civil commotion, vandalism and malicious persons, theft, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation.

- (14) any loss, damage, cost or expense of any nature directly or indirectly caused by, resulting from or in connection with
- (a) for England, Scotland, Wales, the Channel Islands and Isle of Man.
 - (i) any act of **terrorism**, regardless of any other cause or event contributing concurrently or in any other sequence to the loss
 - (ii) any action taken in controlling, preventing, suppressing or in any way relating to any act of **terrorism**
 - (b) for Northern Ireland
 - (i) any act of **terrorism**, regardless of any other cause or event contributing concurrently or in any other sequence to the loss
 - (ii) any action taken in controlling, preventing, suppressing or in any way relating to any act of **terrorism**
 - (iii) riot, civil commotion or malicious persons
 - (iv) strikers, locked-out workers or persons taking part in labour disturbances, except for **damage** or interruption to the **business** caused by fire or explosion

If any of the points above are found to be invalid or unenforceable, the remainder of the points shall remain in full force and effect.

In any action, lawsuit or other proceedings or where **we** state that any loss, damage, cost or expense is not covered by this section it will be **your** responsibility to prove that they are covered.

- (15) any claims caused by or arising directly or indirectly from any **fungal pathogens**.
- (16) any loss, damage, cost or expense under Section A – Material Damage or Section B – Loss of Rent directly or indirectly caused by, contributed to or arising from the failure of equipment (including any **computer systems**) to correctly recognise any given date or to process data or to operate properly due to failure to recognise any given date.



SECTION A – MATERIAL DAMAGE

The following cover applies only if **your schedule** shows that it is included.

Limit of cover

The most **we** will pay for any **buildings** covered by this section is the **sum(s) insured** shown in **your schedule** for each item plus index linking unless stated in the wording that an extension will be paid in addition to the **sum(s) insured**.

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION A – MATERIAL DAMAGE

Assigned Premises

Buildings formerly owned by, leased by or leased to **you**, which has been assigned to a successor landlord or tenant before any occurrence which may result in a claim under this section.

Computer Systems

Computer or other equipment or component or system or item which processes stores transmits or receives **data**.

Cyber Act

An unauthorised, malicious or criminal act or series of related unauthorised, malicious and criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **computer systems**.

Cyber Incident

- any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **computer systems**; or
- any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **computer systems**.

Data

Any data of any sort whatever, including without limitation tangible or intangible data, and any programs or software, bandwidth, cryptographic keys, databases, documents, domain names or network addresses or anything similar, files, interfaces, metadata, platforms, processing capability, storage media, transaction gateways, user credentials, websites, or any information whatever.

Denial of Service Attack

Any actions or instructions constructed or generated with the ability to damage, interfere with or otherwise affect the availability or performance of networks, network services, network connectivity or **computer systems**. Denial of service attacks include, but are not limited to, the generation of excess traffic into network addresses, the exploitation of system or network weaknesses, the generation of excess or non-genuine traffic between and amongst networks and the procurement of such actions or instructions by other **computer systems**.

Hacking

Unauthorised access to any **computer systems**, whether **your** property or not.

Phishing

Any access or attempted access to **data** made by means of misrepresentation or deception.

SECTION A – MATERIAL DAMAGE

Virus or Similar Mechanism

Program code, programming instruction or any set of instructions constructed with the purpose and ability, or purposely used, to damage, interfere with, adversely affect, infiltrate or monitor computer programs, **computer systems**, **data** or operations, whether involving self-replication or not. The meaning of virus or similar mechanism includes but is not limited to trojan horses worms and logic bombs and the exploitation of bugs or vulnerabilities in a computer program to damage, interfere with, adversely affect, infiltrate or monitor as above.

SPECIAL CONDITIONS – SECTION A MATERIAL DAMAGE

These conditions of cover apply only to this section. **You** must comply with the following conditions to have the full protection of **your policy**. Conditions may specify circumstances whereby non-compliance will mean that **you** will not receive payment for a claim. However, **you** will be covered, and we will pay **your** claim if **you** are able to prove that the non-compliance with these conditions could not have increased the risk of the loss which actually occurred in the circumstances in which it occurred.

(1)Contribution

- (a) Where any **damage** or legal liabilities covered by this **policy** is also covered by another policy, **we** will only pay a rateable share of the loss.
- (b) If the other insurance is subject to an underinsurance condition, and this **policy** is not, this **policy** will become subject to the same underinsurance condition.
- (c) If the property insured covered by the other insurance is subject to a provision excluding proportional payment in whole or in part, the payment **we** will make will be limited to the proportion of the **damage** as the **sum(s) insured** bears to the value of the property.

(2)Demolition, Ground Works, Excavation or Construction

You must notify **us** as soon as possible if **you** become aware of any demolition, ground works, excavation or construction being carried out on any adjoining site and **we** will then have the right to vary the terms or cancel the cover if **we** consider that the risk has changed

(3)Payments On Account

In the event of **damage**, **we** can, at **our** option, make monthly payments to **you** if required.

(4)Sprinklers

Any faults or defects found, or alterations or modifications made to any automatic sprinkler system must be notified to **us** by **you** immediately.

(5)Unoccupied Properties

You must tell **us** immediately that **you** become aware;

- (a) that the **building** is **unoccupied**.
- (b) of any **damage** to the **unoccupied building** whether the **damage** is insured or not.

Then

- (c) **you** must ensure that the **building** or **unoccupied** portion of the **building** is inspected internally and externally at least every seven days by **you** or on **your** behalf. A written log of these inspections must be retained by **you** and provided to **us** at **our** request.
- (d) **you** must ensure that all refuse, waste materials and any combustible residual tenants contents be removed from the interior of the **building** and no accumulation of refuse and waste is allowed in the adjoining yards or space owned by **you**.
- (e) for any **unoccupied building** or **unoccupied** portion of the **building** **you** must and put all protective locking devices and any alarm protection into effective operation.
- (f) **you** must ensure that the gas and electricity supplies are turned off at the mains (except electricity needed to maintain any fire or intruder alarm systems).

SECTION A – MATERIAL DAMAGE

- (g) any **unoccupied building** or **unoccupied** portion of the **building** must have
 - (i) all water supplies including sprinkler systems drained and isolated from the mains. or
 - (ii) during the period 1st October to 31st March all water systems will be drained, or any heating system put into effective operation to maintain the internal temperature at a minimum of ten degrees centigrade.
- (h) **you** must implement any additional protections that **we** may require within the time scale **we** specify.
- (i) all **damage** to the **building** must be rectified immediately.
- (j) letterboxes must be sealed shut.
- (k) the final exit door of the **building** must be secured by an appropriate mortice deadlock which has five or more levers and conforms to British Standard (BS) 3621 or a cylinder lock conforming to European Norm (EN) 1303 together with a matching metal box striking plate, installed in accordance with the manufacturer's recommendations.

If **you** do not comply with this condition, then **you** will not be covered, and **we** will not pay **your** claim.

(6) Workmen

Tradesman may be employed to effect repairs or minor structural alterations in all or any of the **buildings** without prejudice to this insurance.

COVER
 What is Covered
The buildings and landlords contents at the premises against damage occurring during the period of insurance .
 What is <u>not</u> Covered
Any loss or damage either specifically excluded under this section, the General Conditions and/or the General Exclusions or via endorsement(s) .
In respect of Malicious persons and acts of vandalism: We will not cover loss or damage by any resident to the block of flats, maisonette or private dwelling house in which the resident resides which can be recovered from any security deposit lodged by the resident .
In respect of escape of water from any tank, apparatus or pipe including the cost of replacing any tank apparatus or pipe which has suffered damage at the time of the occurrence: We will not cover loss or damage caused by water discharged or leaking from any automatic sprinkler installation.
In respect of theft or attempted theft: We will not cover loss or damage caused by any resident to the block of flats, maisonette or private dwelling house in which the resident resides which can be recovered from any security deposit lodged by the resident .

SECTION A – MATERIAL DAMAGE

In respect of subsidence or ground heave of the site on which the **buildings** stand or landslip:

We will not cover:

- (a) the **excess**.
- (b) Loss or damage while the **buildings** or structures are undergoing demolition, structural repair or alteration, construction or erection.
- (c) loss or damage to garages (that are part of a residential development unless **damage** occurs to the main residential building at the same time by subsidence ground heave or landslip), gangways, canopies, conveniences, service areas, yards, car parks, access roads, pedestrian ways, planters, ornamental features, statues, street furniture, landscaping, lamp posts, walls, gates, fences, fixed signs, fuel and oil tanks, cess pits, septic tanks including utility services extending to the public main unless also affecting the **buildings** insured by this **policy**.
- (d) damage to **buildings** which have been erected for less than ten years resulting from the settlement or movement of infilled or made-up ground.
- (e) loss or damage caused by:
 - (i) normal settlement or bedding down of new structures.
 - (ii) coastal or river erosion.
 - (iii) defective design, inadequate construction of foundations or the use of defective materials.
 - (iv) ground works or excavation.
 - (v) fire, subterranean fire, explosion, earthquake or escape of water.
- (f) loss or damage to the **buildings** caused by its own collapse or cracking.
- (g) loss or damage which originated prior to the inception of this cover.

In respect of accidental damage:

We will not cover:

- (a) loss or damage caused by misuse, faulty workmanship, defective design, the use of faulty materials, inherent vice or latent defect unless such loss or damage subsequently results in physical loss or **damage** by another cause.
- (b) loss or damage caused by collapse.
- (c) disappearance, unexplained or inventory shortage, misfiling or misplacing of information.
- (d) cracking, fracturing, collapse or overheating of boilers, economisers, vessels, tubes or pipes, nipple leakage and/or the failure of welds of boilers.
- (e) mechanical or electrical fault or breakdown.
- (f) loss or damage to property as a result of it undergoing any process.
- (g) loss of **rent**.
- (h) loss or damage resulting from causes expressly excluded by this **policy**.

Faulty or defective workmanship exclusion

We will not cover **you** for damage caused by or consisting of faulty or defective workmanship, operational error or omission by **you**, any **employees** or anyone on **your** behalf, other than for **damage** caused by a **defined peril**.

Wear and tear, deterioration exclusion

We will not cover **you** for damage caused by or consisting of inherent vice, latent defect, gradual deterioration, wear and tear, frost, change in water table level or its own faulty or defective design or materials. But **we** will cover subsequent **damage** which itself results from a **defined peril**.

Cyber exclusion

We will not cover **you** for any loss, damage, cost or expense directly or indirectly caused by, contributed to by, arising from, occasioned by or resulting from

- (a) any **cyber act** including but not limited to **hacking, phishing, denial of service attack** or the transmission of any **virus or similar mechanism**
- (b) any **cyber incident**

This exclusion shall not apply to claims for **damage** resulting from fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them covered by this section.

SECTION A – MATERIAL DAMAGE

ADDITIONAL COVERS – SECTION A MATERIAL DAMAGE

The following additional covers are also included, subject to any specific conditions (as noted within the ‘**What is Covered**’ column) and specific limitations and/or exclusions (as noted within the ‘**What is not Covered**’ column).

 What is Covered	 What is <u>not</u> Covered
(1) Temporary Removal Cover We will cover you for the temporary removal of; (a) property insured for cleaning, renovation, repair, or similar process or (b) deeds, documents, and plans to any building within the territorial limits including whilst in transit.	We will not cover (a) property more specifically insured. (b) business books, data storage materials, stock and materials in trade. (c) property removed for more than 90 consecutive days. The maximum we will pay shall not exceed £25,000 for any one occurrence.
(2) Value Added Tax Cover The insurance of buildings as advised to us extends to include Value Added Tax paid by you (including “Self-Supply” Value Added Tax) which is not subsequently recoverable provided that: (a) (i) your liability for such tax arises solely as a result of the rebuilding or repair of the buildings to which such item relates following damage. (ii) we have paid or agreed to pay for such damage. (iii) if any payment made by us in respect of the rebuilding or repair is less than the actual cost of the rebuilding or repair any payment resulting from that damage shall be reduced in like proportion. (b) our liability for such tax does not arise from the replacement buildings having greater floor area than or being better or more extensive than the destroyed or damaged buildings. (c) where an option to reinstate on another site is exercised our liability under this insurance shall not exceed the amount of tax that would have been payable had the buildings been rebuilt on its original site (d) our liability shall not include amounts payable by you as penalties or interest for non-payment or late payment of tax. (e) you have taken all reasonable precautions to insure adequately for VAT liability at inception of the policy and at each subsequent renewal date.	

SECTION A – MATERIAL DAMAGE

(3) Landscaped Gardens Cover We will pay towards the costs and expenses incurred in making good damage to landscaped gardens and grounds as a result of damage to the premises. This also includes any damage caused by the emergency services.	We will not cover; (a) the cost of moving soil other than as necessary for surface preparation. (b) the failure of trees, shrubs, plants or turf to become established. (c) the failure of seeds to germinate. (d) damage caused by disease, infection or application of chemicals.
(4) Replacement of Locks Cover We will cover you for the cost of replacing external door locks or resetting digital locks after the loss of keys due to: (a) theft from the buildings, registered office or from your home. (b) theft following hold-up when the keys are in the personal custody of you or any principal, director, partner or employee authorised to hold such keys. (c) reasonable evidence that the keys have been duplicated by an unauthorised person.	The maximum we will pay shall not exceed £5,000 for any one premises in any one period of insurance.
(5) Fire Extinguisher and Alarm Resetting Expenses Cover We will pay the reasonable costs incurred by you in resetting fire and burglar alarms and CCTV equipment and refilling or recharging portable fire extinguishing appliances, local and fixed fire suppression systems and sprinkler installations and replacing used sprinkler heads solely in consequence of an attempt to extinguish or minimise damage to the premises.	We will not cover any costs and expenses recoverable from; (a) your maintenance company. (b) any public authority.
(6) Contract Works & Contractor's Interest Cover This insurance is extended to include the contract works and contractor's interest as joint named insured in respect of the buildings where required under the terms of any contract awarded under the JCT Standard Form of Building Contract incorporating the 1986 Amendment to Insurance and related Liability Provisions (or equivalent thereof).	The maximum we will pay you for this cover is £100,000 for any one claim, unless we agree otherwise in writing. The cover will only apply as long as the arrangement of the insurance under the contract falls to the insured and the contract works are not insured elsewhere.
(7) Unauthorised Use of Electricity, Gas and Water Cover We will pay the cost of electricity, gas and metered water for which you are legally responsible arising from its unauthorised use by persons occupying buildings without your authority, provided that you shall take all practical steps to terminate such unauthorised use as soon as it is discovered.	

SECTION A – MATERIAL DAMAGE

(8) Additional Metered Services Charges Cover We will pay the additional electricity, gas and metered water charges incurred by you following damage to the buildings. The amount we pay will be based on the amount of charges for the period when the damage occurs, less the charge paid by you for the corresponding period in the preceding year. This will then be adjusted for changes in the suppliers' charges and for variations affecting your consumption of services during the intervening period.	We will not cover (a) any loss which has not been discovered and remedial action taken within 30 days of the damage occurring. (b) for any charges incurred for any building that is unoccupied. The maximum we will pay shall not exceed: - £15,000 for any one occurrence - £25,000 in any one period of insurance.
(9) Tenants Stock & Possessions Cover Tenants stock and possessions are insured against damage occurring during the period of insurance lawfully secured by you in lieu of rent owed provided that; (a) the goods are stored in a secure building in the territorial limits. (b) an inventory is signed by you and issued to the tenant as soon as the goods are taken into your custody. (c) the goods are inspected at least every seven days.	We will not cover (a) loss or damage you by a more particular policy. (b) theft or attempted theft not involving entry to or exit from the building where the goods are stored by forcible and violent means. (c) loss or damage in respect of audio or visual equipment, cigarettes, cigars, tobacco, wines and spirits (d) any shortfall in the sum(s) insured or excess applicable under a more particular policy. The maximum we will pay shall not exceed £5,000 either: - for any one occurrence or - in any one period of insurance.
(10) Personal Possessions Cover Directors, partners, customers, visitors and employees' personal effects of every description (other than motor vehicles) insured against damage insofar as they are not otherwise insured.	The maximum we will pay shall not exceed £500 in any one occurrence.
(11) Insurance Premium Cover We will pay towards the cost of any additional insurance premiums incurred solely as a result insured damage to the premises.	The maximum we will pay shall not exceed £5,000 either: - for any one occurrence or - in any one period of insurance.
(12) Fly Tipping Cover We will pay the reasonable costs of clearing and removing any property illegally deposited in or around the buildings.	The maximum we will pay shall not exceed: - £2,500 for any one occurrence or - £15,000 in any one period of insurance. We will not cover any costs up to the excess shown on your schedule.

SECTION A – MATERIAL DAMAGE

(13) Removal of Nests Cover We will pay for the cost of removing wasps, bees or hornets' nests from the buildings.	The maximum we will pay shall not exceed £500 for any one occurrence.
(14) Tree Felling or Lopping Cover We will pay the cost of felling or lopping trees at the premises which are an immediate threat to the safety of life or property as a result of damage.	The maximum we will pay shall not exceed: - £500 for any one occurrence or - £2,500 in any one period of insurance.
(15) Tree Removal Cover We will cover the reasonable costs and expenses necessarily incurred in removing fallen trees and branches from the premises resulting from damage.	The maximum we will pay shall not exceed: - £500 for any one occurrence or - £2,500 in any one period of insurance.
(16) Trace & Access Cover We will pay the costs and expenses necessarily and reasonably incurred by you in locating the actual source of • an escape of water from any tank, apparatus or pipe and subsequent making good damage arising directly from the actual source with our prior consent. • damage to cables, underground pipes and drains providing services to the premises and for which you are legally responsible. and any subsequent making good of the damage arising directly from the actual source with our prior consent.	
(17) Loss Minimisation Costs & Prevention Expenditure Cover We will pay the costs and expenses necessarily and reasonably incurred by you to prevent or minimise damage at the premises with our prior consent provided such costs are; (a) directly related to damage which would have been covered under this insurance which is likely to occur unless urgent preventative action is taken. (b) not more specifically insured under this or any other policy, bond, indemnity, security or legally binding contract (c) incurred with the consent of us.	We will not cover; (a) 10% of all costs payable or £500, whichever is the greater. (b) any costs and expenses which exceed the reduction in loss or damage avoided. (c) any costs and expenses otherwise incurred under General Condition 7) - Reasonable Care. The maximum we will pay shall not exceed £2,500 for any one occurrence and £15,000 in any one period of insurance.

SECTION A – MATERIAL DAMAGE

(18) Privity of Contract Cover

The cover provided is on a claims made basis.

All costs and expenses incurred with **our** prior written approval are included within the limits of liability stated in part (3) of this cover.

- (1) **We** will cover **you** for legal liability as a former landlord or tenant to any current landlord or tenant to provide cover to repair or reinstate **damage to premises** which
 - (a) arises from a breach by any current landlord or tenant of their obligations under a lease to provide cover to repair or reinstate **damage** covered under this section to any **assigned premises** where **you** have also breached those obligations, and
 - (b) arises out of any claim which is first made in writing to **you** during any **period of insurance** and notified to **us**
 - (i) during, or
 - (ii) within 30 days after expiry of the same **period of insurance**.
- (2) **We** will cover **you** for **your** legal liability for claimant's costs and expenses in connection with (1) above.
- (3) **We** will cover **you** for
 - (a) the costs of legal representation at court proceedings arising out of any occurrence specified in (1) above, which may be the subject of indemnity under this cover incurred with **our** written consent.
 - (b) all other costs and expenses in relation to any matter which may form the subject of a claim for indemnity under (1) above incurred with **our** written consent.

Provided that

- (i) **our** liability any one claim for buildings and rental income will not exceed £1,000,000 in the aggregate any one **period of insurance**.
 - (ii) In no circumstances will **our** liability exceed the lesser of
- (1) The difference between
 - (a) the amount payable under the insurance effected by any other landlord, former landlord, tenant, former tenant or any other insurance of this typeand
 - (b) the total cost of insurance repairs or reinstatement provided for by this **policy** except in cases which fall within 2a and 2b below, the difference between
- (2)
 - (a) the amount payable under any insurance effected by any other landlord, former landlord, tenant, former tenant or any other insurance of this typeand
 - (b) the total amount payable by the '**Basis of Settlement – Section A -Material Damage**' under this **policy**

SECTION A – MATERIAL DAMAGE

if at the date of the claim the assigned premises is intended for renovation, refurbishment or redevelopment. (c) in either of 1a, 1b, 2a or 2b above our rateable portion of the damage calculated according to the number of people (whether insured or not) who have at any time held or who hold the reversion of the lease of the assigned premises. (3) you must take all reasonable steps, including but not limited to, making or joining in any necessary application to court to obtain release from its liabilities as former landlord or tenant of the assigned premises following disposal.	
(19) Eviction of Squatters Costs Cover We will pay towards the legal expenses incurred by you in evicting squatters from any of the buildings subject to you obtaining the prior written consent of us.	The maximum we will pay shall not exceed £7,500 for any one occurrence and/or in any one period of insurance.
(20) Emergency Services Cover We will cover the costs and expenses incurred by you following damage to the buildings resulting from the actions of the emergency services including deliberate acts where such deliberate acts are for the purpose of safeguarding human life or minimising damage covered by this section.	

SECTION A – MATERIAL DAMAGE

(21) Illegal Cultivation of Drugs Cover We will cover you for the clean-up costs and remedial works from the use of the premises for the manufacture, cultivation, harvesting or processing by any other method of drugs classed as a controlled substance under the Misuse of Drugs Act (1971). This is provided that you: (a) carry out internal and external inspections of the buildings at least every 3 months or as frequently as is permitted under the tenancy agreement and (i) maintain a log of those inspections and retain that log for at least 24 months. (ii) carry out a 6 monthly management check of the inspections log. (b) obtain and record a written formal identification of any prospective tenant. (c) obtain and retain a written employers' reference for any new tenant. (d) obtain and record details of your tenant's bank account and verify those details by receiving at least one payment from that account. (e) advise your tenant, where sub-letting is allowed by the tenancy agreement, that they must follow the measures laid out in items (b), (c) and (d) above for all lettings that they arrange. If you do not comply with the above, you will not receive payment in respect of a claim.	
(22) Removal of Vermin Cover We will cover the reasonable costs incurred by you where you are required by a local authority or similar body to have vermin removed from any building.	The maximum we will pay shall not exceed: - £2,500 for any one occurrence - £15,000 in any one period of insurance.
(23) Archaeological Discoveries Cover We will cover you for the costs incurred following damage as a direct result of you complying with your statutory obligations following the discovery of archaeological finds during site excavation at the premises. Provided that you did not have any pre existing knowledge of the presence of archaeological remains prior to the start of works.	The maximum we will pay for this cover is £50,000 any one claim.

SECTION A – MATERIAL DAMAGE

(24) Sprinkler Upgrade Costs Cover We will cover you for the additional costs incurred following damage to the buildings to upgrade an automatic sprinkler installation within your buildings in order to meet current Loss Prevention Council (LPC) rules. Provided that at the date of the damage the installation conforms to the LPC rules current at the date of installation and that the system has a complete service record up to the date of the damage.	
(25) Further Investigation & Damage Expenses Cover If, following damage covered under this insurance, in the opinion of a competent construction professional there is a reasonable possibility of other damage to portions of the same buildings which is not immediately apparent, we will pay the reasonable costs incurred by you, with our prior consent, in establishing whether or not such damage has occurred. We will also cover the reasonable costs incurred by you with our written consent in establishing whether or not other surrounding buildings have suffered damage in the same incident but only if those buildings are subsequently found to have suffered damage for which we are responsible.	
(26) Public Authorities Cover Subject to the following special conditions, the cover for your buildings also includes the additional cost of reinstatement that may be incurred solely due to the necessity to comply with the stipulations of building or other regulations under or there to support any Act of Parliament or bye-laws of any public authority referred to as the stipulations, for (a) the damage to the buildings (b) undamaged portions of the buildings. Special conditions applicable to Public authorities cover: (a) Reinstatement work must be started and carried out without unreasonable delay and must be completed within 12 months after the damage or any further time that we agree (during those 12 months). (b) Reinstatement may be carried out on another site (if the stipulations require) subject to our liability under this extension not being increased. (c) If our liability under this section is reduced by the application of any of the terms and conditions of the policy, then our liability for Public authorities cover will be reduced proportionately. (d) The total amount recoverable for any buildings will not exceed its sum(s) insured.	We will not cover: (a) the cost incurred in complying with the Stipulations. (i) for damage occurring prior to the granting of this cover. (ii) for damage not insured by this section. (iii) where you have been served notice prior to the damage happening. (iv) where there is an existing requirement which has to be implemented within a given period. (v) for buildings entirely undamaged by any insured event. (b) the additional cost that would have been required to make good the damaged buildings to a condition the same as when new, had the need to comply with the stipulations not arisen. (c) the amount of any charge or assessment arising out of capital appreciation which may be payable for the buildings or by the owner to comply with the stipulations.

SECTION A – MATERIAL DAMAGE

(27) Removal of Debris Cover We will cover you for the costs and expenses necessarily incurred by you with our consent in (a) removing debris from (b) dismantling and/or demolishing (c) shoring up or propping the portion or portions of the buildings as a result of damage.	We will not pay for costs and expenses; (a) incurred in removing debris except from the site of the damaged buildings and the area immediately adjacent to the site. (b) arising from pollution or contamination of property not insured by this section.
(28) Removal of Debris (Tenants Contents) Cover We will cover you for the irrecoverable costs and expenses (where they are not insured elsewhere) incurred by you with our consent to remove the debris of tenants contents following damage.	We will not cover costs or expenses; (a) incurred in removing debris except from the site of the damaged buildings and the area immediately adjacent to the site. (b) arising from pollution or contamination of other property not insured by this section.
(29) Architects, Surveyors, Legal and Consulting Engineers Fees Cover We will cover you for architects, surveyors, legal and consulting engineers' fees necessarily incurred with our written consent in the reinstatement or repair of the buildings as a result of its damage.	We will not cover you for the costs incurred in preparing any claim.
(30) Additional Management Fees Cover We will cover you for the cost of managing agents fees that you incur for the management and supervision of repair or rebuilding work solely as a result of damage. Provided that the fees solely relate to any additional work which would not have been necessary had the damage not occurred.	We will not cover the cost of preparing any claim under this insurance. The maximum we will pay shall not exceed £15,000 for any one occurrence and/or in any one period of insurance.

SECTION A – MATERIAL DAMAGE

(31) Reinstatement to Match Cover Where the buildings suffer damage we will pay for the replacement, repair or restoration of exterior portions of the buildings with equivalent property which may employ current technology and replacement, repair or restoration with such property shall not be regarded as being better or more extensive than when new. Furthermore, we will pay for the replacement or modification of undamaged exterior portions of the buildings insofar as it is necessary to adapt it to or replace or to operate in conjunction with the buildings suffering damage and which has been replaced, repaired or restored. Where the buildings are partially damaged our liability shall not exceed the sum representing the cost which we could have been called upon to pay for reinstatement if the buildings had been wholly damaged.	The maximum we will pay shall not exceed 10% of the declared value any one occurrence or the amount that would have been payable had the property been wholly destroyed, whichever is the less.
(32) Loss of Investment Value Cover If any building awaiting sale suffers damage and the sale is delayed because of the damage and the price achieved is less than would have been achieved had the sale of the building not been delayed, we will cover you for loss of investment value following delay in sale as a result of damage. Provided that the loss was specifically due to damage and not due to a general decline in investment values. You will have to substantiate the amount you are claiming for and this will need to be agreed by us. We will take into consideration any amounts already recovered for damage covered under this section or from any other policy, provided that: (i) if at the time of damage you have entered into a contract to sell your interest in the buildings or have accepted an offer in writing and the sale has not been completed, solely as a result of damage.	The maximum we will pay shall not exceed £250,000 for any one occurrence in addition to the agreed sum(s) insured for the buildings.

SECTION A – MATERIAL DAMAGE

(33) Loss of Market Value Cover We agree that: (a) if you elect not to repair or rebuild the buildings, we will pay you the reduction in the market value of the buildings immediately following the damage but not exceeding the amount which would have been payable had the buildings been repaired or rebuilt. (b) if as a result of damage, you are required to rebuild or reinstate the buildings in a manner different from that immediately before the damage solely to comply with the stipulations (as defined in the Public authorities cover) and as a result there is reduction in market value of the buildings we agree to pay: (i) cost of repairing or reinstating the buildings. (ii) cash settlement representing the reduction in market value.	The maximum we will pay shall not exceed the amount that would have been payable had the buildings been repaired or reinstated in an identical manner to their condition immediately before the damage. The maximum amount recoverable under any item of the policy will not exceed the sum(s) insured.
(34) Obsolete Building Materials Cover The policy extends to include the reasonable additional costs incurred following damage covered under this insurance in replacement of materials which given consideration to the scientific and technical knowledge at the time of installation, construction or fitting were reasonably deemed to be fit for the purposes intended but require replacement with more suitable modern materials.	The maximum we will pay shall not exceed 10% of the sum(s) insured for buildings for any one occurrence.
(35) Explosion of Steam Pressure Plant Cover We will cover damage to buildings with a declared value in excess of £1,000,000 resulting from the bursting of any boiler or other plant which belongs to or is under your control and in which internal pressure is due to steam only and which is not caused by any boiler or gas used for domestic purposes. Provided that (a) our liability will not exceed £1,000,000 any one claim in excess of the first £1,000,000 any one claim. (b) a separate Engineering insurance policy is in force for the first £1,000,000 of each and every claim. (c) the plant is regularly inspected by an independent competent engineer in accordance with statutory requirements. General Exclusion (12) n) does not apply to this cover.	We will not pay the first £1,000,000 of each and every occurrence.

SECTION A – MATERIAL DAMAGE

(36) Damage to Cables and Underground Pipes Cover We will cover you for the costs that you incur following damage for which you are responsible to cables and underground pipes including their inspection covers at the buildings or connecting the buildings to the public mains.	
(37) Debris Recycling Cover We will cover you for the additional costs and expenses that you incur with our written consent to sort, separate and transport recyclable debris to recycling amenities following damage.	We will not be liable for the first 10% of all costs and expense payable under this extension. The maximum we will pay for all claims in total for this cover is the lower of either £15,000 or 25% of the total amount paid or payable by us in respect of the costs of removing debris.
(38) Drains Clearance Cover We will cover you for the costs and expenses necessarily and reasonably incurred by you in clearing, cleaning and/or repairing drains, gutters and/or sewers to your premises for which you are legally responsible, following damage to your premises.	
(39) Expediting Costs Cover We will cover you for the costs and expenses that you incur with our written consent for temporary repairs to the buildings in order to keep your buildings secured.	The maximum we will pay for this cover is £5,000 for any one building during any one period of insurance.
(40) Falling Aerials Cover We will cover you for damage to the buildings arising from breakage or collapse of television and radio receiving aerials (including satellite dishes) fittings and masts.	
(41) Environmental Cover We will cover you for the additional costs necessarily and reasonably incurred with our consent in rebuilding or repairing the buildings following damage in a manner that aims to reduce potential harm to the environment by improving energy efficiency.	We will not cover you; (a) under this cover for the additional cost of complying with any Act of Parliament or bye-laws of any public authority. (b) for any additional costs for work you had already planned to be carried out prior to the damage. (c) for any additional costs for replacing undamaged buildings. (d) for any unoccupied buildings. (e) where you elect not to rebuild or repair the building. The maximum we will pay shall not exceed £250,000 for any one claim for any one building in addition to the sum(s) insured for the building.

SECTION A – MATERIAL DAMAGE

(42) Concern for Welfare Costs Cover We will cover you for damage caused by the police or people acting under their control in gaining access to the buildings as a result of their concern for the welfare of an occupier of the buildings. Provided that we will not be responsible for costs incurred following damage caused by the police in the course of criminal investigations.	The maximum we will pay for this cover is £15,000 any one claim.
(43) Flood Resilience and Protection Expenses Cover In the event of damage to premises insured caused by flood, we will pay for: (a) any additional rebuilding costs for the incorporation of flood resilient materials. (b) the relocation within the same buildings of replacement landlords fixtures and fittings insured under the policy to an area of reduced exposure to damage by water arising from storm and/or flood. (c) the additional cost in the utilisation of BS 851188 (or similar or replacement standard) approved products or other appropriate products, methods or schemes including specialist consultant fees for the purposes of providing protection against future damage by water arising from storm and/or flood,	We will not pay for: (a) any additional costs for work you had already planned to be carried out prior to such damage. (b) the most we will pay for all claims in total for this cover is the lower of either £15,000 or 100% of the actual amount paid or payable by us to reinstate the damage in the absence of this cover. This will be paid by us in addition to the buildings declared value. (c) any additional costs for the amount of any charge or assessment arising out of capital appreciation which may be payable by you in respect of the premises insured. (d) any additional costs for the cost incurred in complying with prevailing regulations under or framed in pursuance of any Act of Parliament or bye-laws of any public authority under which notice has been served upon you prior to the happening of such damage. (e) any additional costs for replacing or protecting undamaged parts of the premises insured (f) the first 10% of all costs otherwise payable under the terms of this cover (g) any costs if you choose not to rebuild the buildings. If our liability is reduced by the application of any of the terms and conditions of this policy, our liability under this cover will be similarly reduced.
(44) Frustrated Legal Costs Cover If the sale of any buildings is cancelled solely as a result of damage then we will cover you for the actual loss sustained by you for legal costs and expenses incurred or subsequently incurred solely as a result of the cancellation of the sale as a result of the damage.	The maximum we will pay for all claims in total for this cover is £15,000 during any one period of insurance.

SECTION A – MATERIAL DAMAGE

(45) Glass Breakage Cover We will, at our option, pay for or make good any breakage or malicious scratching of all internal or external fixed glass, belonging to you or for which you are responsible at the premises. Provided that the glass is in good condition and free from damage at the start of this policy. We will also pay for the cost of (a) boarding up and repair to associated framework, reasonably incurred as a result of an insured breakage. You may instruct builders or glaziers to board up where necessary without our prior consent (b) removal or replacement of fixtures and fittings which may be necessary in connection with the replacement of the glass.	
(46) Hire Agreement Cover It is agreed that at your request the interest of owners of hired in equipment are noted. You must provide us with the names, nature and extent of such interests at the time of the damage.	

SECTION A – MATERIAL DAMAGE

(47) Involuntary Betterment Cover In the event that new property of like kind and quality is not available, new property which is as similar as possible to that which is damaged and is capable of performing the same function, will be deemed to be new property of like kind and quality and in no event will this be considered as a betterment to you. In the event of replacement with new property we will pay the cost of purchasing and installing technologically current equipment which is needed due to incompatibility between (a) new equipment installed to replace the damaged equipment and (b) non damaged existing equipment at the same or an interdependent location provided that (i) the damage is covered by this section (ii) we will only pay the amount sufficient to enable you to resume operations in substantially the same manner as before the damage We will pay the difference between (i) the highest sales value of the non damaged existing equipment at the same or interdependent location and (ii) the installed cost of the technologically current equipment. For the purpose of the application of any excess the damage and the necessity to replace incompatible equipment shall be regarded as one occurrence.	The maximum we will pay for this cover is £250,000 any one claim.
(48) Theft of Building Fabric Cover We will cover you for (a) damage to the external fabric of the buildings as a result of theft or attempted theft (b) damage following entry of rainwater as a result of theft or attempted theft of the external fabric of the buildings.	We will not cover the first £500 for each and every loss after the application of any condition of average. We will not provide this cover if the buildings are unoccupied.
(49) Public Relations Expenses Cover We will cover reasonable costs incurred by you if as a result of damage to any building you need to employ suitable public relations personnel to deal with press and public announcements or other necessary activities.	The maximum we will pay for this cover is - £1,000 for any one claim - £5,000 during any one period of insurance.

SECTION A – MATERIAL DAMAGE

(50) Reinstatement of Sum(s) Insured After Loss Cover In the event of loss, the sum(s) insured by this section will be automatically reinstated from the date of the loss, unless we or you give written notice to the contrary. Provided that in the event of reinstatement you will always: (a) pay the necessary premiums that may be required for the reinstatement, from the date of reinstatement (b) complete/include any additional risk improvements which we may reasonably require.	
(51) Alternative Residential Accommodation or Loss of Rent Cover Where the residential portion of the damaged building cannot be lived in or access is denied as a result of damage, in respect of each individual flat or house we will pay: (a) (i) for either the costs of reasonable alternative accommodation for your tenant, their domestic pets and the temporary storage of your tenants furniture or (ii) loss of rental income suffered by you (b) you for the temporary storage of your contents and the contents of communal parts.	The maximum we will pay for this cover is 20% of the sum(s) insured on the damaged building in addition to the buildings sum(s) insured that has been damaged for a maximum period of 36 months from the date of damage, provided that this cover is not insured elsewhere.
(52) Managing Agents Subrogation Waiver (Optional Cover) Where shown on your policy schedule as being operative and chosen by you, in the event of a claim arising under Section A – Material Damage or Section B – Loss of Rent, we agree to waive any rights, remedies or relief to which we may be entitled to by subrogation against a managing agent if acting solely in the capacity as managing agent in respect of your property, but excluding damage, consequential loss or loss of rent arising out of the managing agent's gross negligence, wilful act or recklessness.	

SECTION A – MATERIAL DAMAGE

(53) Malicious Damage by Residents (Residential) Cover We will pay for malicious damage caused by a resident and/or other persons lawfully on the premises, which cannot be recovered from any security deposit lodged by the resident. This is provided that: (a) you or authorised persons acting on your behalf or your managing agents shall in each instance obtain and retain written and verified references for all residents or prospective residents. (b) you produce such written references at our request in the event of a claim under this Clause.	We shall not be liable for malicious damage caused by any resident occupying the building or portion of any building for residential purposes directly or indirectly caused by: (a) theft or attempted theft; and/or (b) the illegal cultivation of drugs.
(54) Theft of Attempted Theft by Residents (Residential) Cover We will pay for theft or attempted theft caused by a resident and/or other persons lawfully on the premises, which cannot be recovered from any security deposit lodged by the resident. This is provided that: (a) you or authorised persons acting on your behalf or your managing agents shall in each instance obtain and retain written and verified references for all residents or prospective residents. (b) you produce such written references at our request in the event of a claim under this Clause.	We shall not be liable for theft or attempted theft caused by any resident occupying the building or portion of any building for residential purposes directly or indirectly caused by: (a) malicious damage; and/or (b) the illegal cultivation of drugs.
(55) Seventy-Two Hours Provision Cover We will cover you for damage within 72 consecutive hours caused by earthquake, storm or flood as one claim, provided the perils are covered under Section A - Material Damage. You can decide when the 72 hour period starts as covered under Section A - Material Damage, provided that all damage occurs within the period of insurance.	

BASIS OF SETTLEMENT – SECTION A – MATERIAL DAMAGE

Reinstatement

If applicable reinstatement cover will be shown on **your schedule**. Where **your buildings** have been lost, **damaged** or destroyed **we** will either:

- (a) Pay **you** the cost of rebuilding or repairing the **buildings**.

Or at **our** option

- (b) reinstate or replace the **buildings** or any part of it.

The most **we** will pay under this **policy** will not exceed:

- (i) in the whole, the total **sum(s) insured** or for any item its **sum insured** at the time of **damage**.
- (ii) the **sum(s) insured** or limit remaining after deduction for any other **damage** occurring during the same **period of insurance** unless **we** have agreed to reinstate any of the **sum insured** or limits.

Where **your landlords' contents** have been lost, **damaged** or destroyed **we** will pay the cost of:

- (a) repairing or replacing any **landlords contents** where insured here under with other similar property in either case to a condition equal to but not better or more extensive than its condition when new.
- (b) replacement for stock and all other property for the value at the time loss or destruction with adjustment for wear and tear.

Reinstatement may be carried out upon another site and in any manner suitable to **your** requirements subject to **our** liability not being increased.

Day One Uplift

If applicable day one uplift cover will be shown on **your schedule**. Where **your** property has been **damaged**, **we** will pay the cost of:

- (a) rebuilding or repairing the **buildings**.
- (b) repairing or replacing **landlords contents** where insured by this **policy** with other similar property in either case to a condition equal to but not better or more extensive than its condition when new.
- (c) reinstating **computer systems** records, documents, manuscripts, **business** books and data carrying materials will be settled on the basis of the value of the materials together with the cost of clerical labour and computer time expended in reproducing such records (excluding any expenses in connection with the production of information to be recorded therein) and not for the value to **you** of the information contained in them.
- (d) replacement for stock and all other property will be settled on the basis of its value at the time of loss or destruction with adjustment for wear and tear.

Reinstatement may be carried out upon another site and in any manner suitable to **your** requirements subject to **our** liability not being increased.

Provided **you** notify **us** at the beginning of this insurance of the actual reinstatement cost of the **premises**, **we** will pay up to the **sum(s) insured** in order to take account of any inflationary increases during the reinstatement period which may affect the reinstatement cost of the **premises**.

Underinsurance – Section A – Material Damage

If at the time of **damage**, the **declared value** advised to **us** of the **damaged buildings** and/or **landlords contents**, exclusive of Value Added Tax for property which is exempt of such tax, represents less than 85% of the actual **declared value**, then **we** will settle any claim at the percentage **you** are insured for. For example, if the value of **your buildings** only represents 50% of the full value, then **we** will only pay 50% of **your** claim. This is also known as 'average'.



SECTION B – LOSS OF RENT

The following cover applies only if **your schedule** shows that it is included.

Notes

- (1) For the purpose of these definitions any adjustments implemented in current cost accounting will be disregarded.
- (2) To the extent that **you** are accountable to the tax authorities for Value Added Tax all terms in this section will be exclusive of such tax.
- (3) Adjustments will be made as necessary for trends of the **business** and for variations and other circumstances affecting the **business**, either before or after the **damage**, or which would have affected the **business** had the **damage** not occurred so that the adjusted figure represents as closely as possible the results which would have been obtained during the relative period after the **damage**.

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION B – LOSS OF RENT



Computer Systems

Computer or other equipment or component or system or item which processes stores transmits or receives **data**.



Cyber Act

An unauthorised, malicious or criminal act or series of related unauthorised, malicious and criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **computer systems**.



Cyber Incident

- any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **computer systems**; or
- any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **computer systems**.



Data

Any data of any sort whatever, including without limitation tangible or intangible data, and any programs or software, bandwidth, cryptographic keys, databases, documents, domain names or network addresses or anything similar, files, interfaces, metadata, platforms, processing capability, storage media, transaction gateways, user credentials, websites, or any information whatever.



Denial of Service Attack

Any actions or instructions constructed or generated with the ability to damage, interfere with or otherwise affect the availability or performance of networks, network services, network connectivity or **computer systems**. Denial of service attacks include, but are not limited to, the generation of excess traffic into network addresses, the exploitation of system or network weaknesses, the generation of excess or non-genuine traffic between and amongst networks and the procurement of such actions or instructions by other **computer systems**.



Hacking

Unauthorised access to any **computer systems**, whether **your** property or not.



Phishing

Any access or attempted access to **data** made by means of misrepresentation or deception.

SECTION B – LOSS OF RENT

Virus or Similar Mechanism

Program code, programming instruction or any set of instructions constructed with the purpose and ability, or purposely used, to damage, interfere with, adversely affect, infiltrate or monitor computer programs, **computer systems, data** or operations, whether involving self-replication or not. The meaning of virus or similar mechanism includes but is not limited to trojan horses worms and logic bombs and the exploitation of bugs or vulnerabilities in a computer program to damage, interfere with, adversely affect, infiltrate or monitor as above.

SPECIAL CONDITIONS - SECTION B LOSS OF RENT

These conditions of cover apply only to this section. **You** must comply with the following conditions to have the full protection of **your policy**. Conditions may specify circumstances whereby non-compliance will mean that **you** will not receive payment for a claim. However, **you** will be covered, and we will pay **your** claim if **you** are able to prove that the non-compliance with these conditions could not have increased the risk of the loss which actually occurred in the circumstances in which it occurred.

(1) Contribution

- (a) Where any **damage** or legal liabilities covered by this **policy** is also covered by another policy, **we** will only pay a rateable share of the loss.
- (b) If the other insurance is subject to an underinsurance condition, and this **policy** is not, this **policy** will become subject to the same underinsurance condition.
- (c) If the property insured covered by the other insurance is subject to a provision excluding proportional payment in whole or in part, the payment **we** will make will be limited to the proportion of the **damage** as the **sum(s) insured** bears to the value of the property.

(2) Payments On Account

In the event of **damage**, **we** can, at **our** option, make monthly payments to **you** if required.

COVER

 What is Covered	 What is not Covered
Loss of Rent We will cover you for the loss of rent during the indemnity period if your premises are damaged during the period of insurance and as a result your business is interrupted or interfered with, provided that we have made a payment or accepted liability under Section A – Material Damage of this policy.	Cyber Exclusion We will not cover you for any loss, damage, cost or expense directly or indirectly caused by, contributed to by, arising from, occasioned by or resulting from (a) any cyber act including but not limited to hacking, phishing, denial of service attack or the transmission of any virus or similar mechanism (b) any cyber incident This exclusion shall not apply to claims for damage resulting from fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them covered by this section.

ADDITIONAL COVERS – SECTION B - LOSS OF RENT

The following additional covers are also included, subject to any specific conditions (as noted within the 'What is Covered' column) and specific limitations and/or exclusions (as noted within the 'What is **not** Covered' column).

 What is Covered	 What is not Covered
(1) Denial of Access (Non-Damage) Cover We will cover you for loss of rental income insured by this section resulting from interruption of or interference with the business where access to, exit from or use of your premises is impaired, prevented or restricted for more than 12 hours being the franchise period arising directly from (a) restrictions having the force of law imposed by the police or other competent local (as opposed to a minister or other central government or public) authority in response solely to an emergency incident which is likely to endanger life or property occurring either only at your premises or exclusively within a 1 mile radius of your premises. (b) the unlawful occupation of your premises by third parties. Provided that the insurance provided by this cover in any one period of insurance, irrespective of the number of incidents or premises insured, shall only apply for the period starting with the prevention, impairment or restriction and end after 12 weeks in total during which time the results of the business are affected.	We will not cover you where access to, exit from or use of your premises is impaired or prevented as a result of (a) physical loss or destruction or damage to property at your premises or elsewhere. (b) riot, civil commotion, strikes, strikers, picketing, labour disturbances or trade disputes. (c) the condition of or the business conducted within your premises, or any other premises owned or occupied by you. (d) drought, murder, suicide, rape, illness, disease or pathogens capable of causing disease or illness or any other hazards to health (including but not limited to the diseases expressly specified in the Murder, suicide or disease cover within this section). (e) actions where you have been given prior notice. (f) any advice given or actions taken in controlling, preventing or suppressing the spread of any disease (including but not limited to the diseases expressly specified in the Murder, suicide or disease cover within this section) or illness. (g) any change in law or the enactment of new legislation (including statutory regulations). (h) any failure, interruption or reduction to the public supply of electricity, gas, water or telecommunications or any deliberate act or decision of any utility supply undertaking or public authority in cutting off, withholding, restricting or rationing, whether planned in advance or not, or the exercise by any such utility undertaking, government or public authority of its power to cut off, withhold, restrict or ration supply or services. If an incident occurs resulting in a claim under this cover, you cannot claim under any other Rental income cover for the same incident. The 'Reinstatement of sum(s) insured after loss cover' will not apply in respect of this cover.

SECTION B – LOSS OF RENT

	For the purposes of the cover provided under this cover clause, any references to damage within the meaning of the defined terms (including the notes thereto), the basis of claim settlement provisions, section or general exclusions, conditions and Policy conditions shall be read as if they were references to the prevention, impairment or restriction of access. We will not pay more than the lower of £25,000 or 25% of the annual rental income in any one period of insurance, irrespective of the number of premises insured or the number of incidents.
(2) Bomb scare or Unlawful Occupation Cover We will cover you for interruption of or interference with the business resulting from (a) the suspected or actual presence of an incendiary or explosive device on or exclusively within a 1 mile radius of your premises. (b) your premises or other property exclusively within a 1 mile radius of your premises being occupied by members of a criminal organisation or other unlawful occupants. Provided that this cover will apply for a period of 12 weeks in any one period of insurance beginning with the occurrence of the loss, during which the results of your business are affected as a result of the interruption or interference.	We will not cover: (a) any incident involving interference or interruption with the business that is less than 48 consecutive hours. (b) any period other than the actual period of prevention or hindrance of access to your premises. (c) eviction costs. We will not pay more than the lower of £25,000 or 25% of the annual rental income in any one period of insurance, irrespective of the number of premises insured. The 'Reinstatement of sum insured after loss cover' shall not apply in respect of this cover.

SECTION B – LOSS OF RENT

(3) Denial of Access (Damage) Cover

We will cover **you** for loss of **rental income** covered by this section, resulting from interruption of or interference with **your business** caused directly by damage by fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, theft, earthquake, **storm, flood**, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation, impact by any road vehicle or animal to property exclusively within a 1 mile radius of **your premises** which prevents the use of **your premises**, or access to it, regardless of whether **your premises** is damaged or not.

Provided that

- (a) fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, theft, earthquake, **storm, flood**, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation, impact by any road vehicle or animal are covered under Section A –Material Damage in respect of **your premises**
- (b) the insurance provided by this cover in any one **period of insurance** shall only apply for the period starting with the prevention of access or hindrance of use and ending after 12 weeks during which time **you** suffer a loss of **rental income**

We will not cover **you** for:

- (a) any incidents involving interference or interruption with the **business** that is less than 12 consecutive hours.
- (b) any damage to property from which **you** obtain electricity, gas, water or telecommunications services which prevent or hinder the supply of these services.

We will not pay more than the lower of either £500,000 or 25% of the annual **rental income** for any one claim in any one **period of insurance**, irrespective of the number of **premises** insured.

The 'Reinstatement of sum insured after loss cover' shall not apply in respect of this cover.

SECTION B – LOSS OF RENT

(4) Loss of Attraction Cover We will cover you for loss of rental income covered by this section, resulting from interruption of or interference with your business caused by damage by fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, theft, earthquake, storm, flood, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation, impact by any road vehicle or animal to property exclusively within a 1 mile radius of your premises which deters any potential tenants whether your premises or property are damaged or not. Provided that fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, theft, earthquake, storm, flood, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation, impact by any road vehicle or animal are covered under Section A – Material Damage in respect of your premises. The maximum indemnity period shall be 12 weeks in any one period of insurance.	We will not pay more than the lower of either 25% of the annual rental income or £25,000 irrespective of the number of premises insured.
(5) Rent Review Cover Where the rent sum insured is subject to review during the period of insurance then the sum insured will be automatically increased to reflect the actual and anticipated rental income, up to a maximum of 200% of the annual rental income. We will not charge an additional premium for such increases during the period of insurance provided that you shall at the subsequent renewal date advise us of the revised rent sum(s) insured for the forthcoming period of insurance.	

SECTION B – LOSS OF RENT

(6) Murder, Suicide or Disease Cover

We will cover **you** for any loss of **rental income** insured by this section resulting from interruption of or interference with the **business** conducted by **you** at **your premises** during the **period of insurance** as a result of

- (a) the occurrence of any of the following specified human infectious or specified human contagious diseases
 - Acute Encephalitis
 - Acute Poliomyelitis
 - Anthrax
 - Chicken Pox
 - Diphtheria
 - Dysentery caused by Shigella
 - Legionellosis
 - Legionnaires' Disease
 - Malaria
 - Measles
 - Meningococcal Infection
 - Mumps
 - Ophthalmia Neonatorum
 - Paratyphoid fever
 - Bubonic, Septicemic and Pneumonic Plague
 - Rabies
 - Rubella
 - Tetanus
 - Tuberculosis
 - Typhoid Fever
 - Whooping Cough
 - Yellow Fever

manifested by any person whilst at **your premises** which directly and exclusively results in restrictions having the force of law imposed by the police or other competent local (as opposed to a minister or other central governmental or public authority) which require the compulsory closing of the whole or part of **your premises** to prevent or restrict access to **your premises**.

- (b) murder, suicide or rape at **your premises**
- (c) bodily injury (excluding illness, disease and psychiatric injury) or bacterial food poisoning sustained by any person arising from or traceable to foreign or injurious matter in food or drink provided at **your premises**.
- (d) the discovery of vermin or pests in the building(s) at **your premises** that prevents the use of or part use of the **buildings** by order of a public authority having the force of law
- (e) the compulsory closing of the whole or part of **your premises** by order of a public authority having the force of law as a result of an accident causing a defect in the drains, toilets or sinks at **your premises**.

We will not cover:

- (a) any costs incurred in the cleaning, repair, replacement, recall or checking of the property insured.
- (b) any loss to the extent that it would have been caused in any event by disease occurring in a wider geographical area extending beyond **your premises** or by vermin or pests being discovered in a wider geographical area beyond the building(s) at **your premises**
- (c) any incident involving interference or interruption to the **business** that is less than 12 consecutive hours.

Any Disease exclusion shall apply to this Murder, suicide or disease cover, except that **communicable disease** shall not include the specified human infectious or specified human contagious diseases listed under clause (a) of this cover, the pathogens which cause them, or bacterial food poisoning, provided that such diseases listed under clause (a) have not been declared by the World Health Organisation to be a public health emergency of international concern or a pandemic.

The maximum **indemnity period** under this cover shall be 12 weeks in any one **period of insurance** commencing from the date of

- (i) the compulsory closing of the whole or part of **your premises** (in relation to clauses (a) and (e) of this cover).
- (ii) the discovery of murder, suicide or rape (in relation to clause (b) of this cover)
- (iii) the occurrence of injury or illness (in relation to clause (c) of this cover) or, where there is a series of related injuries or illness, the first occurrence of injury or illness in that series
- (iv) the order of the public authority (in relation to clause (d) of this cover).

Our liability will not exceed the lower of the maximum **indemnity period** of 12 weeks or £25,000 or 25% of the annual **rental income** in any one **period of insurance**, irrespective of the number of **premises** insured.

For the purposes of the cover provided under this cover clause, any references to damage or incident within the meaning of the defined terms (including the notes thereto), the basis of claim settlement provisions, section or general exclusions, conditions and Policy conditions shall be read as if they were references to the cover provided under clauses (a) to (e).

SECTION B – LOSS OF RENT

(7) Rent Free Period Cover If at the time of the damage any premises are subject to a rent-free period under the terms of the lease the indemnity period shall be adjusted by adding the unexpired portion of the rent-free period to the indemnity period.	The maximum we will pay shall not exceed the sum(s) insured.
(8) Increased Cost of Working Cover We will pay the expenses which you necessarily and reasonably incur solely to prevent or limit a reduction in rent during the indemnity period which but for such additional expense would have taken place due to the damage but not exceeding the amount of the reduction thereby avoided.	The maximum we will pay shall not exceed £50,000 for any one occurrence.
(9) Business & Local Authority Rates Cover We will pay the additional costs and expenses for which you become legally responsible in respect of business rates (national non-domestic rates) and any other local authority rates during the indemnity period in consequence of damage insured under this insurance provided always that but for such damage such rates would not have been payable by you. This also includes rates on unoccupied properties.	We will not pay the additional costs and expenses; (a) if you elect not to reinstate the property. (b) in respect of any portion or portions of the property which were untenanted at the time of the damage unless a tenancy agreement had been signed within three months of the date of damage and subsequently cancelled solely as a result of damage occurring. (c) where the property is unfit for occupation as a result of an act or omission by you or someone acting on your behalf which has resulted in a valuation officer reinstating the premises on the rating list. The maximum we will pay shall not exceed: - £15,000 for any one occurrence or - £25,000 in any one period of insurance
(10) Advertising Revenue Cover We will pay for any reduction in rent as a result of damage during the indemnity period in respect of advertising placed at any site covered by this insurance.	The maximum we will pay shall not exceed £5,000 for any one occurrence.
(11) Rent Cessor Cover We will pay for any reduction in rent/rental income where a pre-existing cessor clause in the lease enables a lessee to cease paying rent/rental income which but for the damage that lessee would normally pay. Our liability shall only apply for the period beginning with the occurrence of the damage and ending not later than the date when the terms of the cessor clause in the lease determine that the lessee should begin to pay such rent/rental income again during which the results of the business shall be affected in consequence of the damage.	

SECTION B – LOSS OF RENT

(12) Failure of Public Supply Terminal Ends Cover We will cover you for loss of rental income resulting from interruption or interference with your business caused by the unplanned disruption(s) of (a) the public electricity supply at the 'terminal ends' of your supplier's service feeds to the premises within the territorial limits (b) the public gas supply at your supplier's meters to the premises within the territorial limits. (c) the public water supply at your supplier's main stop cock serving the premises (other than by drought) within the territorial limits (d) the public telecommunications services supply (other than satellite services) at the incoming line, terminals or receivers to the premises within the territorial limits where such unplanned disruption(s) is a direct result of damage caused by fire, lightning, explosion, aircraft or other aerial devices or articles dropped from them, theft, malicious persons, accidental damage, earthquake, storm, flood, escape of water from any tank apparatus or pipe, leakage of oil from any fixed heating installation, impact by any road vehicle or animal. The 'Reinstatement of sum(s) insured after loss cover' shall not apply in respect of this cover. The insurance provided by this cover in any one period of insurance shall only apply for the period starting with the unplanned disruption(s) of supply or service at your premises and ending after 12 weeks in total during which time you suffer a loss of rental income regardless of the number of your suppliers affected during the period of insurance or the number of premises insured.	We will not cover (a) any failure (i) which does not involve cessation of supply, for at least the franchise period of time of 24 hours. (ii) due to an excluded cause. (b) loss resulting from failure caused by (i) any deliberate act or decision of any utility supply undertaking or public authority in cutting off, withholding, restricting or rationing, whether planned in advance or not or the exercise by any such utility undertaking, government or public authority of its power to cut off, withhold, restrict or ration supply or services. (ii) strikes or any labour or trade disputes. (iii) solar flare or other atmospheric or weather conditions, but we will cover failure due to damage to equipment caused by these conditions. If an incident occurs resulting in a claim under this extension you cannot claim under the Failure of public supply cover extension for the same incident. In any action, lawsuit or other proceedings or where we allege that any loss resulting from damage is not covered by this section, it will be your responsibility to prove that they are covered. We will not pay more than the lower of either 25% of the annual rental income or £25,000 in total in any one period of insurance, irrespective of the number of premises insured, and regardless of the number of suppliers affected during any one period of insurance.
(13) Accelerated Reinstatement Expenses Cover We will pay for the additional expenditure necessarily and reasonably incurred during the indemnity period in consequence of the damage covered under this insurance solely to avoid or minimise any loss of rent during the period of twelve months immediately after the expiry of the indemnity period but not exceeding the loss of rent thereby avoided by such expenditure, subject to our written approval.	

SECTION B – LOSS OF RENT

(14) Managing Agents Cover We will cover you for loss of rental income resulting from interruption of or interference with the business as a result of damage by a cause covered under Section A – Material Damage to property at your managing agents' premises.	
(15) Advance Rental Income Cover Where rental income is covered for new property developments or properties that are being redeveloped, you must show that rental income would have been earned had the damage not occurred. You will need to support a claim for loss of rental income by submitting reasonable evidence of the amount of the rental income and the date from which it would have been earned. We will consider (a) the actual negotiations with prospective tenants both before and after the damage (b) the demand for similar accommodation in the local area (c) the general level of rents applying. If required, the advice of a professional valuer acceptable to both you and us will be sought and those fees will be included in the amount payable under this cover.	
(16) Alternative Trading Cover If during the indemnity period accommodation is provided other than at the premises, for the benefit of the business, either by you or by others on your behalf, the money paid or payable for the accommodation will be taken into account in arriving at the rental income during the indemnity period.	
(17) Loss of Investment Income Cover If as a result of damage, we are paying loss of rental income and the payment is made later than the date when you would normally have expected to receive the rent from the lessee, we will pay a further amount representing the investment interest you would have lost during the period of the delay.	

SECTION B – LOSS OF RENT

(18) Relocation of Tenants to Own Premises Cover If following damage your tenant is relocated to an unoccupied building of yours, your claim for any loss of rental income in relation to that damaged building will not be reduced provided that the building used to relocate the tenants to is covered by Section A – Material Damage.	
(19) Professional Accountants Cover We will cover you for the reasonable charges that you have to pay (a) to professional accountants for producing the particulars or details or any other proofs, information or evidence that we may require under the Claims procedure's and reporting that these particulars or details are in accordance with your accounting records, other business books or documents (b) to your lawyers for determining your contractual rights under any rent cessor clause or insurance break clause contained in the lease.	We will not cover fees for any other purposes or for the preparation of any claim.
(20) Boiler Explosion Cover We will cover you for loss of rental income caused by damage resulting from the explosion of any boiler or economiser at the premises belonging to you or under your control	

SECTION B – LOSS OF RENT

(21) Buildings Awaiting Sale Cover

If at the time of the **damage** you have contracted to sell **your** interest in the **premises** or have accepted a written offer to purchase **your** interest in the **premises** subject to contract, and the sale is cancelled or delayed solely due to the **damage**, **we** will pay at **your** option

- (a) during the period before the date when the **premises** would have been sold the actual amount of the reduction in **rental income** solely as a result of the **damage**
- (b) during the period starting with the date when the **premises** would have been sold and ending with the actual date of sale, or when the **indemnity period** ends if earlier, the loss of interest which is
 - (i) the interest incurred on capital borrowed (solely to offset, in whole or part, the loss of use of the sale proceeds) for the purpose of financing the **business**
 - (ii) the investment interest **you** have lost on any balance of the sale proceeds (after deduction of any capital borrowed in b (i) above)

less any amount received in **rental income** and

- (c) the additional expenditure being
 - (i) the expenditure needed, and reasonably incurred as a result of the **damage**, solely to avoid or minimise the loss payable under a) or b) above, but not more than the amount of loss avoided by the expenditure
 - (ii) the additional legal fees and other expenditure required as a result of the cancellation or delay due to the **damage**. This amount will not be more than the amount of the expenditure incurred immediately before the **damage** under c (i) above or £25,000, whichever is less.

Provided that

- (a) **we** have made a payment or accepted liability under Section A -Material Damage of this **policy**.
- (b) **you** have made all reasonable efforts to complete the sale of the **premises** as soon as possible after the **damage**.

(22) Reinstatement of Sum(s) Insured After Loss Cover

In the event of loss, the **sum(s) insured** by this section will be automatically reinstated from the date of the loss, unless **we** or **you** give written notice to the contrary. Provided that in the event of reinstatement **you** will always

- (a) pay the necessary premiums that may be required for the reinstatement, from the date of reinstatement
- (b) complete/include any additional risk improvements which **we** may reasonably require.

BASIS OF SETTLEMENT - SECTION B – LOSS OF RENT

The basis of settlement will be as follows:

Rent

We will pay **you** the difference between **your** actual **rent** during the interruption or restriction to **your business** and the probable **rent**, including any **rent** reviews, had no interruption or restriction occurred, less any savings that result from reduced costs and expenses during the interruption or restriction.

(a) When adjusting **your** claim in respect of:

- (i) **unoccupied premises**
- (ii) new property developments

where there is no lease or licence in force account shall be taken of any negotiations **you** have had with prospective tenants, both before and after the **damage**, demand for similar accommodation in the area and an allowance will be made for all extraordinary and other circumstances of the **business** including, but not limited to, fluctuations in market conditions.

(b) In the event that **your** tenant is relocated to an empty **building** also covered under Section A – Material Damage then **your** resultant loss of **rent** in relation to the **buildings** that have suffered the **damage** will not be reduced.

Underinsurance – Section B – Loss of Rent

If at the time of loss or **damage** the **sum(s) insured** for annual **rent** prior to any **rent** reviews during the **period of insurance & rent/rental income** is less than the actual annual income, then **we** will only be able to settle any claim at the percentage **you** are insured for. For example, if the value of **sum(s) insured** for annual **rent & rent/rental income** only represents 50% of the full value, then **we** will only pay 50% of **your** claim. This is also known as 'average'.

ADDITIONAL COVERS – SECTIONS A – MATERIAL DAMAGE AND SECTION B – LOSS OF RENT

The following additional covers are also included, subject to any specific conditions (as noted within the 'What is Covered' column) and specific limitations and/or exclusions (as noted within the 'What is **not** Covered' column).

 What is Covered	 What is not Covered
(1) Capital Additions Cover We will automatically cover any newly erected or acquired buildings or any alterations, additions and improvements to the premises which are affected during the period of insurance and are not more specifically you and any respective rent anywhere in the territorial limits provided we are notified as soon as practically possible, but no later than 30 days after you become aware.	We will not pay: (a) more than £2,500,000 for buildings and rent or revenue combined, any one occurrence. (b) more than £125,000 or 10% of the sum(s) insured for buildings (whichever is lower) for alterations, additions, and improvements, any one occurrence.
(2) Automatic (Newly Acquired Properties) Cover Section A – Material Damage and Section B – Loss of Rent for premises newly acquired by you in the territorial limits to the extent that your interest is not protected by any other more specific insurance provided that (a) as soon as reasonably possible you notify us in writing of each premises acquired and arrange specific cover with us (b) this cover will operate for a maximum period of 30 days from the date that you acquired your interest in the premises (c) for any premises purchased for renovation, refurbishment or redevelopment the Day one uplift cover will not apply and the basis of settlement will be based upon the declared value only. (d) the insurance under this extension shall be subject to all the terms, provisions, clauses, conditions and exclusions of the policy (e) if cover is provided under this extension then cover is not provided under the Capital additions cover at the same time for the same premises.	We will not pay: (a) more than £2,500,000 for any one claim for buildings and rental income for any one premises

ADDITIONAL COVERS - SECTIONS A - MATERIAL DAMAGE AND SECTION B - LOSS OF RENT

(3) Non-Invalidation Cover This insurance shall not be invalidated by any act, omission or by any alteration which increases the risk of damage unknown to you or your employees or beyond the control of you or your employees, provided that as soon as you or your employees are aware of the increased risk you shall give immediate notice to us and pay an additional premium required.	
(4) Mortgagor or Lessees Cover The position of the freeholder mortgagee or lessor will not be prejudiced by anything done by the mortgagor lessee or occupier of any buildings insured which increases the risk of damage without their authority or knowledge provided that they shall give immediate notice on becoming aware of the increased risk and pay any additional premium required.	
(5) Contracting Purchaser's Interest If you have contracted to sell your interest in any property covered under this insurance, which is damaged between the exchange and completion of the sale and during the period of insurance, the purchaser shall be entitled upon completion of the purchase, to the benefit of this insurance in respect of such damage provided the property is not otherwise insured by the purchaser.	
(6) General Interest Cover The interest of other parties not shown in this insurance are automatically noted and shall be declared by you to us at the time of any loss.	

(7) Inadvertent Failure to Insure Cover If you inadvertently omit to notify us of any premises that are not more specifically insured, we will automatically cover any damage to such property provided that: (a) you notify us immediately you become aware of such inadvertent failure to insure and pay any additional premium required. (b) you agree to insure all premises, owned by or for which you have an obligation to insure, with us. (c) cover commences from the date of your interest in the premises or the date the previous insurance lapsed whichever is the later. (d) you annually undertake a thorough review of your property portfolio and when a failure to insure is discovered you immediately advise us and pay the appropriate additional premium.	We will not cover: (a) any contribution towards a more particular insurance. (b) any appreciation in value. We will not pay: (a) more than £2,500,000 for buildings and rent combined, any one occurrence. (b) more than £100,000 for alterations, additions, and improvements, any one occurrence.
(8) Third Party Failure to Insure Cover If you have an insurable interest in buildings, rent/ rental income but under the terms of the lease the responsibility to insure falls upon a third party, we will automatically provide cover in the event of failure of the third party's insurance, whether in whole or in part, to pay for repairs or reinstatement or to provide an indemnity provided that: (a) you annually undertake a review of such third-party insurances to ensure they have been renewed. (b) cover is limited to the extent of the contingencies specified in the lease.	We will not cover: (a) any contribution towards a more particular insurance. (b) any excess or self-imposed deductible. We will not pay more than £2,500,000 for buildings and rent combined, any one occurrence.

(9) Underinsurance Waiver In the event of a claim, we agree to waive any underinsurance penalty providing that (a) you give us documentary evidence of a valuation/revaluation by a Fellow or Member of the Royal Institute of Chartered Surveyors made no more than three years before the damage; this valuation must make provision for VAT if required. (b) annual interim revaluations have been undertaken in accordance with the Royal Institute of Chartered Surveyors Rebuilding cost index. (c) the declared value is based on the valuations/revaluations at each renewal. In the event of any undisclosed structural alterations or additions, this waiver will not be valid until a subsequent revaluation has been completed and the declared value is amended accordingly.	
(10) Multiple Insureds Cover Section A – Material Damage, Section B - Loss of Rent and Section E – Terrorism where operative are extended to cover the joint insured parties for buildings and rental income as detailed below for each party's respective rights and interests. (a) Where more than one insured party is shown in your schedule as comprising the insured and in relation to residential property also the freeholder and the long leaseholder are required by the lease agreement to be insured, then the cover provided by this section will apply to each insured party as if a separate policy had been issued to each. Provided that our total liability to all insured parties together does not exceed the sum insured including any inner limits shown in the section (irrespective of the number of premises or the insured parties). For the avoidance of doubt, the total number of premises amongst the insured parties will not impact on our total liability to all insured parties. (b) Any payment or payments that we make to any or all insured parties will reduce our liability by the amount of the payment to all insured parties for any loss covered by the policy and (if applicable) in the period of insurance. (c) Each of the insured parties will comply with the contractual rights and agreements entered into by each insured party and the contractual remedies following loss or damage.	We will not pay (a) any claim to an insured party if we find that an insured party has not complied with our Fair presentation of risk condition or where the insured party has not complied with a policy condition (such noncompliance committed by one insured party will not affect the rights of the other insured parties who have not committed such noncompliance). (b) any claim to an insured party if we find that any insured party has committed fraud or dishonesty. In circumstances of fraud or dishonesty, the fraud or dishonesty committed by one insured party will be imputed to each insured party and we shall be entitled to refuse all liability to an insured, recover from an insured any sums paid by us in respect of the claim, and treat this policy as terminated with effect from the fraudulent or dishonest act and retain all premiums paid.

ADDITIONAL COVERS - SECTIONS A - MATERIAL DAMAGE AND SECTION B - LOSS OF RENT

(11) Transfer of Interest Cover If at the time of damage, you have entered into a contract to sell your interest in the buildings and the sale has not but is subsequently completed, the purchaser will have the full protection of this section on exchange of contracts, provided it is not covered by any other insurance.	
(12) Munitions of War Cover The War risk exclusion will not apply to loss of rental income from or occasioned by the detonation of munitions of war or parts thereof in the United Kingdom in or within five miles of the premises, provided that the presence of such munitions results from World War II and does not result from a state of war current at the time of damage.	
(13) Reduction in Freehold or Leasehold Value Following Alteration in Planning Consent Cover Section A – Material Damage and Section B – Loss of Rent are extended to cover you for the reduction in freehold or leasehold value that you incur following damage to any building and the existing area of the building or use of the building and land is restricted. Provided that this is as a result of the necessity to comply with building or other regulations under or framed in pursuance of any Act of Parliament or with byelaws of any municipal or local authority. For the purposes of this cover the reduction in freehold or leasehold value is the amount that would have been achieved by the sale of your freehold or leasehold interest immediately before the damage less the sum which would be achieved by the sale of your freehold or leasehold interest either (a) immediately following completion of rebuilding repairs or restoration - or (b) if the local authority withholds its permission for the work to be carried out at the time the local	We will not provide cover if you have not made every effort to regain the original planning consent. The amount payable will need to be substantiated by you and agreed with us and any amounts already recovered for the damage under this policy and from any other source will be taken into consideration. The maximum we will pay for any one claim for buildings and rental income is £250,000 for any one premises in addition to the agreed sum(s) insured for the premises.

(14) Subrogation Waiver Cover In the event of a claim, we agree to waive any rights remedies or relief to which we might have become entitled by subrogation against: (a) any Company standing in relation of Parent to Subsidiary (Subsidiary to Parent) to you as defined in the Companies Act as appropriate, current at the time of the damage. (b) any Company which is a subsidiary of a Parent Company of which you are a Subsidiary in each case within the meaning of the Companies Act, as appropriate, current at the time of the damage (c) tenant or lessee unless the damage arises out of a criminal, fraudulent or malicious act of the tenant or lessee.	
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SECTION C – PROPERTY OWNERS’ LIABILITY

The following cover applies only if **your schedule** shows that it is included.

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION C – PROPERTY OWNERS’ LIABILITY



Bodily Injury

Death, bodily injury, illness or disease.



Claim Costs and Expenses

Claim costs and expenses

- of any claimant which **you** become legally liable to pay
- incurred with **our** prior written consent, to investigate or defend a claim against **you** including solicitors fees at
 - (i) any coroner’s inquest or fatal accident inquiry
 - (ii) summary court proceedings.



Clean Up Costs

Costs and expenses of remediation of environmental damage or environmental harm.



Computer System

Any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet or wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility.



Cyber Act

An unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **computer system**.



Cyber Incident

- any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **computer system**; or
- any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **computer system**.



Data

Information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a **computer system**.



Enforcing Authority

Any government or statutory authority, implementing or enforcing environmental protection legislation in the **territorial limits**.



Event

Claim or series of claims against **you** as a result of or attributable to a single source or the same original, repeated or continuing cause.

SECTION C – PROPERTY OWNERS’ LIABILITY

Financial Loss

Loss not accompanied by or as a result of **bodily injury**, **personal injury** or **property damage** that **you** have caused to anyone who has a lease agreement with **you** in connection with the **business** arising out of a defect or the unsuitability of the property let or **your** failure or partial failure to let the property or provide the agreed services.

Fungal Pathogens

Any fungus or mycota or any by-product or type of infestation produced by such fungus or mycota including but not limited to mould, mildew, mycotoxins, spores or any biogenic aerosols.

Manslaughter Costs

Costs and expenses of legal representation in connection with any criminal inquiry into, or court proceedings brought for manslaughter, corporate manslaughter, corporate homicide or culpable homicide.

North America

The United States of America or its territories or possessions or Canada.

Nuisance or Trespass

Nuisance, trespass to land or trespass to goods, or interference with any easement.

Offshore

On or working from, or travelling by sea or air, to, from or between an offshore rig, platform or similar offshore installation.

Personal Injury

Personal injury or infringement of a person’s legal right other than

- **bodily injury**
- a right arising from title to, or an interest in property.

Pollutants

Any solid, liquid or gaseous pollutant contaminant or irritant substance or any biological agent that is a danger to human health.

Principal

Employer who has engaged **you** to act on their behalf, under a contract for the performance of work by **you**, in connection with the **business**.

Property Damage

Loss of or damage to property that **you** do not own or possess and is not in **your** custody or under **your** control.

Safety Legislation Costs

Costs and expenses of legal representation in connection with an alleged breach of statutory duty under Health and Safety, Consumer Protection or Food Safety legislation, enacted within the **territorial limits**.

Sudden Incident

Sudden identifiable unintended and unexpected incident that does not originate from a gradual, continuous or repetitive cause.

Terrorist Act

Any act of a person or group directed towards the overthrowing or influencing of any government or putting any section of the public in fear by threat, force or violence or other means.

COVER - SECTION C – PROPERTY OWNERS’ LIABILITY

Limits of Indemnity

The limit of indemnity shown in **your schedule** is the maximum amount **we** will pay for all damages arising from one **event**.

The limit of indemnity for any damages payable for all occurrences during any one **period of insurance**, arising directly or indirectly in connection with a **terrorist act** is £2,000,000.

We will pay **claim costs and expenses** in addition to the limit of indemnity applicable to the claim or claims, except if an action for damages is started or brought in **North America**.

Further limits of indemnity are also applicable. Please refer to the additional covers below and in particular, the **What is not Covered** information.



What is Covered

We will indemnify **you** against all sums **you** shall become legally liable to pay as damages and **claim costs and expenses** arising out of:

- (a) accidental **bodily injury** to any person
- (b) accidental **property damage**
- (c) accidental **nuisance or trespass**
- (d) wrongful arrest, detention, imprisonment or eviction of any person or invasion of the right of privacy.

occurring within the **territorial limits** during the **period of insurance** and happening in connection with the **business**.



What is not Covered

We will not cover:

- (a) **bodily injury** to an **employee** arising out of and in the course of their employment with **you**.
- (b) loss of or damage to any property which at the time of the event giving rise to such legal liability is owned by or held in trust by or in the custody or control of **you**.
- (c) liability arising out of **bodily injury**, loss or damage caused by or in connection with or arising out of the ownership possession or use by or on behalf of **you** of any:
 - (i) type of aircraft or spacecraft
 - (ii) watercraft or hovercraft (other than watercraft not exceeding 8 metres in length or any hand-propelled boat or pontoon)
- (d) claims caused by or arising from the ownership, possession or use by **you** or on **your** behalf of any motor vehicle, trailer or mobile plant in circumstances where compulsory insurance or security is required by Road Traffic Legislation or where cover is provided (or would be provided but for breach of the terms of cover) by another insurance.
- (e) liability arising from pollution or contamination other than caused by a sudden, identifiable, unintended and unexpected incident that takes place in its entirety at a specific time and place during the **period of insurance**.

All pollution or contamination which arises out of one incident shall be deemed to have occurred at the time such incident takes place.

Our liability for any damages payable in respect of pollution and contamination which is deemed to have occurred during the **period of insurance** shall not exceed in the aggregate the **limit of indemnity**.

For the purpose of this exclusion pollution and contamination shall be deemed to mean:

- (i) all pollution and contamination of **buildings** or other structures or of water or land or the atmosphere; and
- (ii) all loss or **damage** or **bodily injury** directly or indirectly caused by such pollution and contamination.

SECTION C – PROPERTY OWNERS’ LIABILITY

- (f) any loss arising caused by or arising from any breach of professional duty in relation to advice, instruction, consultancy, design, formula, specification, inspection, survey, valuation, certification, testing or supervision undertaken or given for a fee.
- (g) expenditure, whether incurred by **you** or others, for the withdrawal, recall, disposal, removal, repair, adjustment, alteration, reconditioning, replacement, reinstatement of any product or part thereof and/or from financial loss consequent upon the necessity for such withdrawal, recall, disposal, removal, repair, adjustment, alteration, reconditioning, replacement or reinstatement.
- (h) any fines, penalties, punitive damages, exemplary damages, aggravated damages, treble damages, or any other increase in damages resulting from the multiplication of compensatory damages.
- (i) the **excess** shown on the **policy schedule** of each and every loss following damage to third party material property.
- (j) legal liability arising directly or indirectly out of or alleged to have arisen from any wrongful act of directors or officers of the **business** in the discharge or performance of their duties as such other than claims for damages or compensation and **claim costs and expenses** consequent upon **bodily injury** or damage.
For the purpose of this exclusion wrongful act shall mean any actual or alleged error or misstatement or misleading statement or act or omission or neglect or breach of duty by the directors or officers in the discharge of their duties individually or collectively or any matter claimed against them solely by reason of their being directors or officers of the **business**
- (k) legal liability arising directly or indirectly out of or alleged to have arisen from any harassment misconduct discrimination breach of confidence or employment practices which shall mean any wrongful or unfair dismissal, denial of natural justice, misleading representation or advertising, sexual harassment or discrimination directly related to employment by **you**.
- (l) claims directly or indirectly caused by, contributed to by, resulting from or arising out of or in connection with
 - (i) any **cyber act** or **cyber incident** including but not limited to any action taken in controlling, preventing, suppressing or remediating any **cyber act** or **cyber incident**.
 - (ii) loss of use, reduction in functionality, repair, replacement, restoration, reproduction, loss or theft, distortion, erasure, corruption or alteration of any **data**, including any amount pertaining to the value of such **data**.
 - (iii) failure of electronic, electromechanical data processing or electronically controlled equipment or **data** to correctly recognise any given date or to process data or to operate properly due to failure to recognise any given date.

This exclusion shall not apply to claims

- (i) for **bodily injury**
- (ii) for physical damage to material property
- (iii) under Additional Cover (9) Data Protection cover of this section

directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any **cyber act** or **cyber incident**.

- (m) libel or slander except to the extent provided under additional cover (10) Libel and Slander Cover
- (n) false statement
- (o) discrimination of any kind
- (p) claims caused by or arising directly or indirectly from any **fungal pathogens**.
- (q) claims where the terms of any contract or agreement made by **you**, prevent **us** from taking over the full defence or settlement of the claim
- (r) claims caused by or arising from any associated or subsidiary company of **yours**, or any of **your** branch offices, or any representative of **yours** with power of attorney, registered, having premises or resident outside the **territorial limits**.

CLAUSES - SECTION C - PROPERTY OWNERS’ LIABILITY

(1) North America

If an action for damages is started or brought in **North America**, **we** will not pay more than the **limit of indemnity** shown on **your schedule**, for the total of all damages and **claim costs and expenses** arising from the action.

(2) Discharge of Liability

- (s) In respect of any claim or claims, **we** may at any time pay the limit of indemnity applicable, after deducting any amounts already paid, or any lesser amount for which a settlement can be made. **We** will not then be liable to make any further payment in respect of the claim or claims. If **we** have agreed to pay **claim costs and expenses** in addition to the limit of indemnity, **we** will pay the costs incurred before the date of the claim payment.

ADDITIONAL COVERS - SECTION C - PROPERTY OWNERS’ LIABILITY

The following additional covers are also included, subject to any specific conditions (as noted within the ‘What is Covered’ column) and specific limitations and/or exclusions (as noted within the ‘What is **not** Covered’ column).

 What is Covered	 What is <i>not</i> Covered
(1) Claims Costs and Expenses Cover We will cover claim costs and expenses in connection with a claim for which an award of damages or clean up costs is paid or may be payable under this section.	We will not pay claim costs and expenses for any part of a claim not covered by this section.
(2) Manslaughter Costs Cover We will cover manslaughter costs in respect of any death occurring during the period of insurance, in circumstances where there is also a claim or potential claim against you for damages covered by this section. You must obtain our prior consent to legal representation and we will only agree to payment on a fee basis agreed by us. If a claim for damages is settled or is withdrawn, we will have no further liability other than in respect of claim costs and expenses of legal representation incurred before the date of the claim payment or withdrawal of the claim. If at any time a claim for damages remains unsettled and you wish to appeal against conviction, we will agree to costs and expenses of legal representation if, in the opinion of Counsel (appointed by mutual consent), such an appeal is more likely to succeed than not and the total amount of damages and claimants costs are likely to exceed the total cost of legal representation. If we have consented to legal representation at court proceedings, we will also pay the legal costs of prosecution awarded against you, or any person entitled to cover under this section, in connection with the proceedings.	The maximum we will pay for manslaughter costs and costs awarded against you, or any person entitled to cover under this section, in total, as a result of all occurrences during any one period of insurance, is £1,000,000. We will not pay (a) fines, penalties or awards of compensation imposed by a criminal court. (b) claim costs and expenses of implementing any remedial order or publicity order (c) claim costs and expenses of an appeal against any fine, penalty, compensation award, remedy order or publicity order (d) claim costs and expenses incurred as a result of the failure to comply with any remedial order or publicity order (e) claim costs and expenses covered by any Legal Expenses insurance (f) claim costs and expenses of any investigation or prosecution brought other than under the laws of the territorial limits.

SECTION C – PROPERTY OWNERS’ LIABILITY

(3) Safety Legislation Costs Cover We will cover safety legislation costs in respect of any bodily injury or property damage occurring during the period of insurance, in circumstances where there is also a claim or potential claim against you for damages covered by this section. You must obtain our prior consent to legal representation and we will only agree to payment on a fee basis agreed by us. If a claim for damages is settled or is withdrawn, we will have no further liability other than in respect of costs and expenses of legal representation incurred before the date of the claim payment or withdrawal of the claim. If at any time a claim for damages remains unsettled and you wish to appeal against conviction, we will agree to costs and expenses of legal representation, if in the opinion of Counsel (appointed by mutual consent), that such appeal is more likely to succeed than not and the total amount of damages and claimants costs are likely to exceed the total cost of legal representation. If we have consented to legal representation at court proceedings, we will also pay the legal costs of prosecution awarded against you, or any person entitled to cover under this section, in connection with the proceedings.	The maximum we will pay for safety legislation costs and costs awarded against you, or any person entitled to cover under this section, in total, as a result of all occurrences during any one period of insurance, is £1,000,000. We will not pay (a) fines, penalties or awards of compensation imposed by a criminal court. (b) costs and expenses of an appeal against improvement or prohibition notices (c) claim costs and expenses on indictment for manslaughter, corporate manslaughter, corporate homicide or culpable homicide, other than safety legislation costs already incurred (d) claim costs and expenses covered by any Legal Expenses insurance. (e) claim costs and expenses of any investigation or prosecution brought other than under the laws of the territorial limits.
(4) Defective Premises Act Cover We will cover the amount of damages which you are legally liable to pay in respect of accidental bodily injury or property damage, occurring during any one period of insurance, arising out of premises you have disposed of, but had previously owned in connection with the business.	We will not be liable under this extension; (a) if you are entitled to indemnity under any other insurance. (b) in respect of loss of or damage to the land or premises disposed of or in connection with the cost of rectifying any defect or alleged defect therein.
(5) Motor Contingent Liability Cover We will cover the amount of damages which you are legally liable to pay and in claim costs and expenses in respect of accidental • bodily injury • property damage occurring during the period of insurance and arising out of (a) the use by an employee of their own motor vehicle within the European Union in connection with the business (b) the movement of any motor vehicle, not owned by, or provided by you, or an employee that is preventing access to, or causing an obstruction at your premises and the Road Traffic Act exclusion in this section will not apply to that liability.	We will not pay (a) for loss of or damage to any motor vehicle referred to in a) or b) under What is covered. (b) unless the motor vehicle is being driven with your permission and you have taken reasonable steps to ensure that the person driving holds a valid licence to drive the motor vehicle (c) where cover is provided by another insurance policy

(6) Financial Loss Cover

We will cover the amount of damages which **you** are legally liable to pay in respect of a claim first made against **you** during the **period of insurance** for **financial loss**, so long as **we** are notified during the same **period of insurance** or within seven days of expiry.

Any circumstances notified in accordance with the **policy** conditions where a claim is made against **you** after expiry of the **period of insurance**, will be considered as a claim first made against **you** during the **period of insurance** when **you** first told **us** of the circumstances.

Additional cover (11) Cross Liabilities cover does not apply.

We will not cover claims caused by or arising from circumstances known to **you**, or of which **you** should have been aware, prior to the start of this section of the **policy**.

The exclusions under the heading - **What is *not* covered**, of this section of the **policy** apply to this cover clause in so far as they can, together with the following exclusions.

We will not cover claims caused by or arising from

- (a) **your** liability under a contract or agreement that is greater than the liability **you** would have had in the absence of such agreement in respect of any
 - (i) representation, promise, or express warranty or guarantee that property or services meet a tenant specification
 - (ii) express contractual penalty or acceptance of liquidated damages
 - (iii) restriction as to **your** rights of recovery from another party
- (b) any diminution in the value of property
- (c) the failure or partial failure of any managing agent to properly fulfil their obligations under any contract with **you**.
- (d) breach of duty by **your** directors or officers or trustees
- (e) the holding of personal data or as a result of any loss, misuse or unauthorised disclosure of personal data held by **you** or on **your** behalf
- (f) pollution or contamination of the atmosphere, land or water or any buildings or structure or any environmental damage or harm
- (g) fines, penalties or awards of compensation imposed by a criminal court
- (h) any fraudulent or dishonest act or omission, inducing breach of contract or interfering with trade or **business**
- (i) trading losses or trading liabilities
- (j) financial default or insolvency.

The maximum **we** will pay for all damages and **claim costs and expenses** for all claims made against **you** during any one **period of insurance** is £250,000.

We will not pay for the first 10% of any damages or **claim costs and expenses** arising from one **event** subject to

- a minimum amount of £2,500
- a maximum amount of £10,000.

(7) Environmental Clean Up Costs Cover We will cover the amount of clean up costs which you are legally liable to pay, under a notice or order imposed upon you by an enforcing authority, arising from a release or escape of pollutants, onto or into land, surface water or ground water. The cover will only apply to a sudden incident which happens at a specific time and place during the period of insurance in connection with the business, within the territorial limits.	We will pay not more than £1,000,000 for all clean up costs, as a result of one sudden incident or all such incidents happening during any one period of insurance. Where a claim for damages arises in addition to clean up costs as a result of the same sudden incident, the maximum we will pay for the total amount of damages and clean up costs added together, will not exceed the limit of indemnity shown on your schedule. We will not cover any part of a claim for clean up costs (a) at, in or upon property that is or was, owned by you, or in your possession, or in your custody or under your control (b) to achieve an improvement or alteration in the condition of the land, or any surface or ground water beyond that (i) necessary to meet the standards required by law at the start of remediation (ii) existing at the time of a sudden incident for which a claim is made under this section.
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SECTION C – PROPERTY OWNERS’ LIABILITY

(8) Legionellosis Cover We will indemnify your legal liability to pay damages for accidental bodily injury to any person other than an employee arising out of the release of legionella bacteria happening in connection with the business provided that; (a) any claim for damages, costs and expenses or (b) any notification of any circumstance which: (i) has caused or is alleged to have caused bodily injury; or (ii) can be reasonably expected to give rise to a claim which may be the subject of an indemnity provided by this Additional Cover is first made in writing to you during the period of insurance and is notified to us during the same period of insurance or within 30 days after the expiry of the same period of insurance. (c) you must comply with the “Health & Safety Executive Approved Code of Practice: Legionnaires’ Disease – The Control of Legionella Bacteria in Water Systems L8” or any subsequent Health & Safety Executive publication. This additional cover will not apply to claims first made against you by reason of accidental bodily injury arising out of the release of legionella bacteria committed or alleged to have been committed prior to the start date on the schedule. Exclusion f) under What is <u>not</u> covered in Section C - Property Owners’ Liability does not apply to this cover	We will not pay more than £1,000,000 in any one period of insurance for all damages, claim costs and expenses.
(9) Data Protection Cover We will cover the amount of compensation which you are legally liable to pay in respect of personal injury occurring during the period of insurance, arising from holding personal data, or, as a result of any loss, misuse or unauthorised disclosure of personal data held by you in the course of the business. We will only pay (a) amounts of compensation which you are ordered to pay, or which you might reasonably be expected to pay by a court having jurisdiction (b) if you are registered or are in the process of registration (and the application has not been refused or withdrawn) under Data Protection legislation within the territorial limits.	The maximum we will pay for compensation, costs and expenses in total, as a result of all occurrences during any one period of insurance, is £1,000,000. We will not cover (a) fines or penalties imposed by a court (b) the costs of any appeal against the refusal of an application for registration or alteration, in connection with the Data Protection legislation or any enforcement, de-registration or prohibition notice (c) the cost of replacing, reinstating, rectifying or erasing any personal data (d) refund of monies paid to you by any claimant (e) liability for which cover is provided under any other more specific insurance.

SECTION C – PROPERTY OWNERS’ LIABILITY

(10) Libel and Slander Cover We will cover the amount of damages which you are legally liable to pay in respect of a claim first made against you during the period of insurance for (i) libel in any written material produced (ii) slanders expressed by you in the course of the business, so long as we are notified during the same period of insurance or within seven days of expiry. Any circumstances notified in accordance with the policy conditions where a claim is made against you after expiry of the period of insurance, will be considered as a claim first made against you during the period of insurance when you first told us of the circumstances. Exclusions m), n) and o) under What is <u>not</u> covered within this section do not apply to this cover.	We will not cover claims caused by or arising from circumstances known to you, or of which you should have been aware, prior to the start of this section of the policy. The maximum we will pay damages and claims costs as a result all occurrences during any one period of insurance is £250,000. We will not pay for the first 10% of any damages or claims costs or expenses or £1,000 (whichever is the greater) arising from one event
(11) Cross Liabilities Cover Any person, firm, company or organisation covered by this section, is entitled to the cover as if a separate policy had been issued to each and where you are a membership organisation, the cover will apply to each member as if a separate policy had been issued to each member. However, the amount payable by us in total, on behalf of all entitled to cover, shall not in any circumstances exceed the limit of indemnity shown on your schedule.	

SECTION C – PROPERTY OWNERS’ LIABILITY

(12) Personal Liability Cover If no other insurance is in force, at your request, the cover provided by this section will apply to the legal liability of (a) any director, partner or employee of yours whilst (i) performing their normal duties in connection with the business. (ii) work is being carried out on behalf of a director, partner or officer by an employee with your consent. (iii) acting in a personal capacity, during the course of a trip or journey arranged for the purpose of the business. (b) the spouse, civil partner, domestic partner or any children accompanying a director, partner or employee in the course of a business trip or journey. The cover provided by this section will also apply to your personal representative, or the personal representative of any other deceased person entitled to cover.	
(13) Principles Liability Cover At your request, we will cover the legal liability of any principal arising from the performance of your work for the principal.	We will not provide cover beyond the requirements of your contract with the principal.
(14) Property in Your Care Cover Exclusion b) under What is <u>Not</u> covered within this section shall not apply to vehicles (including their contents) or personal effects of an employee, director, partners, or visitor while on your premises whether or not they are in your possession or custody or under your control at the time of the occurrence of loss or damage.	
(15) Unauthorised Movement of Vehicles Cover We will indemnify you against legal liability in respect of bodily injury loss or damage caused by or arising from the movement of any vehicle (not authorised by the driver or owner) on the premises.	We will not provide an indemnity in respect of liability which; (a) insurance or security is necessary to meet the requirements of any Road Traffic Act or similar legislation. (b) is or would but for the existence of this section be insured under any other policy or policies.

(16) Advertising Liability Cover

We will provide indemnity for **advertising liability** in respect of any act committed during the **period of insurance**.

For the purposes of this Additional Cover;

Advertising Liability shall mean;

- (a) oral or written publication of material in any manner that slanders or libels a persons or organisation’s goods products or services.
- (b) oral or written publication of material in any manner that violates a person’s right of privacy
- (c) the use of another’s advertising idea in an **advertisement**.
- (d) infringement of copyright trade dress or slogan in an **advertisement**.

Advertisement shall mean a notice about **your** products for the purpose of attracting customers or supporters that is broadcast or published to the general public or specific market segments or material that is placed on the Internet or other electronic means of communication.

Provided that only that part of a website that is about **your** products for the purpose of attracting customers or supporters is an **advertisement**.

We will not pay more than £250,000 less an **excess** (shown on **your schedule**) for one occurrence and/or in any one **period of insurance** for all damages costs and expenses.

We will not provide any indemnity to **advertising liability**;

- (a) caused by or at the direction of **you** or any director or partner of **yours** with the knowledge that the act would violate the rights of another and would inflict **advertising liability**.
- (b) arising out of oral or written publication of material if done by or at the direction of **you** or any director or partner of **yours** with knowledge of its falsity.
- (c) arising out of oral or written publication of material whose first publication took place before the beginning of the policy period.
- (d) arising out of a criminal act committed by or at the direction of **you** or any director or partner of **yours**.
- (e) arising due to a contract or agreement except to the extent that such liability would have attached in the absence of such contract or agreement.
- (f) arising out of a breach of contract except an implied contract to use another’s advertising idea in **your advertisement**.
- (g) arising out of the failure of goods products or services to conform with any statement of quality or performance made in **your advertisement**.
- (h) arising out of the wrong description of the price of goods products or services stated in **your advertisement**.
- (i) committed by **you** whose **business** is;
 - (i) advertising broadcasting publishing or telecasting or
 - (ii) designing or determining the content of web-sites for others or
 - (iii) providing an internet search access content or service provider.

For the purposes of this exclusion the placing of frames borders or links or advertising for **you** or others anywhere on the Internet is not by itself considered the business of advertising broadcasting publishing or telecasting.

- (j) arising out of electronic bulletin boards or chatrooms that **you** host, own or exercise control over.
- (k) arising from the unauthorised use of another’s name or product in an email address domain name or metatag or any other similar methods to mislead another’s potential customers.
- (l) arising out of the infringement of copyright patent trademark trade secret or other intellectual property rights.

However, this exclusion does not apply to infringement in **your advertisement** of copyright trade dress or slogan.

SECTION C – PROPERTY OWNERS’ LIABILITY

(17) Rented Premises Cover Exclusion b) under What is <i>not</i> covered within this section shall not apply to property including fixtures and fittings and landlords’ contents which are leased, let, rented, hired or lent to or which is the subject of a bailment to you provided that the indemnity will not apply to legal liability in respect of; (a) loss or damage under agreement unless liability would have attached to you in the absence of such agreement. (b) loss of or damage to premises caused by fire or any other peril against which a tenancy or other agreement stipulates that insurance shall be affected by or on behalf of you.	We will not pay the first £500 of each occurrence of loss or damage caused other than by fire or explosion.
(18) Compensation for Court Attendance Cover In the event of either you, a director, a partner or an employee attending court as a witness at the request of us in connection with a claim in respect of which you are entitled to indemnity under Section C – Property Owners’ Liability or Section D – Employers’ Liability we will provide compensation to you where attendance is required.	The maximum we will pay is £500 per day for you or any director, partner or employee.
(19) Managing Agents Cover (Optional Cover) Where shown on your policy schedule as operative and at your request, we will cover under this section the legal liability of your managing agent(s) named in your schedule arising from the performance of duties under the terms of your agreement with the managing agent(s) in connection with the business. The cover will apply only to the extent that it would have applied had the claim been made against you. This cover applies solely in respect of the named managing agent(s) named in your policy schedule	We will not cover claims: (a) for loss of or damage to property let or managed by the managing agent or any property for which the managing agent is responsible, (for damage to your property refer to Section A – Material Damage). (b) caused by or arising from any breach of professional duty in relation to the letting or management of property. The maximum amount payable by us in total, on behalf of all entitled to cover, shall not in any circumstances exceed the limit of indemnity shown in your schedule as a result of this cover.



SECTION D – EMPLOYERS LIABILITY

The following cover only applies if **your schedule** shows that it is included. Please also note that this cover is optional.

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION D – EMPLOYERS' LIABILITY



Bodily Injury

Death, bodily injury, illness or disease.



Claim Costs and Expenses

Claim costs and expenses

- (a) of any claimant which **you** become legally liable to pay
- (b) incurred with **our** prior written consent, to investigate or defend a claim against **you** including solicitors fees at
 - (i) any coroner's inquest or fatal accident inquiry
 - (ii) summary court proceedings.



Contractual Liability

Legal liability assumed by **you** under the express or intended terms of any contract or agreement that restrict **your** right of recovery, or increase **your** liability at law beyond that applicable in the absence of those terms.



Manslaughter Costs

Costs and expenses of legal representation in connection with any criminal inquiry into, or court proceedings brought for manslaughter, corporate manslaughter, corporate homicide or culpable homicide.



Offshore

On or working from, or travelling by sea or air, to, from or between an offshore rig, platform or similar offshore installation.



Principal

Employer who has engaged **you** to act on their behalf, under a contract for the performance of work by **you**, in connection with the **business**.



Safety Legislation Costs

Costs and expenses of legal representation in connection with an alleged breach of statutory duty under Health and Safety, Consumer Protection or Food Safety legislation, enacted within the **territorial limits**.



Terrorist Act

Any act of a person or group directed towards the overthrowing or influencing of any government or putting any section of the public in fear by threat, force or violence or other means.

COVER - SECTION D - EMPLOYERS' LIABILITY

Limits of Indemnity

The limit of indemnity shown in **your schedule** is the maximum **we** will pay for the total of all damages and **claim costs and expenses** and will apply to any one claim or series of claims by one or more **employee** arising from one occurrence and only if the cover is operative.

The limit of indemnity in respect of a **terrorist act** is £5,000,000 and will apply exclusively to any one claim or series of claims by one or more **employees** arising directly or indirectly in connection with a **terrorist act**.

Further limits of indemnity are also applicable. Please refer to the additional covers below and in particular, the **What is not Covered** information.



What is Covered

We agree to indemnify **you** for all sums that **you** will become legally liable to pay as damages and **claim costs and expenses**, arising out of **bodily injury** caused during the **period of insurance** to an **employee** who at the time of the cause was working in the course of employment by **you** in the **business**.



What is not Covered

We will not cover

- (a) Indemnity in respect of any liability for which compulsory motor insurance or security is required under the Road Traffic Act 1988 as amended by the Motor Vehicles Compulsory Insurance Regulations 1992 or other compulsory road traffic act legislation.
- (b) In respect of radioactive contamination;
 - (i) **contractual liability**
 - (ii) claims for which **your principal** has a legal liability caused by or arising from any type of nuclear radiation, nuclear material, nuclear waste, nuclear reaction or radioactive contamination.
- (c) any claims for **bodily injury** to any **employee** while **offshore**.

CLAUSES - SECTION D - EMPLOYERS' LIABILITY

(1) Discharge of Liability

We may pay the **limit of indemnity**, after deducting any amounts already paid, or any lesser amount for which any claim or claims against **you** can be settled and **we** shall be under no further liability in respect of such claim or claims except for costs or expenses incurred prior to the date of such payment.

(2) Right of Recovery

This insurance is deemed to be in accordance with the provisions of any law relating to compulsory insurance of liability to **employees** in the **territorial limits**, but **you** shall repay to **us** all sums paid by **us** which **we** would not have been liable to pay but for the provisions of such law.

SECTION D – EMPLOYERS LIABILITY

ADDITIONAL COVERS - SECTION D - EMPLOYERS' LIABILITY

The following additional covers are also included, subject to any specific conditions (as noted within the 'What is Covered' column) and specific limitations and/or exclusions (as noted within the 'What is **not** Covered' column).

 What is Covered	 What is not Covered
(1) Claims Costs and Expenses Cover We will cover claim costs and expenses in connection with a claim for which an award of damages is paid or may be payable under this section.	We will not pay claim costs and expenses for any part of a claim not covered by this section.
(2) Manslaughter Costs Cover We will cover manslaughter costs in respect of any death occurring during the period of insurance, in circumstances where there is also a claim or potential claim against you for damages covered by this section. You must obtain our prior consent to legal representation and we will only agree to payment on a fee basis agreed by us. If a claim for damages is settled or is withdrawn, we will have no further liability other than in respect of claim costs and expenses of legal representation incurred before the date of the claim payment or withdrawal of the claim. If at any time a claim for damages remains unsettled and you wish to appeal against conviction, we will agree to costs and expenses of legal representation if, in the opinion of Counsel (appointed by mutual consent), such an appeal is more likely to succeed than not and the total amount of damages and claimants costs are likely to exceed the total cost of legal representation. If we have consented to legal representation at court proceedings, we will also pay the legal costs of prosecution awarded against you, or any person entitled to cover under this section, in connection with the proceedings.	The maximum we will pay for manslaughter costs and costs awarded against you, or any person entitled to cover under this section, in total, as a result of all occurrences during any one period of insurance, is £1,000,000. We will not pay (a) fines, penalties or awards of compensation imposed by a criminal court. (b) costs and expenses of implementing any remedial order or publicity order (c) costs and expenses of an appeal against any fine, penalty, compensation award, remedial order or publicity order (d) costs and expenses incurred as a result of the failure to comply with any remedial order or publicity order (e) costs and expenses covered by any Legal Expenses insurance (f) costs and expenses of any investigation or prosecution brought other than under the laws of the territorial limits.

SECTION D – EMPLOYERS LIABILITY

(3) Safety Legislation Costs Cover

We will cover **safety legislation costs** in respect of any **bodily injury** or property damage occurring during the **period of insurance**, in circumstances where there is also a claim or potential claim against **you** for damages covered by this section.

You must obtain **our** prior consent to legal representation and **we** will only agree to payment on a fee basis agreed by **us**. If a claim for damages is settled or is withdrawn, **we** will have no further liability other than in respect of costs and expenses of legal representation incurred before the date of the claim payment or withdrawal of the claim.

If at any time a claim for damages remains unsettled and **you** wish to appeal against conviction, **we** will agree to costs and expenses of legal representation, if in the opinion of Counsel (appointed by mutual consent), that such appeal is more likely to succeed than not and the total amount of damages and claimants' costs are likely to exceed the total cost of legal representation.

If **we** have consented to legal representation at court proceedings, **we** will also pay the legal costs of prosecution awarded against **you**, or any person entitled to cover under this section, in connection with the proceedings.

The maximum **we** will pay for **safety legislation costs** and costs awarded against **you**, or any person entitled to cover under this section, in total, as a result of all occurrences during any one **period of insurance**, is £1,000,000.

We will not pay

- (a) fines, penalties or awards of compensation imposed by a criminal court.
- (b) costs and expenses of an appeal against improvement or prohibition notices
- (c) costs and expenses on indictment for manslaughter, corporate manslaughter, corporate homicide or culpable homicide, other than **safety legislation costs** already incurred
- (d) costs and expenses covered by any Legal Expenses insurance.
- (e) costs and expenses of any investigation or prosecution brought other than under the laws of the **territorial limits**.

SECTION D – EMPLOYERS LIABILITY

(4) Unsatisfied Court Judgements Cover In the event of bodily injury to an employee sustained during the period of insurance, and arising out of employment by you in the course of the business, which results in a judgement for damages being obtained by such employee or personal representatives, and which remains unsatisfied in whole or in part six months after the date of such judgement, we will, at the request of you, pay to the employee or personal representative the amount of any such damages and any awarded costs to the extent that they remain unsatisfied provided that: (a) the judgement for damages is obtained; (i) in a court of law within the United Kingdom. (ii) against a company partnership or individual other than you conducting business at or from premises within the United Kingdom. (b) there is no appeal outstanding. (c) the judgement relates to bodily injury which would otherwise be within the terms of this insurance. if any payment is made under the terms of this extension the employee or the personal representative of the employee shall assign the judgement to us.	
(5) Personal Liability Cover If no other insurance is in force, at your request, the cover provided by this section will apply to the legal liability of (a) any director, partner or employee of yours whilst (i) performing their normal duties in connection with the business (ii) work is being carried out on behalf of a director, partner or officer by an employee with your consent (iii) acting in a personal capacity, during the course of a trip or journey arranged for the purpose of the business (b) the spouse, civil partner, domestic partner or any children accompanying a director, partner or employee in the course of a business trip or journey. The cover provided by this section will also apply to your personal representative, or the personal representative of any other deceased person entitled to cover.	

SECTION D – EMPLOYERS LIABILITY

(6) Principles Liability Cover At your request, we will cover the legal liability of any principal arising from the performance of your work for the principal.	We will not provide cover beyond the requirements of your contract with the principal.
(7) Compensation for Court Attendance Cover In the event of either you, a director, a partner or an employee attending court as a witness at the request of us in connection with a claim in respect of which you are entitled to indemnity under Section D – Employers' Liability we will provide compensation to you where attendance is required.	The maximum we will pay is £500 per day for you or any director, partner or employee.



SECTION E - TERRORISM

There are two cover options relating to terrorism, as described under Section E – Terrorism Part A (Pool Re) and Section E – Terrorism Part B (Non-Pool Re) below. **Your schedule** will show which cover applies to **you**. Please also note that terrorism cover is optional, and **you** do not have to choose either option if **you** do not want terrorism cover.

SECTION E - TERRORISM PART A (POOL RE)

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION E - TERRORISM (POOL RE)

Consequential Loss

Loss, resulting from interruption of or interference with the **business** as a result of **damage** to property used by **you**, at the **premises**, for the purpose of the **business**.

Computer Systems

Computer or other equipment or component or system or item which processes stores transmits or receives **data**.

Cyber Act

An unauthorised, malicious or criminal act or series of related unauthorised, malicious and criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **computer systems**.

Cyber Incident

- any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **computer systems**; or
- any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **computer systems**.

Damage

Physical loss or destruction or damage.

Data

Any data of any sort whatever, including without limitation tangible or intangible data, and any programs or software, bandwidth, cryptographic keys, databases, documents, domain names or network addresses or anything similar, files, interfaces, metadata, platforms, processing capability, storage media, transaction gateways, user credentials, websites, or any information whatever.

Denial of Service Attack

Any actions or instructions constructed or generated with the ability to damage, interfere with or otherwise affect the availability or performance of networks, network services, network connectivity or **computer systems**. Denial of service attacks include, but are not limited to, the generation of excess traffic into network addresses, the exploitation of system or network weaknesses, the generation of excess or non-genuine traffic between and amongst networks and the procurement of such actions or instructions by other **computer systems**.

Hacking

Unauthorised access to any **computer systems**, whether **your** property or not.

SECTION E - TERRORISM PART A (POOL RE)

Phishing

Any access or attempted access to **data** made by means of misrepresentation or deception.

Private Individual

Any person other than

- a company, association or partnership
- a trustee or body of trustees where insurance is arranged under the terms of a trust
- a person who owns residential property for the purpose of a business as a sole trader
- a person who owns residential property of which in excess of 20% is commercially occupied
- an executor of a will

Where

- (i) The residential property is occupied by a trustee, executor of a will or a sole trader as a private residence and the property is not a block of flats then each will be classified as a private individual in respect of that property.
- (ii) More than one person is named on the **policy** but each is a private individual, or one of the parties named is a financial interest that has simply had their interest noted then the **policy** will be classified as being in the name of a private individual.

Terrorism

For risks located in England, Wales and Scotland except for residential property insured in the name of a private individual

Acts of persons acting on behalf of, or in connection with, any organisation which carries out activities directed towards the overthrowing or influencing, by force or violence, of His Majesty's Government in the United Kingdom or any other government de jure or de facto.

For risks located in the Channel Islands and Isle of Man and for residential property located in England, Wales and Scotland insured in the name of a private individual.

An act of any person(s) acting on behalf of or in connection with any organisation which carries out activities directed towards the overthrowing or influencing by force or violence of any government de jure or de facto.

Virus or Similar Mechanism

Program code, programming instruction or any set of instructions constructed with the purpose and ability, or purposely used, to damage, interfere with, adversely affect, infiltrate or monitor computer programs, **computer systems, data** or operations, whether involving self-replication or not. The meaning of virus or similar mechanism includes but is not limited to trojan horses worms and logic bombs and the exploitation of bugs or vulnerabilities in a computer program to damage, interfere with, adversely affect, infiltrate or monitor as above.

SECTION CONDITIONS - SECTION E - TERRORISM (POOL RE)

These conditions of cover apply only to this section. **You** must comply with the following conditions to have the full protection of **your policy**. Conditions may specify circumstances whereby non-compliance will mean that **you** will not receive payment for a claim. However, **you** will be covered, and we will pay **your** claim if **you** are able to prove that the non-compliance with these conditions could not have increased the risk of the loss which actually occurred in the circumstances in which it occurred.

(1) Limit of Liability Condition

Our liability for all losses from any one event and in total in any one **period of insurance** will not Exceed:

- (a) the total sums insured under each section.
- (b) the sum insured for any one item.
- (c) any specific limit of our liability shown in the **policy** sections.
- (d) the sum insured (or limit remaining) after the deduction for any other **damage** occurring during the same **period of insurance**

whichever is the less as shown in **your schedule**.

(2) Proof of Cover Condition

In any action, lawsuit or other proceedings or where **we** state that any loss, damage, costs or expense is not covered by this section it will be **your** responsibility to prove that they are covered.

COVER

What is Covered

We will extend the cover provided under the following sections, where **your schedule** shows these as covered, to include **damage** caused by **terrorism**:

Section A – Material Damage

Section B – Loss of Rent

All losses arising within 72 hours caused by **terrorism** during the **period of insurance** will be treated as one loss and **you** can decide when the 72-hour period starts as covered by this section, provided that all **damage** occurs within the **period of insurance** and that no two periods overlap.

Additional Covers applicable to Section A – Material Damage and Section - B Loss of Rent

If **your schedule** shows that the section is covered for **your** other **premises**, then the section will also extend to cover the Additional covers. If cover under this section is restricted to **buildings** only for **your** other **premises**, then cover under the Additional covers will also be restricted to **buildings** only.

What is **not** Covered Applicable to all Locations

Excluded Property Exclusion

We will not cover **you** for any losses directly or indirectly caused by or resulting from loss, destruction or damage to any:

- (a) property located outside England, Wales and Scotland, the Channel Islands and the Isle of Man and property in the territorial seas adjacent thereto as defined by the Territorial Seas Act 1987.
- (b) nuclear installation or nuclear reactor
- (c) property which is specifically excluded elsewhere in this **policy**.

SECTION E - TERRORISM PART A (POOL RE)

Motor Exclusion

We will not cover **you** for

- (a) any property covered by a motor policy other than a motor trade policy.
- (b) property covered under a road risks section of a motor trade policy.

Other Insurances Exclusion

We will not cover **you** for any property which is insured by or would but for the existence of this **policy**, be insured by any form of transit, aviation or marine policy.



What is **not** Covered

Applicable to all risks in England, Wales and Scotland only and where the risks are not residential property insured in the name of a private individual

Cyber Exclusion

We will not cover any losses directly or indirectly caused by contributed to or arising from or occasioned by or resulting from:

- (a) damage to or the destruction of any **computer systems**.
- (b) any alteration, modification, distortion, erasure or corruption of **data**

in each case whether **your** property or not, where such loss is directly or indirectly caused by or contributed to by or arising from or occasioned by or resulting from **virus or similar mechanism or hacking or phishing or denial of service attack**.

This exclusion will not apply where the loss:

- (a) results directly from fire, explosion, escape of water from any tank, apparatus or pipe (including any sprinkler system), impact of aircraft or any aerial devices or articles dropped from them, impact of any sea going or water going vessel or of any vehicle whatsoever or of any goods or cargo carried in or on such a vessel or vehicle, destruction of, damage to or movement of buildings or structures, plant or machinery other than any **computer systems**; and
- (b) comprises
 - (i) the cost of reinstatement, replacement or repair in respect of **damage** to or destruction of property insured by **you** and/or
 - (ii) **consequential loss** suffered directly by **you** as a direct result of either **damage** or destruction to property insured by **you** at a location covered by this **policy** or as a direct result of denial, prevention or hindrance of access to a location where property insured by **you** is covered by this **policy** as a result of **damage** caused by **terrorism** to property which is within one mile of the location.

However, under (a) and (b) above **we** will not cover **you** for any losses caused by **terrorism** where the organisation involved or any persons acting on behalf of or in connection with that organisation are controlled by, acting on behalf of or part of any de jure or de facto government of any nation, country or state.

Subject only to the proviso set out in (c) below, the following property is specifically excluded from the cover provided under (a) and (b) above

- (i) money, currency, electronic cryptographic or virtual currency including Bitcoin or anything similar, negotiable or non-negotiable instruments, financial securities or any financial instrument of any sort whatever; and
 - (ii) **data**
- (c) However, in circumstances where loss otherwise falling within this section results indirectly from any alteration, modification, distortion, erasure or corruption of **data** because the occurrence of a peril or perils detailed under (a) above results from any alteration, modification, distortion, erasure or corruption of **data** then notwithstanding (ii) above, such loss shall nonetheless be covered.

War Risk Exclusion

We will not cover any claims caused by or happening through riot, civil commotion, war, invasion, act of foreign enemy, hostilities (whether war is declared or not), civil war, rebellion, revolution, insurrection or military or usurped power.

What is ***not*** Covered

Applicable to risks in the Channel Islands and Isle of Man and to residential property risks insured in the name of a private individual for England, Wales and Scotland.

Cyber Exclusion

We will not cover **you** for any loss, damage, cost or expense directly or indirectly caused by, contributed to by, arising from, occasioned by or resulting from:

- (a) any **cyber act** including but not limited to **hacking, phishing, denial of service attack** or the transmission of any **virus or similar mechanism**.
- (b) any **cyber incident**.

Deliberate Loss or Damage Exclusion

We will not cover **you** for any loss, damage, cost or expense caused, or allowed to be caused, deliberately, wilfully, maliciously, illegally or unlawfully by **you**.

Pollution and Contamination Exclusion

We will not cover damage, or any other loss or expense resulting or arising from damage to any property, or any consequential loss directly or indirectly caused by or contributed to by, or in connection with or arising from biological or chemical pollution or contamination.

Radioactive Contamination Exclusion

We will not cover damage, or any other loss or expense resulting or arising from damage to any property, or any consequential loss, directly or indirectly caused by or contributed to by or arising from

- (a) ionising radiations or contamination by radioactivity from any nuclear fuel, nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
- (b) buildings, plant or equipment for the generation of nuclear power, or production, use or storage of nuclear fuel, nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
- (c) transportation of nuclear fuel, nuclear waste from the combustion of nuclear fuel, radioisotopes, or any other nuclear or radioactive material.
- (d) the radioactive, toxic, explosive or other hazardous properties of any explosive nuclear assembly or nuclear component of that assembly.
- (e) any weapon or device employing atomic or nuclear fission and/or fusion or other like reaction or radioactive force or matter.

War Risk Exclusion

We will not cover **you** for any claims caused by or happening through war, invasion, act of foreign enemy, hostilities (whether war is declared or not), civil war, civil rebellion, warlike operations, revolution, insurrection or military or usurped power, confiscation, nationalisation, requisition, seizure or destruction or damage to property by or under the order of any government or public or local authority.

SECTION E - TERRORISM PART B (NON-POOL RE)

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION E - TERRORISM PART B (NON-POOL RE)

Act of Terrorism

An act or series of acts, including the use of force or violence, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organisation(s), committed for political, religious or ideological purposes including the intention to influence any government and/or to put the public in fear for such purposes.

Act of Sabotage

A subversive act or series of such acts committed for political, religious or ideological purposes including the intention to influence any government and/or to put the public in fear for such purposes.

Computer System

Any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, **data** storage device, networking equipment or back up facility, owned or operated by **you** or any other party.

Cyber Act

An unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or **hoax** thereof involving access to, processing of, use of or operation of any **computer system**.

Cyber Incident

Cyber Incident means:

- any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **computer system**; or
- any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **computer system**.

Cyber Loss

Any loss, damage, liability, claim, cost or expenses of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any **cyber act** or **cyber incident** including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any **cyber act** or **cyber incident**.

Data

Facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a **computer system**.

Data Processing Media

Any **property insured** by this **policy** on which **data** can be stored but not the **data** itself.

Finished Stock

Stock manufactured by the **you** which in the ordinary course of **your** business is ready for packing, shipment or sale.

Gross Earnings

The sum of:-

- total net sales value of production or sales of **merchandise**, and
- other earnings derived from the operations of the business, less the cost of:-
 - (a) **raw stock** from which production is derived,
 - (b) supplies consisting of materials consumed directly in the conversion of such **raw stock** into **finished stock**, or in supplying the services sold by **you**,
 - (c) **merchandise** sold including packaging materials therefore,
 - (d) materials and supplies consumed directly in supplying the service(s) sold by **you**,
 - (e) service(s) purchased from outsiders (not employees of the Insured) for resale which do not continue under contract,
 - (f) the difference between the cost of production and the nett selling price of **finished stock** which has been sold but not delivered.

No other costs shall be deducted in determining gross earnings.

Hoax

A threat of an intention to cause physical damage, loss of life or bodily injury by an **Act of Terrorism** or **Sabotage**, and which poses an immediate and real risk of occurring within the **vicinity** of the **property insured**, but that **Act of Terrorism or Sabotage** does not materialise.

Indemnity Period

The period beginning with the date of an **act or series of acts of terrorism** and/or **sabotage** and ending no later than the end of the **period of insurance** specified in the **schedule** during which the results of the business shall be affected in consequence of the act or series of **acts of terrorism** and/or **sabotage**.

Merchandise

Goods kept for sale by **you** which are not the product of manufacturing operations conducted by **you**.

Normal

The condition that would have existed had no loss occurred.

Occurrence

Any one loss and/or series of losses arising out of and directly occasioned by one **Act or series of Acts of Terrorism or Sabotage** for the same purpose or cause.

Period of Insurance

The length of time for which this insurance is in force as shown on **your policy schedule**.

Property Insured

Property located at the address(es) as shown on **your schedule**.

Raw Stock

Material in the state in which **you** receive it for conversion into **finished stock**.

Rental Income

Rental income is defined as the sum of:-

- (a) The anticipated gross rental income from tenant occupancy of the described property as furnished and equipped by **you**, and
- (b) The amount of all charges which are the legal obligations of the tenants and which would otherwise be obligations of **you**, and
- (c) The fair rental value of any portion of such property which is occupied by **you**.

SECTION E - TERRORISM PART B (NON-POOL RE)

Schedule

A document which details the specific cover provided to **you** as part of this **policy**.

Stock In Process

Raw stock which has undergone any ageing, seasoning, mechanical or other process of manufacture at the **property insured** but which has not become **finished stock**.

Verified Threat

A threat of an intention to cause physical damage, loss of life or bodily injury by an **act of terrorism** or **act of sabotage** and which poses an immediate and real risk of occurring within the **vicinity** of the **property insured**.

Verified means either, (a) a threat that has been passed to **you** by the Police or an Officer of His Majesty's Government; or (b) **you** have informed the Police immediately after **you** become aware of a device **you** suspect could be harmful at or within the **vicinity** of **your property insured**.

Vicinity

Vicinity means within one mile of **your property insured**.

POLICY COVER

Insuring Clause

Subject to the exclusions, limits and conditions hereinafter contained, this **policy** insures property of the **insured** and /or subsidiary and/or associated divisions as stated in the **schedule** attaching and forming part of this **policy** (hereinafter referred to as the “**schedule**”) against physical loss or physical damage, occurring during the **period of insurance** caused by an **Act of Terrorism** or **Sabotage** or a **verified threat** or **hoax**.

Property Excluded

This policy does not cover physical loss or physical damage to:

- (1) Land or land values.
- (2) Power transmission, feeder lines or pipelines not on the **property insured**.
- (3) Aircraft or any other aerial device, or watercraft.
- (4) Any land conveyance, including vehicles, locomotives or rolling stock, unless such land conveyance is declared hereon and solely whilst located at the **property insured** herein at the time of its damage.
- (5) Animals, plants and living things of all types.
- (6) Property in transit not on the **property insured**.

Losses Excluded

This policy does not insure against:-

- (1) Loss or damage arising directly or indirectly from nuclear detonation, nuclear reaction, nuclear radiation or radioactive contamination; however such nuclear detonation, nuclear reaction, nuclear radiation or radioactive contamination may have been caused.
- (2) Loss or damage occasioned directly or indirectly by war, invasion or warlike operations (whether war be declared or not), hostile acts of sovereign or local government entities, civil war, rebellion, revolution, insurrection, martial law, usurpation of power, or civil commotion assuming the proportions of or amounting to an uprising.
- (3) Loss by seizure or legal or illegal occupation unless physical loss or damage is caused directly by an **Act of Terrorism** or an **Act of Sabotage**.
- (4) Loss or damage caused by confiscation, nationalisation, requisition, detention, embargo, quarantine, or any result of any order of public or government authority which deprives the Insured of the use or value of its property, nor for loss or damage arising from acts of contraband or illegal transportation or illegal trade.
- (5) Loss or damage directly or indirectly arising from or in consequence of the seepage and or discharge of pollutants or contaminants, which pollutants and contaminants shall include but not be limited to any solid, liquid, gaseous or thermal irritant, contaminant or toxic or hazardous substance or any substance the presence, existence or release of which endangers or threatens to endanger the health, safety or welfare of persons or the environment.
- (6) Loss or damage arising directly or indirectly from or in consequence of chemical or biological emission, release, discharge, dispersal or escape or chemical or biological exposure of any kind.
- (7) Loss or damage arising directly or indirectly from or in consequence of asbestos emission, release, discharge, dispersal or escape or asbestos exposure of any kind.
- (8) Any fine or penalty or other assessment which is incurred by the Insured or which is imposed by any court, government agency, public or civil authority or any other person.

SECTION E - TERRORISM PART B (NON-POOL RE)

- (9) Loss, damage, liability or expense directly or indirectly caused by, contributed to by or arising from:
- (a) The failure, error or malfunction of any computer, **computer system**, computer software programme, code or process or any other electronic system; or
 - (b) The use or operation, as a means for inflicting harm, of any computer, **computer system**, computer software programme, malicious code, computer virus or process or any other electronic system.

This exclusion shall not operate to exclude losses (which would otherwise be covered under this **policy**) arising from the use of any computer, **computer system** or computer software programme or any other electronic system in the launch and/or guidance system and/or firing mechanism of any weapon or missile.

- (10) Loss or damage caused by vandals or other persons acting maliciously or by way of protest or strikes, labour unrest, riots or civil commotion.
- (11) Loss or increased cost occasioned by any public or government or local or civil authority's enforcement of any ordinance or law regulating the reconstruction, repair or demolition of any property insured hereunder.
- (12) Loss or damage caused by measures taken to prevent, suppress or control actual or potential **terrorism** or **sabotage** unless agreed by **us** in writing prior to such measures being taken.
- (13) Any consequential loss or damage, loss of use, delay or loss of markets, loss of income, depreciation, reduction in functionality.
- (14) Loss or damage caused by factors including but not limited to cessation, fluctuation or variation in, or insufficiency of, water, gas or electricity supplies and telecommunications or any type of service.
- (15) Loss or damage caused by or arising out of burglary, house - breaking, looting, theft or larceny.
- (16) Loss or damage caused by mysterious disappearance or unexplained loss.
- (17) Loss or damage directly or indirectly caused by mould, mildew, fungus, spores or other microorganism of any type, nature or description, including but not limited to any substance whose presence poses an actual or potential threat to human health.

CONDITIONS

(1) JOINT INSURED

Our total liability for any loss or losses sustained by any one or more of the **insureds** under this **policy** will not exceed the sum insured shown in the **schedule**. **We** shall have no liability in excess of the sum insured whether such amounts consist of insured losses sustained by all of the **insureds** or any one or more of the **insureds**.

(2) OTHER INSURANCE

This **policy** shall be excess of any other insurance available to the **insured** covering a loss covered hereunder except such other insurance which is written specifically as excess insurance over this **policy**. When this **policy** is written specifically in excess of other insurance covering the peril insured hereunder, this **policy** shall not apply until such time as the amount of the underlying insurance, (whether collectible or not), has been exhausted by loss and damage covered by this **policy** in excess of the deductible with respect to each and every covered loss.

(3) PROPERTY INSURED

This **policy** insures property located at the addresses stated in the **schedule** defined as **property insured**.

(4) SUM INSURED

We hereon shall not be liable for more than the sum insured stated in the **schedule** in respect of each **occurrence** and in the aggregate.

(5) DEDUCTIBLE

Each **occurrence** shall be adjusted separately and from each such amount the sum stated in the **schedule** shall be deducted.

SECTION E - TERRORISM PART B (NON-POOL RE)

(6) OCCURRENCE

The duration and extent of any one **occurrence** shall be limited to all losses sustained by the **insured** at the **property insured** during any period of 72 consecutive hours arising out of the same purpose or cause. However, no such period of 72 consecutive hours may extend beyond the expiration of this **policy** unless the insured shall first sustain direct physical damage by an **Act of Terrorism** or an **Act of Sabotage** prior to expiration and within said period of 72 consecutive hours nor shall any period of 72 consecutive hours commence prior to the attachment of this **policy**.

(7) DEBRIS REMOVAL

This **policy** also covers, within the sum insured, expenses incurred in the removal from the **property insured** of debris of property stated in the **schedule** damaged by an **Act of Terrorism** or an **Act of Sabotage**. The cost of removal of debris shall not be considered in determination of the valuation of the **property insured**.

(8) DUE DILIGENCE

You (or any of the **your** agents, sub or co-contractors) must use due diligence and do (and concur in doing and permit to be done) everything reasonably practicable, including but not limited to taking precautions to protect or remove the **property insured**, to avoid or diminish any loss herein insured and to secure compensation for any such loss including action against other parties to enforce any rights and remedies or to obtain relief or indemnity.

This condition is very important. If **you** (or any of **your** agents, sub or co-contractors) breach this condition and **you** are not able to show that the failure to comply could not have increased the risk of the loss which actually occurred in the circumstances in which it occurred, then **we** may reject **your** claim or reduce amounts payable on **your** claim.

(9) PROTECTION MAINTENANCE

It is agreed that any protection provided for the safety of the **property insured** shall be maintained in good order throughout the currency of this **policy** and shall be in use at all relevant times, and that such protection shall not be withdrawn or varied to the detriment of the interests of **us** without **our** consent.

This condition is very important. If **you** breach this condition and **you** are not able to show that the failure to comply could not have increased the risk of the loss which actually occurred in the circumstances in which it occurred, then **we** may reject **your** claim or reduce amounts payable on **your** claim.

(10) VALUATION

It is understood that, in the event of damage, settlement shall be based upon the cost of repairing, replacing or reinstating (whichever is the least) **property insured** on the same site, or nearest available site (whichever incurs the least cost) with material of like kind and quality without deduction for depreciation, subject to the following provisions:

- (a) The repairs, replacement or reinstatement (all hereinafter referred to as "replacement") must be executed with due diligence and dispatch;
- (b) Until replacement has been effected the amount of liability under this **policy** in respect of loss shall be limited to the actual cash value at the time of loss;
- (c) If replacement with material of like kind and quality is restricted or prohibited by any by-laws, ordinance or law, any increased cost of replacement due thereto shall not be covered by this **policy**.

Our liability for loss under this **policy** shall not exceed the smallest of the following amounts: -

- (a) The **policy** limit (as set out in the **schedule**) applicable to the destroyed or damaged property;
- (b) The replacement cost of the **property insured** or any part thereof which was intended for the same occupancy and use, as calculated at the time of the loss
- (c) The amount actually and necessarily expended in replacing said **property insured** or any part thereof.
We will normally expect **you** to carry out repair or replacement of the **property insured**, but if **we** agreed with **you** that it is not practicable or reasonable to do this, **we** will pay **you** an amount based on the repair or replacement costs, less an allowance for fees and associated costs which are not otherwise incurred. **We** will only pay up to the sum insured shown in the **schedule**.

SECTION E - TERRORISM PART B (NON-POOL RE)

(11) INCORRECT DECLARATION PENALTY

If the values declared as stated in the **schedule** are less than the correct insured values as determined above, then any recovery otherwise due hereunder shall be reduced in the same proportion that the values declared bear to the values that should have been declared, and the **insured** shall co-insure for the balance.

(12) NOTIFICATION OF CLAIMS

The **insured**, upon knowledge of any **occurrence** likely to give rise to a claim hereunder, shall follow the 'How to Make a Claim' process and give written advice as soon as reasonably practicable to the claims handling service if requested.

The claims handling service will then advise **us** within seven (7) days of such knowledge of any **occurrence**, and it is a condition precedent to **our** liability that such notification is given by the **insured** as provided for by this **policy**.

If the **insured**, makes a claim under this insurance they must give the claims handling service such relevant information and evidence as may reasonably be required and co-operate fully in the investigation or adjustment of any claim. If required by **us**, the **insured** must submit to examination under oath by any person designated by **us**.

(13) PROOF OF LOSS

The **insured** shall render a signed and sworn proof of loss within sixty (60) days after the **occurrence** of a loss (unless such period be extended by our written agreement) stating the time, place and cause of loss, the interest of the **insured** and all others in the property, the sound value thereof and the amount of loss or damage thereto.

If **we** have not received such proof of loss within two years of the expiry date of this **policy**, **we** shall be discharged from all liability hereunder.

In any claim and/or action, suit or proceeding to enforce a claim for loss under this **policy**, the burden of proving that the loss is recoverable under this **policy** and that no limitation or exclusion of this **policy** applies and the quantum of loss shall fall upon the **insured**.

(14) SUBROGATION

Any release from liability entered into in writing by the **insured** prior to loss hereunder shall not affect this **policy** or the right of the **insured** to recover hereunder. The right of subrogation against any of the **insured's** subsidiary or affiliated companies or any other companies associated with the **insured** through ownership or management is waived;

In the event of any payment under this **policy**, **we** shall be subrogated to the extent of such payment to all the **insured's** right of recovery, therefore. the **insured** shall execute all papers required, shall cooperate with the **us** and, upon **our** request, shall attend hearings and trials and shall assist in effecting settlements, securing and giving evidence, attaining the attendance of witnesses and in the conduct of suits and shall do anything that may be necessary to secure such right. **We** will act in concert with all other interests concerned (including the **insured**) in the exercise of such rights of recovery. If any amount is recovered as a result of such proceedings, such amount shall be distributed in the following priorities:

- (a) Any interest, (including the **insured's**), exclusive of any deductible or self-insured retention, suffering a loss of the type covered by this **policy** and in excess of the coverage under this **policy** shall be reimbursed up to the amount of such loss (excluding the amount of the deductible);
- (b) Out of the balance remaining, **we** shall be reimbursed to the extent of payment under this **policy**;
- (c) The remaining balance, if any, shall inure to the benefit of the **insured**, or any insurer providing insurance primary to this **policy**, with respect to the amount of such primary insurance, deductible, self-insured retention, and/or loss of a type not covered by this **policy**.

The expense of all proceedings necessary to the recovery of any such amount shall be apportioned between the interests concerned, including that of the **insured**, in the ratio of their respective recoveries as finally settled. If there should be no recovery and proceedings are instituted solely on the initiative of **us**, the expense thereof shall be borne by **us**.

SECTION E - TERRORISM PART B (NON-POOL RE)

(15) SALVAGE AND RECOVERIES

All salvages, recoveries and payments recovered or received subsequent to a loss settlement under this **policy** shall be applied as if recovered or received prior to the said settlement and all necessary adjustments shall be made by the parties hereto.

(16) INSURANCE ACT 2015 - FRAUDULENT CLAIMS CLAUSE

- (1) If the **insured** makes a fraudulent claim under this insurance contract, **we**:
 - a) Are not liable to pay the claim; and
 - b) May recover from the **insured** any sums paid by **us** to the **insured** in respect of the claim; and
 - c) May by notice to the **insured** treat the contract as having been terminated with effect from the time of the fraudulent act.
- (2) If **we** exercise **our** right under clause (1) (c) above:
 - a) **We** shall not be liable to the **insured** in respect of a relevant event occurring after the time of the fraudulent act. A relevant event is whatever gives rise to **policy** liability under the insurance contract (such as the **occurrence** of a loss, the making of a claim, or the notification of a potential claim); and,
 - b) **We** need not return any of the premiums paid.

Nothing in these clauses is intended to vary the position under the Insurance Act 2015.

LMA5256 16 March 2016

(17) INFORMATION YOU HAVE GIVEN US

The **insured** and/or **joint insured** (as stated in the **schedule**) have a duty to take care when answering questions **we** ask by ensuring that any information provided is accurate and complete.

If **we** establish that the **insured** and/or **joint insured** have deliberately or recklessly failed to answer questions as described above, **we** have the right to:

- a) treat this **policy** as if it never existed;
- b) decline all claims; and
- c) retain the premium; or

If **we** establish that the **insured** and/or **joint insured** have failed to answer questions as described above in a manner that is not deliberate or reckless (for instance, by being negligent), **we** will have the right to:

- i. treat this **policy** as if it never existed, decline to pay any claim and return the paid premium to the **insured**, if **we** would not have provided the **insured** and/or **joint insured** with cover;
- ii. treat this **policy** as if it had been entered into on different terms from those agreed, if **we** would have provided the **insured** and/or **joint insured** with cover on different terms;
- iii. reduce the amount **we** pay on any claim in the proportion that the premium the **insured** and/or **joint insured** have paid bears to the premium, if **we** would have charged the **insured** and/or **joint insured** more.

We will notify the **insured** and/or **joint insured** in writing if (i), (ii) and/or (iii) apply.

If there is no outstanding claim and (a) and/or (b) apply, **we** will have the right to:

1. give the **insured** and/or **joint insured** thirty (30) days' notice that **we** are terminating this **policy**; or
2. give the **insured** and/or **joint insured** notice that **we** will treat this **policy** and any future claim in accordance with (ii) and/or (iii)
3. in which case the **insured** and/or **joint insured** may then give **us** thirty (30) days' notice that the **insured** and/or **joint insured** are terminating this **policy**.

If this policy is terminated in accordance with (1) or (2), **we** will refund any premium due to the **insured** and/or **joint insured** in respect of the balance of the **period of insurance**.

SECTION E - TERRORISM PART B (NON-POOL RE)

(18) ABANDONMENT

There shall be no abandonment to **us** of any property.

(19) INSPECTION AND AUDIT

We or **our** agents shall be permitted but not obligated to inspect the **insured's** property at any time.

Neither our right to make inspections nor the making thereof nor any report thereon shall constitute an undertaking, on behalf of or for the benefit of the **insured** or others, to determine or warrant that such property is safe.

We may examine and audit the **insured's** books and records at any time up to two years after the final termination of this **policy**, as far as they relate to the subject matter of this insurance.

(20) ASSIGNMENT

Assignment or transfer of this **policy** shall not be valid except with the prior written consent of **us**.

(21) RIGHTS OF THIRD PARTIES EXCLUSION

This **policy** is affected solely between the **insured** and **us**. This **policy** shall not confer any benefits on any third parties, including shareholders, and no such third party may enforce any term of this **policy**. This clause shall not affect the rights of the **insured**.

(22) SEVERAL LIABILITY

The insurer's obligations under this **policy** are several and not joint and are limited solely to their individual subscriptions. The insurer is not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations.

(23) LEGAL ACTION AGAINST US OR THE INSURER

No one may bring a legal action against **us** and/or the insurer unless:

There has been full compliance by the **insured** with all of the terms of this **policy**; and the action is brought within two (2) years after the expiry or cancellation of this **policy**.

(24) MATERIAL CHANGES

The **insured** shall notify **us** of any change of circumstances which would materially affect this **policy**.

When **we** are notified of such a change, **we** may amend the terms of this **policy** or require **you** to pay more for **your** insurance. If **you** do not inform **us** about a change, it may affect a claim **you** make or could result in **your** insurance being invalid.

(25) EXPERTS FEES

This Insurance includes, within the sum insured, the necessary and reasonable fees of architects, surveyors, consulting engineers and other professional experts which are incurred in reinstating or repairing the **property insured** following damage insured under this **policy**.

(26) LAW AND JURISDICTION

The construction, validity and performance of this **policy** shall be governed by the Law of England. Each party agrees to submit to the exclusive jurisdiction of any competent court within England and Wales.

Extensions

These Extensions apply only if they have been identified in the **schedule** as applying to the **insured** and any sub-limits mentioned form part of and are not in addition to the total sum insured.

These Extensions are subject to the conditions, exclusions and limitations of this contract and also to the additional conditions, exclusions and limitations listed below in each Extension and those applicable to all Extensions.

EXTENSION 1 - BUSINESS INTERRUPTION

This **policy** is extended to cover loss resulting from necessary interruption of business to the **property insured** caused by

- direct physical loss or damage, as covered by this **policy** to which this extension is attached to the **property insured** or
- a **verified threat** or **hoax**

In the event of the above **we** shall be liable for the actual loss sustained by the **insured** resulting directly from such necessary interruption of business, but not exceeding the reduction in **gross earnings**, less charges and expenses which are not necessary during interruption of the **insured's** business, for a period of:-
in the event of such direct physical loss or damage described above, not to exceed the lesser of:

- (a) such length of time as would be required, with the exercise of due diligence and dispatch, to repair, rebuild or replace such part of the **property insured** as has been destroyed or damaged; or
- (b) the calendar months stated in the **schedule**;

in respect of a **verified threat** or **hoax**

- (c) seven (7) days after the applicable excess period

commencing with the date of such direct physical loss or damage, except for a **verified threat** or **hoax** which will have an excess period of twenty four (24) hours, and not limited by the expiration of this **policy**.

Due consideration shall be given to the continuation of **normal** charges and expenses, including payroll expenses, to the extent necessary to resume operations of the **insured** with the same operational capability as existed immediately before the loss.

EXTENSION 2 - LOSS OF RENTAL INCOME EXTENSION AND/OR ALTERNATIVE ACCOMMODATION

This **policy** is extended to cover loss resulting from necessary untenantability of the **property insured** caused by direct physical loss or damage as covered by this **policy** to which this extension is attached to the **property insured**.

In the event of the above **we** shall be liable for the actual loss sustained by the **insured** resulting directly from such necessary untenantability, but not exceeding the reduction in **rental income**, less charges and expenses which are not necessary during the period of untenantability for a period of not to exceed the lesser of:

- (a) such length of time as would be required, with the exercise of due diligence and dispatch, to repair, rebuild or replace such part of the **property insured** as has been destroyed or damaged; or
- (b) the calendar months stated in the **schedule**;

commencing with the date of such direct physical loss or damage and not limited by the expiration of this **policy**.

In the event of the above **we** shall also be liable for the

- (a) additional cost of alternative accommodation, substantially the same as the **insured's** existing accommodation which the **insured** has to pay for while the buildings cannot be lived in up to the sub-limit shown on the **schedule**;
- (b) cost of alternative accommodation for domestic pets, limited to cats and dogs only, up to the sub-limit as shown on the **schedule**;

If no sub-limits are shown on the **schedule**, subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate.

SECTION E - TERRORISM PART B (NON-POOL RE)

EXTENSION 3 – ADDITIONAL INCREASED COST OF WORKING

This **policy** is extended to cover the **insured's** additional increased cost of working.

DEFINITIONS APPLICABLE TO THIS EXTENSION

(1) **ADDITIONAL INCREASED COST OF WORKING MEANS:**

The additional expenditure beyond that recoverable under the Business Interruption Extension necessarily and reasonably incurred to continue the operation of the **insured's** business as nearly as reasonably practicable during the **indemnity period** over and above the cost that would normally have been incurred to conduct the business during the same period had no loss or damage occurred, subject to the limit shown on the **schedule**.

(2) **INDEMNITY PERIOD MEANS:**

The period beginning with the date of an act or series of **Act(s) of Terrorism** and/or **Sabotage** and/or **verified threat** and/or **hoax** and ending not later than i) the end of the period specified in the **schedule** for **Act(s) of Terrorism** and/or **Sabotage** and ii) 7 days for **verified threat** and/or **hoax** during which the results of the business shall be affected in consequence of the act or series of **Act(s) of Terrorism** and/or **Sabotage** and/or **verified threat** and/or **hoax**.

Subject to a maximum of 10% of declared scheduled location business interruption value for any one **occurrence** and in the aggregate, 24 hour any one **occurrence** deductible to apply.

EXTENSION 4 - SEEPAGE AND/OR POLLUTION AND/OR CONTAMINATION CLEAN UP (WRITE-BACK)

Notwithstanding any provision to the contrary within this **policy**, if:

- (a) The **property insured** suffers physical loss or damage caused by an **Act of Terrorism** and/or **Sabotage**; and
- (b) such property contains chemical and/or biological and/or radiological and/or mineral agents which are stored or used in any processes conducted on the **property insured**; and
- (c) the **Act of Terrorism** and/or **Sabotage** the sole, immediate and direct cause of seepage onto, and/or pollution and/or contamination of the **property insured**,

this insurance will provide cover for the resulting damage to the **property insured** and the reasonable and necessary expense incurred by the insured for clean-up within the perimeter of the **property insured**, up to any sub-limit shown on the **schedule**.

Provided that:

- (a) On the date of loss there is no nuclear reactor or any new or used nuclear fuel on the **property insured**; and
- (b) Within one (1) year of the commencement of the **Act(s) of Terrorism** and/or **Sabotage** which caused the original damage, the **insured** became aware of, and advised us of, the amount of:
 - (i) The resulting damage and the reasonable and necessary expense incurred for the clean-up operations; and
 - (ii) Any other interest to be claimed under this extension as a result of the resulting damage.

Notwithstanding the foregoing, the cost of resulting damage and the reasonable and necessary expense incurred by the **insured** for clean-up operations shall not be considered in determining the value of the **property insured**.

If no sub-limit is shown in the **schedule**, subject to a maximum of 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate.

EXTENSION 5 - UTILITIES

This **policy** is extended to cover actual loss sustained by the **insured** and resulting from interruption or interference with the **insured's** business at the **property insured** after the expiry of twenty (24) hours following an **Act of Terrorism** and/or **Sabotage** occurring during the **indemnity period** and caused by damage by an **Act of Terrorism** and/or **Sabotage** to facilities, installations and/or equipment, pipes, lines, wires and the like supplying the **property insured** with gas, electricity, metered water, effluent, telecommunications or internet provision services up to the sub-limit shown on the **schedule**.

If no sub-limit is shown in the **schedule**, subject to a maximum of 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate.

SECTION E - TERRORISM PART B (NON-POOL RE)

EXTENSION 6 - BRAND REHABILITATION

This **policy** is extended to cover such reasonably and necessarily incurred costs for advertising and/or the use of a public relations firm, solely for the purpose of avoiding or diminishing a reduction in income or resuming or maintaining normal business following physical loss or damage to **property insured** by an **Act of Terrorism** and/or **Sabotage**,

Provided that:

- (a) The appointment of any public relations firm is subject to **our** prior consent;
- (b) The **Act of Terrorism** and/or **Sabotage** thereof, giving rise to a claim under this insurance results in an insured loss exceeding 10% of the total business interruption sum insured as stated in the **schedule**; and
- (c) The payment of such costs by **us** is not provided for elsewhere in this **policy**.

Subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate.

EXTENSION 7 - LOSS OF ATTRACTION

This **policy** is extended to cover actual loss sustained by the **insured** and resulting from interruption of or interference with the **insured's** business after the expiry of 24 hours following an **Act of Terrorism** and/or **Sabotage** and/or **verified threat** and/or **hoax** thereof, to property located within two hundred (200) meters of the **property insured**, occurring during the **period of insurance** and subject to the sub-limit shown on the **schedule**.

If no sub-limit is shown in the **schedule**, subject to a maximum of 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate.

EXTENSION 8 – DENIAL OF ACCESS

This **policy** is extended to cover actual loss sustained by the **insured** and resulting from interruption of or interference with the **insured's** business after the expiry of 24 hours following an **Act of Terrorism** and/or **Sabotage** and/or **verified threat** and/or **hoax** thereof, to property located within two hundred (200) meters of the **property insured**, occurring during the **period of insurance** and subject to the sub-limit shown on the **schedule**.

If no sub-limit is shown in the **schedule**, subject to a maximum of 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate.

EXTENSION 9 – EXPENSES TO REDUCE LOSS

This **policy** is extended to cover such expenses as are necessarily incurred for the purpose of reducing loss under extensions 1 & 2 (except expenses incurred to extinguish a fire) and, in respect of manufacturing risks, such expense, in excess of **normal**, as would necessarily be incurred in replacing any **finished stock** used by the **insured** to reduce loss under this extension, but in no event to exceed the amount by which loss under these extensions is thereby reduced. Such expenses shall not be subject to the application of any contribution clause.

LIMIT OF LIABILITY FOR EXTENSIONS 1-9

Our liability for losses due to (i) a **verified threat** and/or **hoax** (but not physical damage due to an **Act of Terrorism** and/or **Sabotage**) under extensions 1 and 2 and/or (ii) any losses incurred under extensions 3-9 combined shall never exceed GBP5,000,000 any one **occurrence** and in the aggregate during any one **period of insurance**. 24 hour each and every **occurrence** deductible to apply to all business interruption sub-limits.

EXTENSION 10 – CONTRACT WORKS

This **policy** is extended to cover the permanent and/or temporary works forming part of any insured contract at the **property insured** including materials incorporated or to be incorporated therein. This shall include all **property insured** or for property for which the **insured** is responsible as principal or employer but not building or machinery of a prototype or experimental nature and only in respect of extensions or additions to existing buildings, structures or facilities at an already established location.

Subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate or GBP500,000, whichever is the lesser.

SECTION E - TERRORISM PART B (NON-POOL RE)

EXTENSION 11: GOODS IN TRANSIT

This **policy** is extended to insure **personal property** as hereinafter described, whilst in transit within the United Kingdom only against direct physical loss or damage (including general average and salvage charges on shipments covered whilst waterborne) caused by an **Act of Terrorism** or **Sabotage** occurring during the **period of insurance**.

For the purposes of this Extension 11, "Personal Property" means:

- (1) Personal property of the **insured** which has been declared to and agreed by **us**.
- (2) Personal property of others which is in the **insured's** care, custody, and control for use by the **insured** or for the purpose of sale or processing by the **insured**, and for which the **insured** is legally liable.

EXCLUSIONS

This extension does not insure:

- (1) property of others which is in the **insured's** possession for the principal purpose of transportation or storage;
- (2) property in course of marine transit;
 - (a) on inland waterways,
 - (b) and/or on regular ferry or other public vessels on coastal waterways;
- (3) property in course of air transit;
- (4) sendings by mail after delivery into the custody of a professional packer or carrier;
- (5) samples while in the care, custody or control of any salesman.
- (6) any consequential business interruption.

Subject to a maximum of 10% of declared scheduled location contents value any one **occurrence** and in the aggregate or GBP100,000, whichever the lesser.

EXTENSION 12: CUSTOMER GOODS AT THE PROPERTY INSURED

This **policy** is extended to cover physical loss or damage by an **Act of Terrorism** or **Sabotage** to customer goods whilst on or in the **property insured**

- (i) where the **insured** has contracted with their customers that they will accept responsibility for loss of or destruction of or damage to goods being the property of such customers; or
- (i) for which the said customers may be legally responsible whether manufactured by the **insured** or not, upon which work is to be, is being or has been done on behalf of customers by the **insured** or
- (i) which may be left in the **insured's** hands for storage or despatch or otherwise temporarily in the **insured's** custody,

unless they are more specifically insured elsewhere.

Subject to a maximum of 10% of declared schedule location contents value any one **occurrence** and, in the aggregate, or GBP100,000 any one **occurrence** and in the aggregate, whichever is the lesser.

EXTENSION 13: DAMAGE TO PROPERTY OF THE INSURED STORED AT A THIRD-PARTY LOCATION

This **policy** is extended to cover physical loss or damage caused by an **Act of Terrorism** or **Sabotage** occurring during the **period of insurance** to **property insured** whilst stored at third party locations in the United Kingdom which have not been individually declared.

Other than sites in the following UK postcodes: E1, EC1, EC2, EC3, EC4, E14, SE1, SW1, W1, WC1, WC2, M1

Subject to a maximum of GBP100,000 any one **occurrence** and in the aggregate.

EXTENSION 14: TERRORISM CYBER

CYBER EXCLUSION AND LIMITED WRITE BACK ENDORSEMENT – PROPERTY DAMAGE ONLY

Notwithstanding anything to the contrary within this **policy** (including exclusion 9) or any endorsement thereto, this contract does not insure against loss or damage by electronic means including but not limited to computer hacking or the introduction of any form of computer virus or corrupting or unauthorised instructions or code or the use of any electromagnetic weapon.

SECTION E - TERRORISM PART B (NON-POOL RE)

Subject to all the terms and conditions of this contract, except as specifically varied or provided by the terms of this endorsement, this exclusion shall not operate to exclude physical loss or physical damage to property insured under this contract arising from the use of any computer, **computer system**, software or programme or any other electronic system to perpetrate an **Act of Terrorism**, or **Sabotage** (as defined in and where insured by the Contract to which this endorsement is attached) including the use of any computer, **computer system** or computer software programme or any other electronic system in the launch and/or guidance system and/or firing mechanism of any weapon or missile.

We shall not be liable under this endorsement for more than the lesser of 10% of declared scheduled location value or GBP250,0000[in respect of each occurrence and in total (the aggregate limit) for the **period of insurance** ("the **limited cyber sublimit**"). The **limited cyber sublimit** applies as part of, and not in addition to, the overall **policy limit** of liability for an occurrence covered under this contract. If the **limited cyber sublimit** applies in conjunction with any other sublimit of liability within this contract, the lesser sublimit of liability shall apply and shall be the maximum amount potentially recoverable. In addition, it is understood and agreed that the **limited cyber sublimit** is the maximum amount potentially recoverable from all insurance layers combined for all insured loss, damage, expense or other insured interest arising from or relating to coverage under this endorsement, regardless of which layer(s) **we** provide coverage for. This endorsement is void and of no force or effect unless an amount is specified in this paragraph.

Nothing in the foregoing shall be interpreted to extend this contract to include cover for:

- (a) loss, damage, destruction, distortion, erasure, corruption or alteration of any software, programmes or any other **data** from any cause whatsoever or loss of use or reduction in functionality resulting therefrom;
- (b) indirect or remote loss or damage, interruption of business, loss of use, delay or loss of markets, loss of income, depreciation, reduction in functionality, or increased cost of working;
- (c) loss or damage caused by measures to prevent, suppress or control actual or potential **terrorism** or **sabotage** unless agreed by **us** in writing prior to such measures being taken;
- (d) loss or damage caused by cessation, fluctuation or variation in, or insufficiency of, water, gas or electricity supplies and telecommunications or any type of service.

Subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate or GBP250,000, whichever is the lesser.

EXTENSION 15: LOOTING POST DAMAGE

This **policy** is extended to cover looting as a direct consequence of physical loss or damage following an **Act of Terrorism** or **Sabotage** to **property insured**.

Subject to a maximum of 10% of declared scheduled location contents value any one **occurrence** and, in the aggregate, or GBP250,000, whichever is the lesser (property damage only).

EXTENSION 16: CAPITAL ADDITIONS

Automatic coverage shall apply to any:

- (a) Increases in insured values at existing locations following a revaluation of **property insured** at such locations and/or due to any construction and/or renovation work at such locations;
- (b) Additional property and/or interest of the type already insured by this Contract which may be acquired or otherwise become at the risk of the **insured** during the **period of insurance**;

Provided always that:

- (i) The total increase in insured values during the **period of insurance** in respect of (a) and (b) above does not exceed 10% of the total declared values in the **schedule** at inception or GBP1,000,000, whichever the lesser; and
- (ii) Additional property and/or interests stated in (b) above does not relate to any property located within the excluded areas where shown below or within countries not covered on the **schedule** of insured properties declared at inception.

To be declared to insurers within 30 days of any revaluation, or the completion of any construction or renovation work.

Excluded Areas:

This Extension shall not apply to the following UK postcodes: E1, EC1, EC2, EC3, EC4, E14, SE1, SW1, W1, WC1, WC2, M1

SECTION E - TERRORISM PART B (NON-POOL RE)

EXTENSION 17: SUPPLIERS/CUSTOMERS BUSINESS INTERRUPTION EXTENTION

This **policy** is extended to cover loss resulting from interruption of the business of the **insured** caused by physical loss or physical damage by an **Act of Terrorism** or **Sabotage** to property, otherwise excluded by this contract, that impairs a) direct supplier(s) of goods and/or services to the **insured** from rendering and/or delivering their goods and/or services, or b) direct customer(s) of goods and/or services of the **insured** from accepting the goods of the insured and/or services.

Our maximum liability shall not exceed 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate or GBP1,000,000, whichever the lesser. 24 hour each and every **occurrence** deductible to apply.

EXTENSION 18: EMERGENCY OVERNIGHT HOTEL ACCOMODATION

This **policy** is extended to cover the cost of an alternative accommodation in the event of a residential building or residential portion of a commercial building insured hereby being uninhabitable or access being prevented to such property upon physical damage or loss by an **Act of Terrorism** or **Sabotage** to the property.

This is to include:

The reasonable additional cost of comparable accommodation incurred by the lessee or owner for any resident including pets which normally live in the building.

Subject to a maximum of 10% of declared scheduled location business interruption value any one **occurrence** and in the aggregate or GBP500,000, whichever is the lesser.

Maximum indemnity period: 7 days

EXTENSION 19: LOSS OF METERED WATER

This **policy** extends to cover additional metered water charges incurred by the **insured**, following physical loss or physical damage insured hereby at the **property insured** during the **period of insurance**. We shall not be liable for any such charges incurred by the **insured** in respect of any **property insured** that is unoccupied unless specifically agreed **us**. The basis upon which the amount payable is to be calculated shall be the amount of the water charges for the period during which the physical loss or physical damage occurs, less the charge made to the **insured** for the corresponding period in the preceding year, adjusted for changes in the water suppliers' charges and for variations affecting the water consumption of the **insured** during the intervening period.

Subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate or GBP250,000, whichever is the lesser.

EXTENSION 20: EMERGENCY CALL OUT COSTS

This **policy** extends to cover temporary property repairs and assistance, parts and call-out charges in an emergency situation which occurs during the **period of insurance** following physical loss or damage to **property insured** caused by an **Act of Terrorism** or **Sabotage**.

Subject to a maximum of 10% of declared scheduled location value any one **occurrence** and in the aggregate or GBP250,000 any one **occurrence** and in the aggregate, whichever is the lesser (applies post-event only).

CONDITIONS APPLICABLE TO EXTENSIONS

- (1) **Direct Loss or Damage:** - No claim shall be payable under these extensions unless and until a claim has been paid, or liability admitted, in respect of direct physical loss or damage to premises, and/or a **verified threat** and/or **hoax** under the **policy** to which this extension is attached and which directly gives rise to a financial loss (being loss of **gross earnings** or loss of **rental income**).

This condition shall not apply if no such payment shall have been made, or liability admitted, solely owing to the operation of a deductible in said **policy** which excludes liability for losses below a specified amount.

- (2) **Values Declared (and Incorrect Declaration Penalty):** - The premium for these extensions has been based on a statement of individual values declared to and agreed by **us** at the inception of the **policy** and stated in the **schedule**.

The Incorrect Declaration Penalty provisions above are applicable.

SECTION E - TERRORISM PART B (NON-POOL RE)

- (3) **Resumption of Operations:** - If the **insured** could reduce the loss of i) resulting from the interruption of business or ii) of **rental income**,
- (a) by complete or partial resumption of operation or occupation of the **property insured** and/or
 - (b) by making use of **merchandise, stock (raw, in process or finished)**, or any other property at the **insured's** locations or elsewhere, and/or
 - (c) by using or increasing operations elsewhere,

then such possible reduction shall be taken into account in arriving at the amount of loss hereunder.

Exclusions Applicable to Extensions

These extensions do not insure against:-

- (1) an increase in loss resulting from interference at the **premises**, by strikers or other persons, with rebuilding, repairing or replacing the property or with the resumption or continuation of operation;
- (2) an increase in loss caused by the suspension, lapse, or cancellation of any lease, licence, contract, or order, unless such results directly from untenability and then **we** shall be liable for only such loss as affects **your** earnings or income during, and limited to, the period of indemnity covered under this **policy**;
- (3) an increase in loss caused by the enforcement of any ordinance or law regulating the use, reconstruction, repair or demolition of any **property insured** hereunder;
- (4) loss of market or any other consequential loss.

LIMITATIONS APPLICABLE TO EXTENSIONS

- (1) **We** shall not be liable for more than the smaller of either:-
 - (a) any specific **rental income** sum insured or business interruption sum insured stated in the schedule; or,
 - (b) the total sum insured stated in the **schedule**, where such includes **rental income** or business interruption, in respect of such loss, regardless of the number of locations suffering untenability or business interruption as a result of any one **occurrence**.
- (2) With respect to loss resulting from damage to or destruction of media for, or programming records pertaining to, electronic **data** processing or electronically controlled equipment, by the perils insured against, the length of time for which **we** shall be liable hereunder shall not exceed:-
 - (a) thirty (30) consecutive calendar days or the time required with exercise of due diligence and dispatch to reproduce the **data** thereon from duplicates or from originals of the previous generation, whichever is less; or,
 - (b) the length of time that would be required to rebuild, repair or replace such other property herein described as has been damaged or destroyed, but not exceeding twelve (12) calendar months stated in the **schedule**, whichever is the greater length of time.



SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

The following cover only applies if **your schedule** shows that it is included. Please also note that this cover is optional.

The cover under this section is provided by ARAG plc on behalf of the **insurer** as shown on **your schedule**.

ARAG plc is authorised and regulated by the Financial Conduct Authority (FRN452369). Registered Address: Unit 4a, Greenway Court, Bedwas, Caerphilly CF83 8DW. Registered in England and Wales. Company Number 02585818.

ARAG plc is authorised to administer this insurance on behalf of the insurer ARAG Legal Expenses Insurance Company Limited.

ARAG Legal Expenses Insurance Company Limited is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority (FRN202106) and the Prudential Regulation Authority. Registered Address: Unit 4a, Greenway Court, Bedwas, Caerphilly CF83 8DW. Registered in England and Wales. Company Number 103274.

ADDITIONAL DEFINITIONS - WORDS WITH SPECIAL MEANINGS APPLICABLE TO SECTION F - COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

The following definitions apply to this section only. If a term below is also defined within the Definitions – Words with Special Meanings section on page 4 of the **policy**, the definition below replaces the general definition for the purposes of this section.

Appointed Advisor

The

- (a) solicitor, accountant, or other advisor (who is not a mediator), appointed by **us** to act on behalf of the **insured**;
- (b) mediator appointed by **us** to provide impartial dispute resolution in relation to a claim accepted by **us**.

Business

The occupation, trade profession or enterprise carried out by the entity shown in the schedule that attaches to this **policy**.

Collective Conditional Fee Agreement

A legally enforceable agreement entered into on a common basis between the **appointed advisor** and **us** to pay their professional fees on the basis of either:

- (a) 100% "no-win no-fee" or
- (b) where discounted, that a discounted fee is payable.

Conditional Fee Agreement

A legally enforceable agreement between **you** and the **appointed advisor** for paying their professional fees on the basis of either:

- (a) 100% "no-win no-fee" or
- (b) where discounted, that a discounted fee is payable.

Employee

A worker who has or alleges they have entered into a contract of service with **you**.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

Insured

- (a) **You, your** directors, partners, managers, officers and **employees** of **your business**.
- (b) A person declared to **us**, who is contracted to perform work for **you**, who in all other respects **you** have arranged to insure on the same basis as **your employees** and who performs work under **your** supervision.

Insured Property

- (a) **Your business** premises.
- (b) Property owned by **you** which is let or which **you** intend to let to tenants for **business** or residential purposes.
- (c) Property owned by **you** which is let or which **you** intend to let to guests as holiday accommodation for leisure purposes under the terms of a written agreement.

Which is shown in the schedule to which this **policy** attaches and is located in England, Scotland, Wales or Northern Ireland.

Insurer

ARAG Legal Expenses Insurance Company Limited.

Legal Costs & Expenses

- (a) Reasonable legal costs and disbursements reasonably and proportionately incurred by the **appointed advisor** on the standard basis and agreed in advance by **us**. The term “standard basis” can be found within the Courts’ Civil Procedure Rules Part 44.2.
- (b) In civil claims, other side’s costs, fees and disbursements where the **insured** has been ordered to pay them or pays them with **our** agreement.
- (c) Reasonable accountancy fees reasonably incurred under Part B, Insured Event (4) Tax Disputes by the **appointed advisor** and agreed by **us** in advance.
- (d) Health and Safety Executive Fees for Intervention.
- (e) **Your employee’s** basic wages or salary under Insured Event (8) Loss of Earnings in the course of their employment with **you** while attending court or tribunal at the request of the **appointed advisor** or whilst on jury service where lost wages or salary cannot be claimed back from the court or tribunal.
- (f) The reasonable cost of phone calls, postage (including special delivery), image scanning, photocopying or credit reports incurred under Insured Event (10) (c) where the **insured** has taken advice from **our** Executive Suite - Identity Theft Resolution service.
- (g) The professional fees and expenses of an **appointed advisor** selected by **us** to reduce the actual adverse or negative publicity or media attention under Insured Events (10) (e) Executive Suite and (11) Crisis Communication.

Reasonable Prospects of Success

- (a) Other than as set out in (b) and (c) below, a greater than 50% chance of the **insured** successfully pursuing or defending the claim and, if the **insured** is seeking damages or compensation, a greater than 50% chance of enforcing any judgment that might be obtained.
- (b) In criminal prosecution claims where the **insured**:
 - (i) pleads guilty, a greater than 50% chance of reducing any sentence or fine or
 - (ii) pleads not guilty, a greater than 50% chance of that plea being accepted by the court.
- (c) In all claims involving an appeal, a greater than 50% chance of the **insured** being successful.

Where it has been determined that **reasonable prospects of success** do not exist, the **insured** shall be liable to pay any legal costs incurred should they pursue or defend their claim irrespective of the outcome.

Tenancy Agreement

An agreement to let **your insured property**:

- (a) under an assured shorthold tenancy; or
- (b) under an assured tenancy;
as defined by the Housing Act 1988 as amended by the Housing Act 1996 and the Assured Tenancies (Amendment) (England) Order 2010; or
- (c) under a Scottish private residential tenancy as defined by the Private Housing (Tenancies) (Scotland) Act 2016; or

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

- (d) under a short-assured tenancy or assured tenancy as defined by the Housing (Scotland) Act; or
- (e) in accordance with the Private Tenancies (Northern Ireland) Order 2006; or
- (f) to a limited company or business partnership for residential purposes by its **employees**.

Territorial Limit

For Part A – the United Kingdom.

For Part B Insured Event (5) Legal Defence – the United Kingdom, Channel Islands, Isle of Man, Norway, Switzerland and countries in the European Union.

For other Insured Events under Part B – the United Kingdom, Channel Islands and the Isle of Man.

We/Us/Our

ARAG plc who is authorised under a binding authority agreement to administer this insurance on behalf of the **insurer**.

You/Your

The **business** or person named in the schedule, including any subsidiary and/or associated companies declared to **us**, and/or any person or **business** appointed as an agent of the named **business** or person to manage the letting of **insured property** to the extent that any such agent has acted on behalf of the person or **business** named in the schedule.

HELPLINES

We record and monitor calls for training purposes, to improve the quality of **our** service, to help **us** deal with queries or complaints from **you** and to prevent and detect fraud and financial crime.

All helplines are subject to fair and reasonable use. The level of fair usage will depend on individual circumstances. However, if **our** advisors consider that **your** helpline usage is becoming excessive, they will tell **you**. If following that warning, usage is not reduced to a more reasonable level, **we** can refuse to accept further calls.

Legal and Tax Advice 0344 571 7978

If **you** have a legal or tax problem relating to **your business**, **we** recommend **you** call **our** confidential legal and tax advice helpline. Legal advice is available 24 hours a day, 365 days of the year, and tax advice is available between 9am and 5pm on weekdays (except bank holidays).

We give advice about UK tenancy law, business-related legal matters within UK, Isle of Man, Channel Islands and EU law and tax matters within the UK. **Your** query will be dealt with by a qualified specialist who is experienced in handling legal and tax-related matters.

Use of this service does not constitute reporting of a claim.

Redundancy Assistance 0330 303 1955

If **you** are planning redundancies and need extra legal support, **we** can arrange specialist consultancy assistance for **you**. Redundancy assistance will help **you** to implement a fair selection process and ensure that the redundancy notices are correctly served. The service offers document review and telephone or written advice and is subject to a charge. If **you** would like **us** to arrange Redundancy Assistance, please call **us** between 9am and 5pm on weekdays (except bank holidays).

Executive Suite – Identity Theft Resolution 0333 000 2083

This service is available to the principal, executive officers, directors, and partners of the **business** between 9am and 5pm on weekdays (except bank holidays). **We** provide telephone advice to help executives keep their personal identity secure. Where identity theft is suspected, **our** specialist caseworkers can help the victim to restore their credit rating and correspond with their card issuer, bank or other parties. Identity theft expenses are insured under Part B Insured Event (10) (c) when **your** executives use this helpline.

Crisis communication 0344 571 7964

Following an event that has attracted negative publicity which could affect **your business**, **you** can access professional public relations support from **our** Crisis communication experts at any time.

In advance of any actual adverse publicity, where possible, initial advice for **you** to act upon will be provided over the phone. If **your** circumstances require professional work to be carried out at that time, **we** can help on a consultancy basis and subject to **you** paying a fee.

Where an event has led to actual publicity online, in print or broadcast, that could damage **your business**, **you** are insured against the costs of crisis communication services under Insured Event (11) when **you** use this helpline.

Counselling assistance 0333 000 2082

Our qualified counsellors will provide free confidential support and advice by phone to **your employees** or their family members who are suffering from emotional upset or feeling worried and anxious about a personal or work-related problem.

This service is available 24 hours a day, 365 days of the year.

Calls to the Counselling Assistance service will not be recorded.

LANDLORDS' AND BUSINESS LEGAL SERVICES www.araglegal.co.uk

Getting Started

You will need to register on **your** first site visit using the voucher codes shown below. Discover **our** law guides and create tenancy and business legal documents and letters.

- Register for Landlords' Legal Services using voucher code **EC426C378CB8**.
- Register for Business Legal Services using voucher code **X1232KC79BB5**.

Once **you** have registered **you** can access the website at any time to create and securely store **your** legal documents.

More Help?

If **you** have problems using the website, please contact **our** digital technical support team. Contact details can be found on the website. **Our** digital technical support team cannot give **you** legal or insurance advice.

CLAIMS PROCEDURE

Telling Us About Your Claim

- (1) If an **insured** needs to make a claim, they must notify **us** as soon as possible.
- (2) Where **you** are claiming under Part A, **you** must have correctly issued the necessary notices informing **your** tenant of **your** intention to repossess the **insured property**.
- (3) If an **insured** instructs their own solicitor or accountant without telling **us**, they will be liable for costs that are not covered by this section of the **policy**.
- (4) A claim can be made online at www.arag.co.uk/newclaims. Alternatively an **insured** can obtain a claim form by downloading one at www.arag.co.uk/newclaims or by calling **us** on 0330 303 1955 between 9am and 5pm weekdays (except bank holidays).
- (5) The completed application and supporting documentation can be submitted online or sent to **us** by email, or post.

Further details are set out on **our** website.

What Happens Next?

- (1) **We** will send the **insured** an acknowledgment by the end of the next working day after receiving their claim.
- (2) Within five working days of receiving all the information needed to assess the availability of cover under this section of the **policy**, **we** will contact the **insured** either:
 - (a) confirming cover under the terms of this section of the **policy** and advising the **insured** of the next steps to progress their claim; or
 - (b) if the claim is not covered, **we** will explain in full the reason(s) why, and advise whether **we** can assist in another way.
- (3) When a representative is appointed by **us**, they will try to resolve the **insured's** dispute without delay, arranging Alternative Dispute Resolution, such as mediation, whenever appropriate.
- (4) **We** will check on the progress of the **insured's** claim with the **appointed advisor** from time to time.

Sometimes matters cannot be resolved quickly, particularly if the other side is slow to cooperate or a legal timetable is decided by the courts.

YOUR COVER

This section of the **policy** has two parts:

- Part A covers **you** for legal disputes that arise from owning or letting out **your insured property**
- Part B relates to other legal matters arising from **your business**.

Following an Insured Event, the **insurer** will pay **legal costs & expenses** including the cost of appeals (and compensation awards under Part B Insured Event (2) Employment Compensation Awards), up to the policy limits stated below subject to all of the following requirements being met.

- (1) The **insured** keeps to the terms of this **policy** and cooperates fully with **us**.
- (2) Unless otherwise stated in this section of the **policy**, the Insured Events shown in Part B arise in connection with **your business**.
- (3) The Insured Event occurs within the **territorial limit**.
- (4) The claim
 - (a) always has **reasonable prospects of success** and
 - (b) is reported to **us**
 - (i) during the **period of insurance** and
 - (ii) as soon as the **insured** first becomes aware of circumstances which could give rise to a claim.

Where you have a disagreement with a tenant of **your insured property** you must notify **us** within 60 days of first becoming aware of the dispute.

- (5) Unless there is a conflict of interest, the **insured** always agrees to use the **appointed advisor** chosen by **us**
 - (a) in any claim to be heard by an Employment Tribunal and/or
 - (b) before proceedings have been or need to be issued.
- (6) Any dispute will be dealt with through mediation or by a court, tribunal, Advisory Conciliation and Arbitration Service or a relevant regulatory or licensing body within the **territorial limit**.

We consider that a claim has been reported to **us** when **we** have received the **insured's** fully completed application.

This section of the **policy** will pay any otherwise covered claim involving the use of or inability to use a computer, including devices such as smart phones, tablets and wearable technology. This cover is subject to all other **policy** terms.

Policy limits

The most the **insurer** will pay for all claims related by time or originating cause including the cost of appeals shall be limited to the following:

Insured Events Part A:

- £50,000.

Insured Events Part B:

- £100,000 for Insured Events (1) to (9), (10) (a), (b) and (c).
- £25,000 for Insured Events (10) (d), (10) (e) and (11).

In respect of Part B Insured Event 2) Employment Compensation Awards, the most the **insurer** will pay for all claims notified to **us** during any one **period of insurance** is £1,000,000.

INSURED EVENTS COVERED – PART A, YOUR INSURED PROPERTY

 What is Covered	 What is <i>not</i> Covered
(1) Property Damage, Nuisance & Trespass (a) An event which causes physical damage to your insured property and/or anything owned by you at your insured property. Provided that if the insured property is used as holiday accommodation: (i) you can provide a detailed inventory of its condition and contents which has been signed by your guest(s) and (ii) a dilapidations deposit has been paid in cash or payment has cleared in your bank account. (b) A public or private nuisance or trespass relating to your insured property.	(1) The first £250 of any claim in respect of Insured Event (1) except where you bring a claim against a person who is living at your insured property without your permission (i.e. squatters). You will have to pay this as soon as we accept your claim. (2) Any claim arising from or relating to: (a) damage or loss arising from a contract between you and a third party who is not: (i) your tenant or ex-tenant; or (ii) a guest or guests staying at your insured property that you have let out as holiday accommodation (b) the compulsory purchase of, or demolition, restrictions, controls or permissions placed on land or property by any government, local or public authority (c) a dispute with any party other than the party who caused the damage, nuisance or trespass (d) any nuisance or trespass claim in respect of Insured Event (1) (b) that arises from a contract, lease, licence or tenancy agreement between you and the third party (including trespass by your ex-tenant).
(2) Repossession of Residential Property Pursuit of your legal rights to repossess your insured property that has been let under a tenancy agreement provided you: (a) have demanded rent in writing from your tenant as soon as it is overdue and can provide evidence of this (b) have given the tenant the correct notices for the repossession of your insured property (c) are seeking a right of possession in England, Wales or Scotland where the court MUST find that the named ground of possession applies or (d) have a legal right to repossess insured property that has been let in accordance with the Private Tenancies (Northern Ireland) Order 2006.	Any claim in England, Wales and Scotland where you are seeking a right of possession where the court MAY find that the named ground of possession applies.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

(3) Commercial Lease Disputes Pursuit or defence of your legal rights arising from a dispute with your business tenant under the terms of a written lease agreement in relation to your insured property which is: (a) granted under the Landlord & Tenant Act 1954 provided that where the dispute arises from or relates to renewal of your lease agreement or the granting of a new business tenancy: (i) you will be opposing your tenant's right to renew the tenancy under Section 30(1) of the Landlord and Tenant Act 1954; and (ii) you can evidence that you have served the correct legal notice to terminate on the tenant in the prescribed form before your tenant has served you with a request for a new tenancy, or (b) contracted out of the Landlord & Tenant Act 1954 provided that: (i) you have correctly served the necessary legal notice on your tenant and (ii) your tenant has made the relevant declaration and (iii) the lease is noted accordingly.	Any dispute that arises from or relates to a disagreement with your tenant over payment or non-payment of service charges; or recovery of rent arrears that is otherwise covered by Insured Event (4).
(4) Recovery of Rent Arrears Pursuit of your legal right to recover rent owed to you by: (a) your residential or business tenant or ex-tenant of insured property (b) a guest or guests staying at your insured property which is used as holiday accommodation.	
(5) Holiday Home Contract Disputes A dispute that arises from: (a) a written agreement which you have entered into to let out your insured property as holiday accommodation that is not otherwise covered by Part A Insured Events (1) Property Damage, Nuisance & Trespass or (4) Recovery of Rent Arrears (b) a contract you have entered into to buy or hire goods or services for the insured property which you have let or intend to let to guests as holiday accommodation.	Any claim arising from or relating to: (1) goods or services which exceed £6,000 (including VAT) in value (2) loans and mortgages (3) an employment contract (4) a settlement due under an insurance policy.

INSURED EVENTS COVERED – PART B, YOUR BUSINESS

 What is Covered	 What is <i>not</i> Covered
(1) Employment A dispute between you and your employee, ex-employee, or a prospective employee, arising from a breach or an alleged breach of their: (a) contract of service with you (b) related legal rights. You can claim under this section of the policy as soon as internal procedures as set out in the (a) ACAS Code of Practice for Disciplinary and Grievance Procedures, or (b) Labour Relations Agency Code of Practice on Disciplinary and Grievance Procedures in Northern Ireland have been or ought to have been concluded.	Any claim arising from or relating to: (1) the pursuit of an action by you other than an appeal against the decision of a court or tribunal (2) actual or alleged redundancy that is notified to employees within 180 days of the start of this section of the policy, except where you have had equivalent cover in force up until the start of this section of the policy (3) costs you incur to prepare for an internal disciplinary hearing, grievance or appeal (4) a pension scheme where actions are brought by ten or more employees or ex-employees.
(2) Employment Compensation Awards Following a claim we have accepted under Part B Insured Event (1) Employment, the insurer will pay any: (a) basic and compensatory award or (b) an amount agreed by us in settlement of a dispute. Provided that compensation is: (a) agreed through mediation, conciliation or under a settlement approved by us in advance or (b) awarded by a tribunal judgment after full argument unless given by default.	(1) Money due to an employee under a contract or a statutory provision relating thereto. (2) Compensation awards or settlements relating to (a) trade union membership, industrial or labour arbitration or collective bargaining agreements (b) civil claims or statutory rights relating to trustees of occupational pension schemes.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

(3) Employment Restrictive Covenants (a) A dispute with your employee or ex-employee which arises from their breach of a restrictive covenant where you are seeking financial remedy or damages. Provided that the restrictive covenant (i) is designed to protect your legitimate business interests, for a period not exceeding 12 months and (ii) is evidenced in writing and signed by your employee or ex-employee and (iii) extends no further than is reasonably necessary to protect the business interests. (b) A dispute with another party who alleges that you have breached their legal rights protected by a restrictive covenant.	
(4) Tax Disputes (a) A formally notified enquiry into your business tax. (b) A dispute about your compliance with HMRC regulations relating to your employees, workers or payments to contractors. (c) A dispute with HMRC about Value Added Tax. Provided that: (a) you keep proper records in accordance with legal requirements and (b) in respect of any appealable matter you have requested an Internal Review from HMRC where available.	Any claim arising from or relating to: (1) tax returns which are submitted late or for any other reason, result in HMRC imposing a penalty, or which contain careless and/or deliberate misstatements or omissions (2) an investigation by the Fraud Investigation Service of HMRC (3) circumstances where the Disclosure of Tax Avoidance Scheme Regulations apply or should apply to your financial arrangements (4) any enquiry that concerns assets, monies or wealth outside of the United Kingdom (5) your failure to register for VAT
(5) Legal Defence (a) A criminal investigation and/or enquiry by: (i) the police or (ii) other body with the power to prosecute where it is suspected that an offence may have been committed that could lead to the insured being prosecuted. (b) The charge for an offence or alleged offence which leads to the insured being prosecuted in a court of criminal jurisdiction.	Any claim relating to a parking offence.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

(6) Compliance & Regulation (a) Receipt of a Statutory Notice that imposes terms against which you wish to appeal. (b) Notice of a formal investigation or disciplinary hearing by any professional or regulatory body. (c) A civil action alleging wrongful arrest arising from an allegation of theft. (d) A claim against you for compensation under the Data Protection Act 2018 provided that: (i) you are registered with the Information Commissioner (ii) you can evidence that you have in place a process to: - investigate complaints from data subjects regarding a breach of their privacy rights - offer suitable redress where a breach has occurred and that your complaints process has been fully engaged. (e) A civil action alleging that an insured (or an ex-employee provided that they have your agreement to claim under this section of the policy) has: (i) committed an act of unlawful discrimination; or (ii) failed to correctly exercise their fiduciary duty as a trustee of a pension fund set up for the benefit of your employees.	Any claim arising from or relating to: (1) the pursuit of an action by you other than an appeal (2) a routine inspection by a regulatory authority (3) an enquiry, investigation or enforcement action by HMRC (4) a claim brought against your business where unlawful discrimination has been alleged.
(7) Statutory Licence Appeals An appeal against a formal written proposal by the relevant authority to alter, suspend, revoke or refuse to renew a licence or compulsory registration required to run your business.	Any claim relating to a licence or registration scheme affecting your insured property.
(8) Loss of Earnings The insured's absence from work to attend court, tribunal, arbitration, regulatory proceedings or a professional body's disciplinary hearing at the request of the appointed advisor or whilst on jury service which results in loss of earnings.	Any sum which can be recovered from the court.
(9) Personal Injury An event that causes bodily injury to, or the death of, an insured.	Any claim arising from or relating to a condition, illness or disease which develops gradually over time.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

(10) Executive Suite This Insured Event applies only to the principal, executive officers, directors and partners of your business. (a) An HMRC enquiry into the executive's personal tax affairs. (b) A motoring prosecution that arises from driving for personal, social or domestic use, including commuting to or from your business. (c) A claim that arises from personal identity theft provided that the person claiming has sought and followed advice from the Executive Suite - Identity Theft Resolution helpline. (d) A dispute that arises from the terms of your business partnership agreement that is to be referred to mediation. (e) Crisis communication as described in Insured Event (11) below shall be available to the principal, executive officers, directors and partners of the business for matters occurring in their private and personal capacity that cause significant adverse publicity or reputational damage.	(1) Any claim arising from or relating to: (a) tax returns which are submitted late or for any other reason, result in HMRC imposing a penalty or which contain careless and/or deliberate misstatements or omissions (b) an investigation by the Fraud Investigation Service of HMRC (c) circumstances where the Disclosure of Tax Avoidance Scheme Regulations apply or should apply to the executive's financial arrangements (d) any enquiry that concerns assets, monies or wealth outside of the United Kingdom (e) a parking offence (f) costs incurred in excess of £25,000 for a claim under (10) (d) and (10) (e). (2) Crisis communication for a matter that has not actually resulted in adverse publicity appearing online, in print or broadcast.
(11) Crisis Communication Following an event which causes significant adverse publicity or reputational damage which is likely to have a widespread financial impact on your business, we will: (a) liaise with you and your solicitor (whether the solicitor is an appointed advisor under this section of the policy, or acts on your behalf under any other policy) to draft a media statement or press release (b) prepare communication for your staff / customers/suppliers and/or a telephone or website script or social media messaging (c) arrange, support and represent the insured at an event which media will be reporting (d) support the insured by taking phone calls/ emails and managing interaction with media outlets (e) support and prepare the insured for media interviews provided that you have sought and followed advice from our Crisis communication helpline.	Any claim arising from or relating to: (1) matters that should be dealt with through your normal complaints procedures (2) a matter that has not actually resulted in adverse publicity appearing online, in print or broadcast (3) costs incurred in excess of £25,000.

SECTION F – PART A – EXCLUSIONS

- (1) Any disagreement with a tenant of an **insured property** during the first 90 days of the first **period of insurance** where the **tenancy agreement** started before the start of this cover except where **you** have had equivalent cover in force up until the start of this section of the **policy**.
- (2) Registering, assessing or reviewing rent, rent control, land tribunals or matters that fall under the jurisdiction of the Property Chamber of the First-tier Tribunal.
- (3) Any claim arising from or relating to an **insured property** owned by **you** which has been or which should have been registered as a House of Multiple Occupation.

SECTION F – PART B – EXCLUSIONS

The **insured** is not covered for any claim arising from or relating to:

- (1) defending a claim in respect of damages for **personal injury** (other than injury to feelings in relation to Part B Insured Event (1) Employment)
- (2) National Minimum Wage and/or National Living Wage Regulations
- (3) patents, copyright, passing-off, trade or service marks, registered designs and confidential information (except in relation to Insured Event (3) Employment Restrictive Covenants).

SECTION F – EXCLUSIONS (APPLICABLE TO THE WHOLE SECTION)

The **insured** is not covered for any claim arising from or relating to:

- (1) costs or compensation awards incurred without **our** consent.
- (2) any actual or alleged act, omission or dispute happening before, or existing at the start of the insurance provided by this section of the **policy**, and which the **insured** knew or ought reasonably to have known could lead to a claim.
- (3) an allegation against the **insured** involving:
 - (a) assault, violence, malicious falsehood, defamation
 - (b) indecent or obscene materials
 - (c) the use of alcohol or its unauthorised or unregulated manufacture, unlicensed dealing in alcohol or dealing in or using illegal drugs
 - (d) illegal immigration
 - (e) money laundering or bribery offences, breach of international sanctions, fraud or any other financial crime activitiesexcept in relation to Part B Insured Event (11) Crisis Communication
- (4) defending a claim in respect of loss or damage that has been caused to **your** property.
- (5) a dispute with any subsidiary, parent, associated or sister company or between shareholders or business partners (except in relation to mediation under Insured Event (10) (d))
- (6)
 - (a) a franchise agreement
 - (b) an agency agreement through which one party has the legal capacity to alter the legal relations of the other
- (7) a judicial review
- (8) a dispute with **us**, the **insurer** or the party who arranged this cover not dealt with under Condition (6)
- (9)
 - (a) ionising radiations or contamination by radioactivity from any nuclear fuel or from any nuclear waste or from the combustion of nuclear fuel
 - (b) radioactive, toxic, explosive or other hazardous properties of any explosive nuclear assembly or nuclear component thereof
 - (c) war, invasion, act of foreign enemy hostilities (whether war is declared or not), civil war, rebellion, revolution, insurrection or military or usurped power.
 - (d) pressure waves from aircrafts or other aerial devices travelling at sonic or supersonic speed.
 - (e) any terrorist action (regardless of any other cause or event contributing concurrently or in any other sequence to the liability) or any action taken in controlling, funding, preventing or suppressing terrorist action.
 - (f) a dispute where providing cover, payment of any claim or the provision of any benefit would expose the **insurer** to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America
- (10) the payment of fines, penalties or compensation awarded against the **insured** (except as covered under Part B Insured Event (2) Employment Compensation Awards); or costs awarded against the **insured** by a court of criminal jurisdiction.

SECTION F – CONDITIONS

Where the **insurer's** risk is affected by the **insured's** failure to keep to these conditions, the **insurer** can refuse a claim or withdraw from an ongoing claim. The **insurer** also reserves the right to claim back **legal costs & expenses** from the **insured** if this happens.

(1) The Insured's Responsibilities

An **insured** must:

- (a) tell **us** immediately of anything that may make it more costly or difficult for the **appointed advisor** to resolve the claim in the **insured's** favour.
- (b) cooperate fully with **us**, give the **appointed advisor** any instructions **we** require, and keep them updated with the progress of the claim and not hinder them.
- (c) take reasonable steps to claim back **legal costs & expenses** and, where recovered, pay them to the **insurer**.
- (d) allow the **insurer** at any time to take over and conduct in the **insured's** name, any claim.

(2) Freedom to Choose an Appointed Advisor

- (a) In certain circumstances as set out in (2) (b) below the **insured** may choose an **appointed advisor**. In all other cases no such right exists and **we** shall choose the **appointed advisor**.
- (b) If:
 - (i) a suitably qualified advisor considers that it has become necessary to issue proceedings or proceedings are issued against an **insured**, or
 - (ii) there is a conflict of interest

the **insured** may choose a qualified **appointed advisor** except, where the **insured's** claim is to be dealt with by the Employment Tribunal, **we** shall always choose the **appointed advisor**.

- (c) Where the **insured** wishes to exercise the right to choose, the **insured** must write to **us** with their preferred representative's contact details.
- (d) Where the **insured** chooses to use their preferred representative, the **insurer** will not pay more than **we** agree to pay a solicitor from **our** panel and will pay only the costs that the **insurer** would have been liable to pay. (**Our** panel solicitor firms are chosen with care, and **we** agree special terms with them including rates which may be lower than those available from other firms.)
- (e) If the **insured** dismisses the **appointed advisor** without good reason, or withdraws from the claim without **our** written agreement, or if the **appointed advisor** refuses with good reason to continue acting for an **insured**, the **insurer's** liability in respect of that claim will end immediately.

(3) Consent

- (a) The **insured** must agree to **us** having sight of the **appointed advisor's** file relating to the **insured's** claim. The **insured** is considered to have provided consent to **us** or **our** appointed agent to have sight of their file for auditing and quality and cost control purposes.
- (b) An **insured** must have **your** agreement to claim under this section of the **policy**.

(4) Settlement

- (a) The **insurer** can settle the claim by paying the reasonable value of the **insured's** claim.
- (b) The **insured** must not negotiate or settle the claim without **our** written agreement.
- (c) If the **insured** refuses to settle the claim following advice to do so from the **appointed advisor**, the **insurer** reserves the right to refuse to pay further costs.

(5) Barrister's Opinion

We may require the **insured** to obtain and pay for an opinion from a barrister if a dispute arises regarding the merits or value of the claim. If the opinion supports the **insured**, then the **insurer** will reimburse the reasonable costs of that opinion. If that opinion conflicts with advice obtained by **us**, then the **insurer** will pay for a final opinion which shall be binding on the **insured** and **us**. This does not affect the **insured's** right under Condition (6) below.

SECTION F – COMMERCIAL PROPERTY OWNERS' LEGAL EXPENSES

(6) Arbitration

If any dispute between the **insured** and **us** arises from this section of the **policy**, the **insured** can make a complaint to **us** as described under 'How to Complain' below and **we** will try to resolve the matter. If **we** are unable to satisfy the **insured's** concerns and the matter can be dealt with by the Financial Ombudsman Service, the **insured** can ask them to arbitrate over the complaint.

If the dispute cannot be dealt with by the Financial Ombudsman Service, it can be referred for independent arbitration to a qualified person agreed upon by both parties. The loser of the dispute shall be liable to pay the costs incurred.

If **we** and the **insured** fail to agree on a suitable person to arbitrate the matter, **we** will ask the President of the relevant Law Society to nominate. The arbitration shall be subject to the Arbitration Acts and the arbitrator's decision shall be binding on the parties.

(7) Other Insurance

The **insurer** will not pay more than their fair share (rateable proportion) for any claim covered by another policy, or any claim that would have been covered by any other policy if this section of the **policy** did not exist, even if the other **insurer** refuses the claim.

(8) Fraudulent Claims and Claims Tainted by Dishonesty

- (a) If the **insured** makes any claim which is fraudulent or false, this section of the **policy** may immediately become void and all benefit under it may be lost.
- (b) An **insured** shall at all times be entirely truthful, accurate and open in any evidence, disclosure or statement they give and shall act with complete honesty and integrity throughout. Where, on the balance of probabilities and having considered carefully all the facts of the claim, it appears to the **appointed advisor** that the **insured** has breached this condition and that the breach has:
 - (i) affected **our** assessment of **reasonable prospects of success**, and/or
 - (ii) prejudiced any part the outcome of the **insured's** claimthe **insurer** shall have no liability for **legal costs & expenses** incurred from the date of the **insured's** breach.

(9) Cancellation

In addition to the cancellation conditions as set out under 'Important Customer Information', 'Cooling off and Cancellation' on page 10, the **Insurer** may also cancel the policy and refund the premium for the remaining **Period of Insurance** if at any time **You**:

- (a) enter into a voluntary arrangement or a deed of arrangement or
- (b) become bankrupt, are placed into administration, receivership, or liquidation or
- (c) have **your** affairs or property in the care or control of a receiver or administrator.

(10) Acts of Parliament, Statutory Instruments, Civil Procedure Rules & Jurisdiction

All legal instruments, bodies and rules referred to within this section of the **policy** shall include the equivalent in Wales, Scotland, Northern Ireland, the Isle of Man and the Channel Islands and any subsequent amendment or replacement. This section of the **policy** will be governed by English law.

(11) Contracts (Rights of Third Parties) Act 1999

Except for any person or business appointed as **your** agent to manage the letting of **your** property a person who is not party to this contract has no right to enforce the terms and conditions of this section of the **policy** under the Contracts (Rights of Third Parties) Act 1999.

HOW TO COMPLAIN

Step 1

ARAG is committed to providing a first-class service at all times. However, if a complaint arises, this should be addressed to **our** Customer Relations Department who will arrange to have it reviewed at the appropriate level. **We** can be reached in the following ways:

- **0344 893 9013** (hours of operation are 9am-5pm, Mondays to Fridays excluding bank holidays. For our mutual protection and training purposes, calls may be recorded).
- customerrelations@arag.co.uk
- **ARAG plc, Unit 4a, Greenway Court, Bedwas, Caerphilly CF83 8DW.**

Step 2

If **we** are not able to resolve the complaint to **your** satisfaction, then **you** can refer it to the Financial Ombudsman Service (FOS) provided that it falls within their jurisdiction. They can be contacted at:

- **0800 0234 567** or **0300 1239 123**
- complaint.info@financial-ombudsman.org.uk
- Financial Ombudsman Service, Exchange Tower, London, E14 9SR.

The FOS is an independent service in the UK for settling disputes between consumers and businesses providing financial services. **You** can find more information on the Financial Ombudsman Service at www.financial-ombudsman.org.uk.

The FOS's decision is binding upon the **insurer**, but **you** are free to reject it without affecting **your** legal rights.

PRIVACY STATEMENT

This is a summary of how **we**, on behalf of the **insurer**, collect, use, share and store personal information. To view **our** full privacy statement, please see **our** website www.arag.co.uk/data-legal/privacy-notice/.

Collecting Personal Information

ARAG may be required to collect certain personal or sensitive information which may include name, address, date of birth and if appropriate medical information. **We** will hold and process this information in accordance with the relevant data protection regulations and legislation. Should **we** ask for personal or sensitive information, **we** undertake that it shall only be used in accordance with **our** privacy statement.

We may also collect information for other parties such as suppliers **we** appoint to process the handling of a claim.

Using Personal or Sensitive Information

The reason **we** collect personal or sensitive information is to fulfil **our** contractual and regulatory obligations in providing this insurance product, for example to process premium or handle a claim. To fulfil these obligations, **we** may need to share personal or sensitive information with other organisations.

We will not disclose personal or sensitive information for any purpose other than the purpose for which it was collected.

Please refer to **our** full privacy statement for full details.

Keeping Personal Information

We shall not keep personal information for any longer than necessary.

Your Rights

Any person insured by this section of the **policy** has a number of rights in relation to how **we** hold personal data including; the right to a copy of the personal data **we** hold; the right to object to the use of personal data or the withdrawal of previously given consent; the right to have personal data deleted.

For a full list of privacy rights and when **we** will not be able to delete personal data, please refer to **our** full privacy statement.



NOTES



t: 01277 886222 w: [camberford.com](https://www.camberford.com)

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